GREEN CLIMATE FUND

Meeting of the Board
15 – 18 July 2024
Songdo, Incheon, Republic of Korea
Provisional agenda item 10

GCF/B.39/02/Add.17

24 June 2024

Consideration of funding proposals – Addendum XVII

Funding proposal package for FP242

Summary

This addendum contains the following six parts:

a) A funding proposal summary titled "Caribbean Net-Zero and Resilient Private Sector" submitted by Inter-American Investment Corporation (IDB Invest);
b) No-objection letter(s) issued by the national designated authority(ies) or focal point(s);
c) Environmental and Social report(s) disclosure;
d) Independent Technical Advisory Panel's assessment;
e) Response from the accredited entity to the independent Technical Advisory Panel's assessment; and
f) Gender documentation of the funding proposal.

These documents are presented as submitted by the accredited entity and the national designated authority(ies) or focal point(s), respectively. Pursuant to the Comprehensive Information Disclosure Policy of the Fund, the funding proposal titled "Caribbean Net-Zero and Resilient Private Sector" submitted by Inter-American Investment Corporation (IDB Invest) is being circulated on a limited distribution basis only to Board Members and Alternate Board Members to ensure confidentiality of certain proprietary, legally privileged or commercially sensitive information of the entity.

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Funding Proposal

Project/Programme title:	Caribbean Net-Zero and Resilient Private Sector
Countries:	Bahamas, Barbados, Belize, Dominican Republic, Guyana, Jamaica, Suriname and Trinidad and Tobago.
Accredited Entity:	Inter-American Investment Corporation (IDB Invest)
Date of first submission:	[2023/09/06]
Date of current submission	[2024/06/21]/
Version number	[V.005]

GREEN CLIMATE FUND

Contents

Note to Accredited Entities on the use of the funding proposal template

- Accredited Entities should provide summary information in the proposal with cross-reference to annexes such as feasibility studies, gender action plan, term sheet, etc.
- Accredited Entities should ensure that annexes provided are consistent with the details provided in the funding proposal. Updates to the funding proposal and/or annexes must be reflected in all relevant documents.
- The total number of pages for the funding proposal (excluding annexes) **should not exceed 60**. Proposals exceeding the prescribed length will not be assessed within the usual service standard time.
- The recommended font is Arial, size 11.
- Under the GCF Information Disclosure Policy, project and programme funding proposals will be disclosed on the GCF website, simultaneous with the submission to the Board, subject to the redaction of any information that may not be disclosed pursuant to the IDP. Accredited Entities are asked to fill out information on disclosure in section G.4.

Please submit the completed proposal to:

fundingproposal@gcfund.org

Please use the following name convention for the file name:

"FP-[Accredited Entity Short Name]-[Country/Region]-[YYYY/MM/DD]"

A. PROJECT/PROGRAMME SUMMARY

<table>
<tr><td>A.1. Project or programme</td><td>Programme</td><td>A.2. Public or private sector</td><td colspan="2">Private</td></tr>
<tr><td>A.3. Request for Proposals (RFP)</td><td colspan="4">Not applicable</td></tr>
<tr><td rowspan="12">A.4. Result area(s)</td><td colspan="4">Check the applicable GCF result area(s) that the overall proposed project/programme targets below. For each checked result area(s), indicate the estimated percentage of GCF and Co-financers' contribution devoted to it. The total of the percentages when summed should be 100% for GCF and Co-financers' contribution respectively.</td></tr>
<tr><td colspan="2"></td><td>GCF contribution</td><td>Co-financers' contribution[1]</td></tr>
<tr><td colspan="2">Mitigation total</td><td>64.1 %</td><td>65 %</td></tr>
<tr><td colspan="2">☒ Energy generation and access</td><td>17.1%</td><td>25.3 %</td></tr>
<tr><td colspan="2">☒ Low-emission transport</td><td>16 %</td><td>15.8 %</td></tr>
<tr><td colspan="2">☒ Buildings, cities, industries and appliances</td><td>24 %</td><td>18.7 %</td></tr>
<tr><td colspan="2">☒ Forestry and land use</td><td>7 %</td><td>5.2 %</td></tr>
<tr><td colspan="2">Adaptation total</td><td>35.9 %</td><td>35 %</td></tr>
<tr><td colspan="2">☒ Most vulnerable people and communities</td><td>7 %</td><td>5.2 %</td></tr>
<tr><td colspan="2">☐ Health and well-being, and food and water security</td><td>-</td><td>-</td></tr>
<tr><td colspan="2">☒ Infrastructure and built environment</td><td>18.9 %</td><td>24.9 %</td></tr>
<tr><td colspan="2">☒ Ecosystems and ecosystem services</td><td>10 %</td><td>4.9 %</td></tr>
<tr><td rowspan="3">A.5. Expected mitigation outcome

(Core indicator 1: GHG emissions reduced, avoided or removed / sequestered)</td><td rowspan="3">7,064,470 tCO_2e[2]</td><td rowspan="3">A.6. Expected adaptation outcome

(Core indicator 2: direct and indirect beneficiaries reached)</td><td colspan="2">22,833 beneficiaries</td></tr>
<tr><td>Direct beneficiaries: 22,833</td><td>Indirect beneficiaries: 0</td></tr>
<tr><td>Indicate % of direct beneficiaries vis-à-vis total population[3]: 0.129%</td><td>Indicate % of indirect beneficiaries vis-à-vis total population[3]: 0%</td></tr>
<tr><td>A.7. Total financing (GCF + co-finance[4])</td><td>527.176 million USD</td><td>A.9. Project size</td><td colspan="2">Large (Over USD 250 million)</td></tr>
<tr><td>A.8. Total GCF funding requested</td><td>118.976 million USD
For multi-country proposals, please fill out annex 17.</td></tr>
</table>

[1] Co-financer's contribution means the financial resources required, whether Public Finance or Private Finance, in addition to the GCF contribution (i.e. GCF financial resources requested by the Accredited Entity) to implement the project or programme described in the funding proposal.
[2] A methodological approach for the quantification of the mitigation results is included in annex 22B.
[3] The total population of the eight program countries is 17,642,335.
[4] Refer to the Policy of Co-financing of the GCF.

A.10. Financial instrument(s) requested for the GCF funding	*Mark all that apply and provide total amounts. The sum of all total amounts should be consistent with A.8.* ☒ Grant $ 18.976 Million ☒ Loan $ 50 Million ☒ Guarantee $ 25 Million ☒ Equity $ 25 Million		
A.11. Implementation period	a) disbursement period: 5 years b) repayment period, if applicable: 20 years[5]	**A.12. Total lifespan**	Depending on the underlying asset and technology, project impacts will last 10 to 50 years. [6]
A.13. Expected date of AE internal approval	*This is the date that the Accredited Entity obtained/will obtain its own approval to implement the project/ programme, if available.* *8/1/2024[7]*	**A.14. ESS category**	*Refer to the AE's safeguard policy and GCF ESS Standards to assess your FP category.* I-1 Choose an item. [8]
A.15. Has this FP been submitted as a CN before?	Yes ☒ No ☐	**A.16. Has Readiness or PPF support been used to prepare this FP?**	Yes ☐ No ☒
A.17. Is this FP included in the entity work programme?	Yes ☒ No ☐	**A.18. Is this FP included in the country programme?**	Yes ☐ No ☒[9]
A.19. Complementarity and coherence	*Does the project/programme complement other climate finance funding (e.g. GEF, AF, CIF, etc.)? If yes, please elaborate in section B.1.* Yes ☒ No ☐		
A.20. Executing Entity information	The Accredited Entity will be the Executing Entity under the Programme.		

A.21. Executive summary (max. 750 words, approximately 1.5 pages)

[5] The proposed repayment period would allow for transactions originated towards the end of the investment period to offer tenors of up to 20 years, in line with the need of the business models and technologies that the program is expected to support.
[6] Details of estimated lifespan of each technology can be found in Annex 22B.
[7] This is the expected date of AE internal approval, subject to change.
[8] For more information on the ESG profile of the Program, please refer Section G.1. of this Funding Proposal.
[9] As of August 23, 2023, either country programs were not available on the GCF website, or they were published before September 2022, and as such do not include this FP in the country programme given that IDB Invest engagement for this FP began in September 2022.

Small Island Development States (SIDS[10]) are particularly susceptible to the impacts of climate change. As developing economies relying on sectors vulnerable to climate patterns such as tourism, agriculture and fishing, SIDS in the Caribbean are expected to be greatly affected by the projected rise in sea levels, changes in rain patterns and temperatures, impacts on the natural habitat (i.e., bleaching of coral reefs), and increasing intensity of natural disasters. While granular data is lacking, evidence and AE gender teams' experience and expertise suggests that women and girls face higher levels of vulnerability due to social norms, high levels of participation in the informal sector and sectors such as tourism and agriculture, as well as gender blind protocols for disaster management and response. Recurrent damage to transport and other public infrastructure often has implications for rural communities' access to health care and other essential services.

Furthermore, Small Island Developing States (SIDS) in the Caribbean are presently heavily reliant on costly fossil fuel energy imports. This not only diminishes the competitiveness of their economies but also results in high greenhouse gas emissions on a per capita basis. Consequently, reducing the dependence on these expensive fossil fuel imports through the development of renewable electricity generation projects and the advancement of energy efficiency initiatives could contribute to boosting economic growth and bolstering the fiscal capacity of Caribbean SIDS governments. In fact, the thrust toward renewable energy sources continues to grow with high projections for job growth. This presents an opportunity for Caribbean SIDS to upskill current workers and shift existing profiles toward more significant gender equity in the global energy workforce.

These countries have committed to mitigation and adaptation actions, with estimated costs surpassing USD 52 billion. However, existing financial commitments in these countries only slightly exceed USD 4 billion, resulting in a significant 90% financing gap, notably 16% higher for adaptation[11]. Globally, the private sector manages USD 210 trillion, but a very small fraction is dedicated to climate investments.[12]

The debt accumulation by SIDS in the Caribbean is driven by recurring disaster-induced damages, including from climate change, with estimated annual losses of US$3 billion, hampering social and productive sectors. The intersection of fiscal constraints and climate impacts makes relying solely on domestic funds for adaptation and mitigation challenging. Thus, **the private sector is critical to achieving net-zero and bolstering climate resilience**. However, the region's limited private sector capacity in green business and green finance as well as the appropriate financial incentives deter private investments.

The main **barriers to paradigm shifting** pathways towards net-zero and climate resilience are related to macroeconomic constraints, limited access to financing, externalities and associated market failures, lack of knowledge on the required improvements in the regulatory frameworks to support adaptation and mitigation technology deployment, high cost of access to technology, social inequalities for women as well as other vulnerable populations, limited capacities of the financial sector and corporations to assess climate risks and advance sustainability operations, limited sector-wide knowledge on adequate business models and bankable adaptation and mitigation solutions.

In this context, IDB Invest aims to establish the Caribbean Net-Zero and Resilient Private Sector Program (the "**Program**"). The Program seeks **to catalyze funding in support of net-zero climate-resilient private sector investments in targeted sectors in SIDS which are IDB Invest borrowing member countries** (the "**SIDS Host Countries**"), namely: Trinidad and Tobago, Barbados, Suriname, Belize, Bahamas, Dominican Republic, Guyana, and Jamaica.

The Program's 5 priority sectors are: 1) Agriculture, Forestry and Other Land Use (AFOLU); 2) Sustainable and resilient infrastructure; 3) Electricity including renewable energy and energy efficiency; 4) Sustainable transport, and 5) Blue Economy[13].

The Program will address identified barriers to conceptualize climate change projects and de-risk investments. This Program will support the private sector's alignment with adaptation and mitigation efforts in the SIDS Host Countries by providing them with advisory services[14] and fit for purpose blended finance solutions, setting the foundations to deploy and demonstrate commercially viable adaptation and mitigation solutions in the region. Furthermore, across all program components and related activities, gender will be mainstreamed in accordance with IDB Invest's gender mainstreaming process to identify priority areas for closing gender and/or diversity gaps.

Program components are:

Component 1 - *Advisory services to promote gender sensitive and material sustainable action in the private sector and to develop climate investment-readiness*; a facility that offers advisory services, knowledge products and other related materials (the "**Grant Instrument**,"); and

Component 2 - *Portfolio of private sector investment in low-carbon and climate resilient Sub-projects in the Caribbean,* offering concessional financial products, including loans, guarantees and equity investments (the "**Non-Grant Instrument,**" and together with the Grant Instrument, the "**Components**")[15].

To achieve the expected outcomes and implement activities the Program will use GCF financing of USD 118.976 million, and expects to mobilize USD 408.2 million from IDB Invest and third-party entities. IDB Invest will channel GCF resources through the Components described in Section B.3 to eligible Recipients[16].

The primary Recipients of this Program will be existing or potential IDB Invest clients that, in broad terms, can be categorized as: 1) ***Corporations and project developers of energy and infrastructure projects, including Special Purpose Vehicles (SPV)***, and **2)** ***Financial intermediaries.***

The expected outcomes are 1) Projects become bankable and are ready for climate investments; 2) Low carbon and climate-resilient investments are implemented in the SIDS Host Countries. Relevant co-benefits will include jobs supported, enhanced presence and role of women in climate solutions and PM 2.5 air pollution emissions reduced.

Across the program sectors, 7,064,470 tCO_2e are expected to be reduced over the lifetime of the asset and 21,447 people are expected to benefit from adaptation interventions through the Program.

From the total GCF financing of USD 118.976 million, USD 11.875 million will be allocated to Component 1 as non-reimbursable funds, while USD 100 million of reimbursable funds will be allocated to Component 2, USD 3.496 million will be allocated to Project Management Costs and USD 3.605 million will be allocated to monitoring and evaluation costs.

The Program will be Implemented by IDB Invest as the Accredited Entity, that will also hold the role of Executing Entity.

[10] According to the UN, SIDS are defined as islands and low-lying coastal countries sharing similar challenges to sustainable development.
[11] https://link.springer.com/article/10.1007/s11027-023-10062-9 .
[12] Private sector financing | Green Climate Fund
[13] For more information, refer to Section B.3.
[14] For the avoidance of doubt, the use of the term "advisory services" throughout this Funding Proposal encompasses technical assistance.
[15] The Components are further detailed in Section B.3.
[16] Eligible Recipients are defined in Section B.3.

B. PROJECT/PROGRAMME INFORMATION

B.1. Climate context (max. 1000 words, approximately 2 pages)

This section summarizes the climate context of the Program. Please refer to Annex 2 for comprehensive information on all aspects.

Key geographic characteristics of the Caribbean Islands

The majority of the Caribbean Islands are relatively small, only 13 have an area over 1000 km^2. The terrestrial land area of the Caribbean islands is ca. 230,000 km^2 and nearly 87% of this is in the five largest islands of Cuba, Hispaniola, Jamaica, Puerto Rico, and Trinidad. Together these have a land area of over 200,000 km^2. Key components to the biodiversity of the Caribbean include the high level of endemism on individual islands or island groups, the diversity of habitats, a long history of human introduction of species, and the tropical climate of the region."[17]

SIDS Host Countries have an aggregate population of 17.6 million people, with an unequal distribution across the eight countries, where approximately 78% of the population is concentrated in the Dominican Republic and Jamaica, and the other six countries each represent less than 10% of the total population in the region.

Climate change problem

SIDS are particularly susceptible to the impacts of climate change. As developing economies relying on sectors vulnerable to climate patterns such as tourism, agriculture and fishing, Caribbean nations would be greatly affected by the ongoing **rise in sea levels and increases in sea surface temperature, changes in rain patterns and temperatures, impacts on the natural habitat** (i.e., bleaching of coral reefs), and **increasing intensity of natural disasters as hurricanes**. Average temperatures in the region have increased by 0.1° to 0.2°C per decade over the past three decades, and rainfall patterns have shifted, with the number of consecutive dry days expected to increase[18]. Additionally, sea level rise has occurred at a rate of about two to four cm per decade over the past 33 years, a trend which presents risks to the region's freshwater resources and to its largely coastal population dependent on tourism and agriculture. High levels of occupational sex-disaggregation persist in these sectors, with women overrepresented in administrative roles and informal employment, adding to the multidimensional vulnerability to risk. In the climate change projections of both GCMs and RCMs, these observed trends in these climate risks are sustained and even significantly increased. Losses could total US$22 billion annually by 2050, roughly a 10% of the current Caribbean economy[19]. According to the Economic Commission for Latin America and the Caribbean (ECLAC), the region has experienced approximately US$135 billion in losses from 165 weather events, mostly storms and floods[20].

Given their small populations, S&I countries' **contributions to global greenhouse gas (GHG) emissions** are negligible, in absolute terms, but per capita emissions, that reach 5.23 tCO_2 on average are higher than the world average (4.4 tCO_2e[21]). Even though mitigation interventions in the Caribbean may have a relatively small impact in terms of GHG emissions avoided or sequestered (due to the size of the projects and the baseline emissions in absolute terms in SIDS), it is crucial for these countries to meet the emissions reductions targets committed in their Nationally Determined Contributions (NDCs), as part of the Paris Agreement.

The subsections below describe 1) the climate rationale for adaptation, including the description of current, observed, and projected climate, and the need for adaptation; and 2) an analysis of the main sectors that emit and have mitigation opportunities. The analysis focuses on the five prioritized sectors for the Program: 1) Agriculture, Forestry and Other Land Use (AFOLU); 2) Sustainable and resilient infrastructure; 3) Electricity including renewable energy and energy efficiency; 4) Sustainable transport; 5) Blue economy, including water and waste management[22][23].

[17] Climate change and biodiversity conservation in the Caribbean Islands. William Gould, Jessica Castro-Prieto, Nora Alvarez-Berrios, USDA Forest Service International Institute of Tropical Forestry, Rio Piedras, Puerto Rico, 2020.
[18] Building Resilience to Climate Change in Small Island Developing States, IADB. Last visit: April 2024.
[19] Ibidem.
[20] JMCE-AADS-LACC conference 2020: EU Caribbean Relations Revisited. Steven J. Green School of International and Public Affairs at Florida International University (FIU), February 2020.
[21] World Bank
[22] The decision to group the Blue Economy, Water, and Waste Management sectors together is driven by the close interdependence of these factors in small island contexts. These nations face unique challenges due to their limited land area and interconnected activities. By combining these sectors, the Program acknowledges the intrinsic links between coastal economies, water resources, and waste management.
[23] Blue economy for the purposes of this program encompasses all activities listed under the IFC Blue Finance Guideline

The current and observed climate and climate change projections in the Caribbean region by climate risk[24] is summarized in the table below. Details per country are available in Annex 2 Feasibility Study.

***Table 1** Hazard, historical trends, and projections in the Caribbean region*

Hazard	Historical trends[25]	Projections[26]
Rainfall	In the long-term historical record, the Caribbean has not gotten wetter or drier (no significant observed linear trend). Decadal variations account for 7% of the observed variability, while interannual variations account 91% of the observed rainfall patterns. **The number of consecutive dry days is increasing**, as well as the amount of rainfall during rainfall events.	Global Climate Models (GCMs) suggest that the central and southern Caribbean basin is expected to experience a **reduction of up to 20%** in annual rainfall. Projections from Regional Climate Models (RCMs) suggest even more substantial declines, ranging from **25% to 35%** by the close of the century. The GCMs predict a slight **decrease of about 2% in the annual mean rainfall** by the mid-2020s. The region could become **drier by up to 6% by the 2050s and potentially up to 17% drier by the century's end**. There are anticipated **increases in the number of consecutive dry days** across the region, spanning from small to significant increments.
Air temperatures	The majority of the temperature changes (~65%) in the Caribbean are linked to a noticeable **upward trend**. This is causing an increase in warmer days and nights throughout the Caribbean region.	Minimum, maximum and mean **temperatures increase** across all seasons of the year irrespective of scenario through the end of the century. The mean temperature increase from GCMs will be 0.48-0.56°C by the 2020s; 0.65-0.84°C by the 2030s, 0.86°-1.50°C by the 2050s, and 0.83-3.05°C by the end of the century with respect to baseline over all four RCPs. RCMs suggest higher magnitude increases for the downscaled grid boxes – up to 4°C by end of century. Projections based on statistical downscaling show an **increase for both warm days and warm nights** by the end of the century. The trend is for a **decrease in both cool days and nights**.
Sea Surface Temperature (SST)	Varies between 25°C and 30°C throughout the year, following a regular distribution pattern. The lowest temperatures occur in December and January, while the highest temperatures are experienced in July.	Recent warming trend in SST will continue in the future. Under a business-as-usual scenario, **SSTs increase** by 1.76 ± 0.39°C per century in the wider Caribbean. The mean annual SST range (~ 3.3°C) currently observed in the Caribbean Sea is projected to contract to 2.9°C in the 2030s, and to 2.3°C in the 2090s. By the end of the century, years of coolest projected SSTs fall within the range of the warmest years in the present.
Sea levels	There is a **general increasing trend** in the sea level of the Caribbean region: A regional rate of increase of 1.8 ± 0.1 mm/year between 1950 and 2009. **Higher rate of increase in later years**: 1.7 ± 1.3 mm/year between 1993 and 2010.	The combined range for projected SLR spans 0.26-0.82 m by 2100 relative to 1986-2005 levels. The range is 0.17-0.38 for 2046 – 2065. Other recent studies suggest an upper limit for the Caribbean of up to 1.5 m under RCP8.5. Regional variation in SLR is small with the north Caribbean tending to have slighter higher projected values than the southern Caribbean. By the end of the century, sea level rise is projected to **reach or exceed 1m** across the Caribbean.
Hurricanes	Significant **increase in frequency and duration** of Atlantic hurricanes since 1995. Increase in category 4 and 5 hurricanes; rainfall intensity, associated peak wind intensities and mean rainfall for same period.	No change or slight decrease in frequency of hurricanes Towards the end of the century, a trend towards **more potent storms** could emerge, with potential increases in maximum wind speeds ranging from 2% to 11%. The central region of these hurricanes might experience a notable escalation of 20% to 30% in rainfall rates, while the outer areas could see a more modest 10% increase. Over the next 80 years, the **occurrence of the most intense Atlantic hurricanes (categories 4 and 5) could rise** by about 80%, following the A1B scenario.

[24] Selection of key facts from regional overview is taken from: Climate Studies Group Mona (Eds.). 2020. "The State of the Caribbean Climate". Produced for the Caribbean Development Bank.
[25] Historical trends are based on observations made over 1900-2014.
[26] GCM-generated projections are relative to a 1986-2005 baseline, RCM-generated projections are relative to a 1961-1990 baseline.

The climate-related hazards for each of the participant countries are summarized in the table below. Details per country are available in Annex 2 Feasibility Study.

***Table 2** Climate-related hazards, by participant country*

Country	River flood	Coastal flood	Landslide	Cyclone	Extreme heat	Wildfire	Water scarcity
Trinidad and Tobago	High	Medium	High	High	Medium	High	Low
Suriname	High	High	Low	Very Low	Medium	High	Very Low
Guyana	High	High	Low	Low	Medium	High	Very Low
Belize	High	Medium	Medium	High	High	High	Medium
Barbados	Very Low	Medium	Medium	n.d.	Low	Very Low	n.d.
Bahamas	Very Low	High	Very Low	High	Medium	Very Low	Very Low
Jamaica	High	High	High	High	Medium	High	Low
Dominican Republic	High	High	High	High	Medium	High	Medium

Source: Global Facility for Disaster Reduction and Recovery (GFDRR), https://thinkhazard.org/[27]

The need for adaptation

The following section presents climate threats in the respective countries as well as potential solutions that could be employed by private corporations and projects. These are indicative examples and projects will be identified based on market demand and analyzed with a gender lens, with relevant KPIs where applicable.

1. Agriculture, Forestry and Other Land Use (AFOLU)

Main Climate threats and impacts for the AFOLU sector	Examples of potential adaptation solutions
Water Scarcity and Quality: as temperatures rise across the region, decreased precipitation exacerbates water scarcity in agriculture. This scarcity is acutely felt in countries like Trinidad & Tobago, where soil aridity and limited irrigation threaten crop yields.[28]	**Efficient Water Management:** Drip irrigation systems to optimize water use; rainwater harvesting techniques to capture and store rainwater for agricultural use; water conservation practices to minimize water wastage. **Drought-resistant crop varieties** that require less water; **crop rotation** strategies to enhance soil health and water retention.
Extreme Weather Events: The frequency and intensity of extreme weather events, including hurricanes and tropical storms, jeopardize agricultural productivity. Barbados, for instance, experiences prolonged droughts and severe weather conditions, adversely affecting soil quality, livestock, and crops[29]. Belize foresees a potential decline in agricultural production by 10% to 20% by 2100[30].	**Early Warning Systems:** early warning systems to provide timely alerts for extreme weather events and which consider the gender-differentiated digital divide and use of ICT; gender sensitive emergency response plans for rapid deployment in the event of extreme weather incidents. **Agroforestry Practices:** Integrate trees into agricultural landscapes to provide windbreaks and reduce the impact of strong winds; shelterbelt planting to protect crops from extreme weather conditions.
Sea Level Rise and Coastal Vulnerability: Sea level rise is a pervasive threat in the Caribbean, impacting coastal regions. In the Bahamas, elevated sea levels coupled with storm surges lead to economic losses, coastal erosion, and crop damage[31]. Similarly, Suriname grapples with rising sea levels, amplifying both coastal and interior flooding vulnerabilities, and endangering forests and biodiversity[32].	**Coastal Zone Management:** Develop and implement sustainable land-use plans for coastal areas considering sea level rise; establish protective green belts and buffer zones to safeguard agricultural lands from coastal erosion. Promote **crop varieties** that are tolerant to saline conditions in case of seawater intrusion; use climate-resilient seeds that can withstand changing coastal conditions.

[27] Data builds on country-level profiles for each of the target countries, based on available literature and using Government Reports (including national communications to the UNFCCC, NDCs, NAPs, among others), the World Bank Climate Change Knowledge Portal, and other studies by international and national organizations working on climate change.
28 Government of the Republic of Trinidad and Tobago (2011), National Climate Chance Policy
[29] Government of Barbados (2018), Barbados' Second National Communication
[30] National Climate Change Office (2021), Belize's Updated Nationally Determined Contribution
[31] The Commonwealth of The Bahamas (2014), The Bahamas Second National Communication.
[32] Government of Suriname (2018), Suriname Climate Risk and Vulnerability Assessment Report

Biodiversity and Ecosystem Impact: Shifts in weather patterns and rising temperatures threaten biodiversity and ecosystem stability. Guyana, with its coastal agriculture, witnesses alterations in rice production and increasing forest vulnerability[33, 34].	**Biodiversity Conservation Practices:** Implement agroecological practices, such as organic farming, to promote biodiversity; establish protected areas to conserve natural habitats and ecosystems. **Support the development of land-use plans and where feasible, with gender equitable access to land, credit and other productive resources.** Implement **reforestation and afforestation** projects to restore ecosystems.

2. *Sustainable and resilient infrastructure.*

Main Climate threats and impacts for the infrastructure sector	Examples of potential adaptation solutions
Coastal Infrastructure Vulnerability: Rising sea levels, intensified storm surges, and increased frequency of tropical storms threaten to devastate coastal facilities. In Barbados, Bridgetown's commercial center grapples with the vulnerability of vital service infrastructure[35]	**Reinforced Sea Defenses:** Coastal protection measures, such as seawalls and breakwaters, to mitigate the impacts of storm surges and rising sea levels. **Resilient coastal infrastructure designs** that consider future climate scenarios. **Green Infrastructure**, such as mangroves and natural buffers, to reduce coastal erosion and enhance overall resilience.
Inland Impact and Drainage Strain: Intense precipitation and heavy rainfall exacerbate flooding, impacting human settlements, commerce, and transportation. The Dominican Republic's 2016-2017 rains caused direct losses of USD 862 million, with housing and infrastructure damage[36]. In Guyana, escalating floods and intense precipitation affect housing, energy transmission networks, and fisher landing sites[37].	**Improved Drainage Systems:** to effectively manage intense precipitation and heavy rainfall, reducing the risk of inland flooding. Smart drainage solutions that incorporate real-time monitoring and adaptive management.
Climate-Driven Resource Scarcity: Elevated temperatures threaten Jamaica's energy and water consumption, demanding energy-efficient strategies[38]. The Bahamas' agriculture, impacted by storm surges and temperature shifts, suffers infrastructure damage from extreme events like Hurricane Wilma.	**Energy-Efficient Strategies:** to mitigate the impact of elevated temperatures on energy consumption, especially in critical sectors like water supply and infrastructure operations. **Diversification of Water Sources** and invest in water conservation measures to address potential scarcity and vulnerabilities caused by climate-driven shifts in precipitation patterns.
Investment and Resilience: Addressing these challenges necessitates substantial investments and enhanced resilience strategies. In Jamaica, where natural disasters cost approximately USD 1.5B from 2001 to 2012, a focus on rationalized land use planning and regulations is pivotal[39]. Barbados emphasizes the importance of resilient strategies to safeguard against escalating maintenance costs and ensure infrastructure longevity[40][41].	Incorporation of **resilient designs** and materials in infrastructure development and maintenance to withstand extreme weather events, and which harness the involvement of women in gender-smart infrastructure design. **Comprehensive risk management strategies** that consider climate threats and prioritize investments to enhance overall infrastructure resilience.

3. *Electricity including renewable energy and energy efficiency.*

Main Climate threats and impacts for the energy sector	Examples of potential adaptation solutions
Disruption of energy generation and supply, with Trinidad and Tobago experiencing power outages during intense rainfall, emphasizing the necessity for robust emergency	**Diversification of Renewable Energy Sources**, to increase resilience in the face of changing weather patterns. **Smart Grids and Energy Storage:** to enhance the resilience of energy distribution and storage systems, allowing for better

[33] Government of Guyana (2016), Guyana's Revised Intended Nationally Determined Contribution
[34] Office for Climate Change, Ministry of Presidency, Guyana (2019), National Climate Change Policy And Action Plan 2020-2030
35 Government of Barbados (2018), Barbados' Second National Communication

[36] UAAES/MEPyD (2018), Status of Statistics and Indicators on Extreme Events, Disasters, and Disaster Risk Reduction: Regional Perspective in the Caribbean and the Dominican Republic.
[37] Office for Climate Change, Ministry of Presidency, Guyana (2019), National Change Policy And Action Plan 2020-2030
[38] Government of Jamaica (2015), Climate Change Policy framework for Jamaica
[39] Government of Jamaica (2015), Climate Change Policy framework for Jamaica
[40] Government of Barbados (2018), Barbados' Second National Communication
[41] "An economic analysis of flooding in the Caribbean The case of Jamaica and Trinidad and Tobago" (ECLAC), 2019

systems[42]. In Suriname, the susceptibility of its hydropower sector to altered precipitation patterns poses a risk of reduced water inflow to energy plants[43].	management during disruptions caused by heavy rainfall or extreme weather events.
Erosion and infrastructure vulnerability. In the Bahamas, saltwater intrusion corrodes electrical infrastructure, while erosion jeopardizes energy facilities and the Bahamas Electricity Corporation's operations[44]. Similarly, Belize contends with coastal erosion, weakening energy infrastructure and storage facilities, undermining stability[45].	**Coastal Protection Measures:** such as seawalls and green infrastructure to mitigate the impact of saltwater intrusion and coastal erosion on energy infrastructure. **Elevated Infrastructure Designs:** energy infrastructure with elevated foundations and materials resistant to saltwater corrosion to minimize vulnerability to rising sea levels.
Increasing energy demand emerges as a pressing challenge in the face of rising temperatures. Barbados faces elevated energy requirements during heatwaves[46]. Similarly, the Dominican Republic grapples with amplified energy demand, notably for cooling systems, under the intense heat[47].	**Energy Efficiency Measures:** to mitigate the impact of elevated energy demand during heatwaves. Encourage **Demand-Side Management** strategies, such as peak-load shifting and energy conservation programs, to optimize energy consumption during periods of high demand. Basic sex-disaggregated data could be employed to understand differentiated patterns of energy use and support gender-sensitive policies in service delivery of programs.
Increase of extreme weather events adds a layer of uncertainty to the energy sector. The Dominican Republic wrestles with the aftermath of extreme weather, which disrupts power generation efficiency, damages transmission lines, and necessitates costly restoration efforts[48].	Develop and implement **climate-resilient infrastructure plans** that consider the potential impacts of extreme weather events on power generation and transmission. Establish and regularly update **emergency response and recovery plans** to minimize downtime and facilitate rapid recovery.
Hydropower vulnerability surfaces as a shared concern in countries like Belize and Jamaica[49, 50].	Implement **adaptive water management strategies** to address hydropower vulnerabilities, including reservoir level management during droughts.

4. *Sustainable transport.*[51]

Main Climate threats and impacts for the transport sector	Examples of potential adaptation solutions
Sea level rise and coastal hazards are critical concerns, as Trinidad and Tobago faces potential damage to access roads and critical infrastructure[52], while Barbados contends with coastal erosion and flooding risks affecting key highways and tourism facilities[53].	**Elevate critical transport infrastructure** to mitigate the impacts of sea level rise and coastal hazards. Leverage the use of sex-disaggregated data to identify differentiated needs and vulnerabilities with transport infrastructure and **incorporate a gender lens in resilient design** features; and implement **green infrastructure solutions**, such as coastal vegetation and mangroves, to act as natural buffers against coastal hazards.
Shifts in precipitation patterns are another formidable threat, with Guyana vulnerable to intense rainfall triggering landslides, flooding, and road damage[54]. Suriname's shallow draft and potential decrease in precipitation could impact river flows and international trade[55].	**Upgrade drainage systems** to handle intense rainfall and reduce the risk of landslides, flooding, and road damage. Implement **sustainable drainage practices** to manage water runoff effectively. **Landslide Monitoring and Early Warning Systems**: ensure timely road closures and public safety.
Extreme weather events. The Dominican Republic confronts damage to transportation infrastructure from hurricanes and	**Emergency response plans** to manage disruptions caused by extreme weather events. **Contingency measures** for

[42] Ministry of Planning and Development (2021 b), Third National Communication of T&T
[43] BID (2022), Climate Change Impacts on Hydropower and Electricity Demand in Suriname
[44] The Commonwealth of The Bahamas (2014), The Bahamas Second National Communication.
[45] Government of Belize (2013), National Climate Resilience Investment Plan
[46] Government of Barbados (2018), Barbados' Second National Communication
[47] Berigüete et al. (2020), Energy Transition in the Dominican Republic: How Decarbonization Strategies in the Electricity Sector Accelerate Private Sector Participation in the Nationally Determined Contribution (NDC)
[48] Berigüete et al. (2020), Energy Transition in the Dominican Republic: How Decarbonization Strategies in the Electricity Sector Accelerate Private Sector Participation in the Nationally Determined Contribution (NDC)
[49] Government of Belize (2013), National Climate Resilience Investment Plan
[50] Ministry of Economic Growth & Job Creation, Climate Change Division (2018), Third National Communication of Jamaica to the United Nations Framework Convention on Climate Change.
[51] IDB Invest will build on the S&I component of the IDB's GCF E-Mobility Program for Sustainable Cities in Latin America and the Caribbean
[52] EuropeAid (2018), Vulnerability and Capacity Assessment (VCA) Report Trinidad & Tobago.
[53] Government of Barbados (2018), Barbados' Second National Communication
[54] Government of Guyana (2012), Second National Communication
[55] Republic of Suriname (2021), Multi-Annual Development Plan 2022-2026

storms, impacting connectivity and mobility. The storm Noel in 2007 caused damages worth USD 439 million, with transportation sector damages accounting for 9.7% of the total[56].	rerouting transportation during weather-related disturbances, which take into account gender-differentiated experiences of men and women due to damaged transport infrastructure. **Infrastructure Resilience Assessments** to identify vulnerabilities and prioritize resilience measures.
Temperature increases. Heat can compromise vehicle efficiency, increasing energy demand and raising concerns for the safety of road users. Jamaica faces challenges such as pavement buckling and flight cancellations due to elevated temperatures, directly affecting the tourism industry[57]. The Bahamas, heavily reliant on maritime transport networks, faces disruptions from **heatwaves, heavy rainfall, and extreme winds**, impacting economic activities and trade[58].	**Heat-resistant pavement materials** to mitigate the risk of pavement buckling and deterioration in response to rising temperatures. **Cool pavement technologies** to reduce heat absorption. **Upgrade public transportation systems** to be climate-adaptive, considering increased temperatures that may affect vehicle efficiency and passenger comfort.
Isolation and accessibility emerge as critical issues. Suriname faces threats of sea level rise and floods, which could isolate regions and disrupt land roads[59]. Similarly, Guyana's concentration of highways along the coast places these vital routes at risk from sea level rise and storm surges[60].	**Resilient road networks** that can withstand and recover from disruptions. Enhance the **resilience of water transport systems**, such as ferries, to maintain accessibility between islands and coastal regions during floods.

5. *Blue economy*

Main Climate threats and impacts for the blue economy, water and waste management sector	Examples of potential adaptation solutions
Coastal Vulnerabilities and Erosion: Coastal areas are vulnerable due to rising sea levels and intensifying storm events. In Trinidad and Tobago, sea level rise leads to erosion, loss of coastal areas, destruction of beaches, and loss of livelihoods[61]. Guyana anticipates significant land inundation, impacting rice and sugar-cane cultivation[62].	**Beach restoration** projects to mitigate the loss of coastal areas, which provide opportunities for collaboration and job creation to coastal and rural communities. **Resilient coastal protection measures** such as dunes, vegetation, and seawalls.
Marine Ecosystem Degradation: Coral reefs, vital for marine biodiversity and tourism, are under threat from coral bleaching resulting from rising sea surface temperatures and ocean acidification. Jamaica's reefs suffer from poor health due to these factors[63]; the Dominican Republic experiences coral bleaching, affecting ecosystems and coastal populations[64].	**Marine protected areas and conservation initiatives** to safeguard coral reefs from climate-induced stressors. **Coral reef restoration** projects to enhance the resilience of these ecosystems. **Water quality monitoring** programs to detect and address pollution sources that contribute to marine ecosystem degradation.
Impacts on Fisheries, which are affected by changing marine conditions. Jamaica, and Guyana report shifts in species distribution, reduced fish production, and damage to fishing installations due to anthropogenic climate change[65, 66].	**Climate-resilient fisheries management plans** that account for shifts in species distribution and reduced fish production. Promote **sustainable fishing practices** to mitigate the impact of climate change on fisheries and address gender-specific challenges within fishing communities.
Impacts on Tourism, with extreme weather damaging infrastructure and affecting attraction sites. Additionally, vector-borne diseases and reduced water flow impact eco-resorts and the attractiveness of destinations.	**Tourism infrastructure with climate resilience in mind** to withstand extreme weather events. **Contingency plans** for the rapid recovery of tourist sites following climate-related disruptions. **Diversified tourism offerings** with equitable

[56] UNDP (2009), Increasing Gender Visibility in Disaster Risk Management and Climate Change in the Caribbean: Assessment of the Dominican Republic.
[57] Zermoglio, M. F.; Scott, O. (2018), Vulnerability assessment of Jamaica's transport sector
[58] Asariotis, R. Transport and Trade Facilitation Newsletter N°90 - Second Quarter 2021. Article No. 75
[59] Republic of Suriname (2021), Multi-Annual Development Plan 2022-2026
[60] Government of Guyana (2012), Second National Communication
[61] EuropeAid (2018), Vulnerability and Capacity Assessment (VCA) Report Trinidad & Tobago
[62] Government of Guyana (2012), Second National Communication
[63] Ministry of Economic Growth & Job Creation, Climate Change Division (2018), Third National Communication of Jamaica to the United Nations Framework Convention on Climate Change
[64] Consejo Nacional para el Cambio Climático y Mecanismo de Desarrollo Limpio (CNCCMDL), Ministry of Environment and Natural Resources, United Nations Development Programme (UNDP) with funding from the Global Environment Facility (GEF) (2016), National Adaptation Plan for Climate Change in the Dominican Republic 2015-2030
[65] Ministry of Economic Growth & Job Creation, Climate Change Division (2018), Third National Communication of Jamaica to the United Nations Framework Convention on Climate Change
[66] Government of Guyana (2012), Second National Communication

	opportunities for both men and women to reduce dependency on specific attractions vulnerable to climate impacts.
Water Scarcity and Quality: Water resources are strained due to prolonged droughts, reduced river flow, and saltwater intrusion. Jamaica faces changes in rainfall patterns and increased temperatures, causing reduced water quality and quantity, as well as sedimentation in reservoirs and coastal areas[67].	Implement **water conservation measures**, including efficient water use in aquaculture and tourism-related activities. **Upgrade wastewater treatment systems** to protect water quality and promote recycling in water-intensive sectors like tourism. **Diversify water sources** for various blue economy activities, reducing dependency on single water sources and mitigating the impact of water scarcity.

Current capacity to anticipate or respond to the climate hazard and its impacts:

According to IPCC AR6[68], small islands have experimented with new adaptation options, which has increased the lessons learnt from on-the-ground practices in these settings. The most common adaptation actions and approaches across small islands are related to: **1) Hard protection** (seawalls, breakwater structures, coastal protection units – the report highlights that hard protection for coastal protection will become increasingly ineffective in the future, demonstrating the need for adaptation along most island coasts to become more transformative than has been the case over the past few decades). **2) Accommodation and Advance** (raising of dwellings, land reclamation); **3) Migration** (including planned resettlement – with limited evidence and low agreement in the literature as to whether it is an effective strategy). **4) Ecosystem-based measures (EbA):** traditionally, these initiatives in SIDS have mainly focused on coastal and marine ecosystems, with less attention given to inland forests. However, there is a rising trend in incorporating forests into projects like ridge to reef initiatives. These efforts aim at integrated watershed management, promoting downstream water security, erosion control, and the preservation of coral reef ecosystems. Some islands are adopting climate-smart development plans, which include managing protected areas, restoring riparian zones, expanding urban forests, promoting home gardening, and improving agroforestry practices. These measures aim to enhance resilience to climate change and reduce food insecurity. Artificial reefs have seen growing utilization in small island settings to aid in reef rehabilitation and mitigate beach erosion, particularly in the Caribbean region, with notable examples in the Dominican Republic. Beach nourishment has been increasingly used in countries such as Barbados. **5) Community-based adaptation (CBA)**, with successful experiences referenced with coastal fisheries in the Dominican Republic[69] and with farmers in Jamaica[70], where adaptation strategies have included varying expenditure on inputs, expanding or prioritizing other cash crops, or investing in irrigation technologies. Tourism has become increasingly vital as a primary source of income for local livelihoods in small island communities. **6) Disaster Risk Management, Early Warning Systems (EWS) and Climate Services.** While improvements have been made in EWS for weather, water, and climate events in the Caribbean, progress is uneven across hazards and governance levels. Key deficiencies include gaps in disaster risk knowledge and variability in interpreting scientific warnings, highlighting the need for enhanced communication of warning messages to vulnerable populations.

Section B.5 describes the significant adaptation finance gap in Latin America and the Caribbean, emphasizing the urgent need for additional investments, particularly in areas such as coastal protection, infrastructure, energy, water management, disaster risk management, agriculture, forestry, and land use. Also, please refer to section 3.1 of Annex 2- Feasibility Study, for further details on the financing gaps to implement the Caribbean countries' NDCs. Two recent studies[71] revealed large gaps in estimating the climate finance needs of the region. Adaptation NDC financing needs and of Belize, Dominican Republic, Guyana, Suriname and Trinidad and Tobago amount to US$ 11,518 billion, while the Bahama, Barbados and Jamaica must still define their NDC costs.

Contribution to mitigation

Across the eight SIDS Host Countries and considering the aggregated data (Figure 1), the energy and infrastructure sector emerges as the primary contributor to GHG emissions in the region, representing 65% of total emissions. This sector encompasses activities such as energy production, industry and infrastructure in several countries. Specific activities in the transport sector account for 18% of the aggregate GHG emissions in the region. AFOLU sector activities,

[67] Ministry of Economic Growth & Job Creation, Climate Change Division (2018), Third National Communication of Jamaica to the United Nations Framework Convention on Climate Change

68 IPCC Sith Assessment Report – Chapter 15: Small Islands: https://www.ipcc.ch/report/ar6/wg2/chapter/chapter-15/

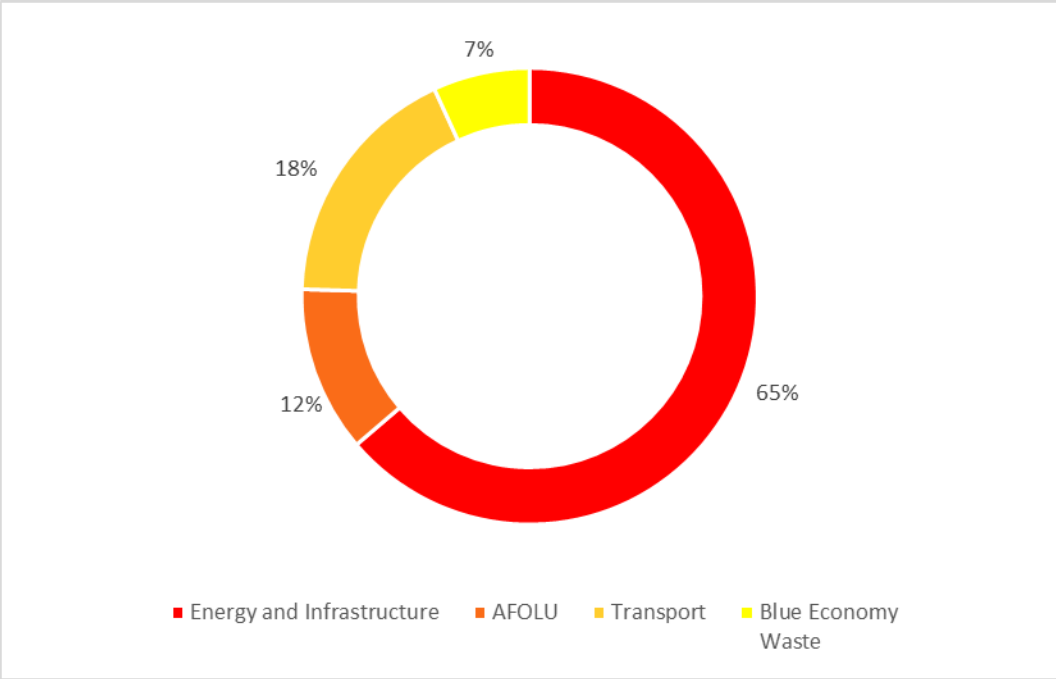
69 Karlsson, M. and E. McLean, 2020: Caribbean Small-Scale Fishers' Strategies for Extreme Weather Events: Lessons for Adaptive Capacity from the Dominican Republic and Belize. Coast. Manag., 48(5), 456–480, doi:10.1080/0892075 3.2020.1795971.

70 Popke, J., S. Curtis and D. Gamble, 2016: A social justice framing of climate change discourse and policy: Adaptation, resilience and vulnerability in a Jamaican agricultural landscape. Geoforum, 73, 70–80, doi:10.1016/j. geoforum.2014.11.003.

[71] Mohan (2022) and Mohan, P.S (2023), Financing needs to achieve Nationally Determined Contributions under the Paris Agreement in Caribbean Small Island Developing States. Mitig Adapt Strategy Glob Change 28, 26.

including changes in land use and agricultural practices, contribute 12% of emissions. Additionally, the blue economy and waste sector, notably solid waste management, constitute 7% of total emissions.

Figure 1 *Targeted countries aggregate emissions per sector.*



Source: Own elaboration based on NDCs, Updated NDCs and Biennial Update Reports (BUR) from the targeted countries

In Table 3, the total annual emissions by country are detailed across various sectors. In the Bahamas, nearly half of emissions are attributed to the AFOLU sector. Barbados exhibits 59% of emissions linked to the energy and infrastructure sector, with energy industries and cement/HFC refrigeration being primary contributors. Belize, despite being a carbon sink, has 70% of emissions from the energy, infrastructure, and transport sectors. The Dominican Republic's emissions are primarily from fuel combustion and electricity/heat generation in the energy and infrastructure sector (49.5%) and the transport sector (21.5%). Trinidad & Tobago's emissions are dominated by the energy and infrastructure sector (84%), exploiting oil & gas and LNG. Jamaica's emissions are mainly from the AFOLU sector (46.1%) and the energy sector (40%). Suriname, another carbon sink, has 82% of emissions in the energy, infrastructure, and transport sectors, primarily fueled by oil, gasoline, kerosene, diesel, electricity, and liquefied petroleum gas. Guyana, also a carbon sink, sees 44% of emissions from agriculture and approximately 40% from the energy sector, given the absence of a robust manufacturing or industry sector.

Table 3 *Total annual GHG emissions per country and contribution per sector (%).*

Country	Total GHG emissions (MtCO2e) NDCs	Energy	Infras-tructure	Transport	AFOLU	Blue Economy Waste
Bahamas	6.26	36%		11%	48%	5%
Barbados	1.816	59%		23%	3%	15%
Belize (*)	1.19 (without FOLU) -5.28 (with FOLU)	70%			25%	2%
Dominican Republic	24.634	49,50%		21,50%	13%	16%
Trinidad & Tobago	41.63	36%	48%	6%	-5%	5%
Jamaica	14.9	40%		11,70%	46,10%	N/d

Suriname	3.591	40%	42,00%	14,98%	3%
Guyana (*)	3.330	40,33%	9,43%	44%	7%

Source: Own elaboration based on NDCs, Updated NDCs and Biennial Update Reports (BUR) from the targeted countries.
(*) Percentage of GHG emissions have considered the emissions without FOLU.

Some of the current mitigation practices[72] across the targeted countries are as follows.

The current practices in the **energy sector** encompass a diverse array of initiatives aimed at sustainability and efficiency. Firstly, there's a notable emphasis on solar energy deployment, evidenced by projects like the installation of solar photovoltaic (PV) systems at key locations across the 8 countries analyzed. Additionally, efforts extend to rural electrification programs targeting communities beyond the national grid, promoting accessibility and inclusivity with mini grid programs in Trinidad &Tobago, Guyana and Belize. Concurrently, policies and action plans, such as Trinidad and Tobago's Energy Conservation and Efficiency Policy, prioritize energy efficiency measures across sectors to curtail consumption. Moreover, the integration of renewable energy sources into national grids, facilitated by initiatives like the Feed-in Tariff (FIT) Policy implemented in Trinidad & Tobago, underlines a strategic shift towards cleaner energy generation. Lastly, initiatives across 5 countries extend beyond electricity generation to encompass energy conservation measures, including widespread light bulb replacement programs and the promotion of energy-efficient appliances.

Investment in **sustainable and resilient infrastructure** development in the Caribbean region is not as strong as in other sectors. Current practices being implemented in Barbados, Dominican Republic and Jamaica include a focused effort to reduce reliance on fossil fuels and shifting to more renewable options, aiming for greater energy efficiency performance in buildings as well as in the Industrial Processes and Product Use (IPPU) sector.

In the **transport sector** across the eight SIDS Host Countries there's a concerted effort towards fuel-switching to more carbon neutral sources. Additionally, there is a focus on transitioning public buses and light-duty vehicles to electric or hybrid models in T&T, Barbados, Bahamas and Belize. Trinidad and Tobago is working on a policy on e-mobility with the aim of phasing in electric vehicles in the public and private transport sectors showcases a strong commitment aiming to reduce emissions, though these measures are not enough to avoid the reliance on traditional fossil fuels. Furthermore, energy conservation is pursued through parking management initiatives in Trinidad and Tobago. Upgrading and replacement of aircraft is prioritized across several countries to improve fleet efficiency. There's a push for promoting energy efficiency in water transport in Trinidad & Tobago, while alternative fuels are being introduced to the marine navigation sector in the Bahamas. 5 out of 8 countries have introduced alternative fuels in the transport sector.

Current mitigation practices in the **AFOLU** sector across the region involve various strategies aimed at sustainable land management and carbon sequestration in 6 of the countries (Bahamas, Belize, Dominican Republic, Trinidad & Tobago, Suriname and Guyana). These initiatives include the development of agroforestry programs for commercial lumber production, efforts to improve forest fire protection capacity, and the promotion of sustainable management of wetland resources. Additionally, actions are being taken to conserve natural forests, reverse deforestation trends, and reforest denuded areas of land. Sustainable agroforestry practices, such as improving pasture quality and implementing crop cover strategies, are also being encouraged.

Lastly, for **Blue Economy** and waste sector, where solid waste tends to be the main emitter of the sector the current practices reviewed in 7 out of 8 countries revolve around waste management and waste landfills management systems and programs that include recycling and composting[73].

The specific **mitigation objectives outlined in their NDCs** primarily targeted transitioning from fossil fuel-based energy sources to renewable alternatives, as well as reducing greenhouse gas emissions from agriculture and land use changes. Countries outlined both conditional and unconditional mitigation targets. Barbados aims for a 70% reduction in GHG by 2030, contingent on international financial support, and a 35% reduction without it. The Dominican Republic committed to a 20% emissions reduction by 2030, conditional on external finance, and a 7% reduction unconditionally. Jamaica pledged a 28.5% reduction with international finance and a 25.4% reduction without support. Guyana aims to provide 52 Mt of carbon dioxide equivalent by 2025, increase renewable energy share by 20% unconditionally, and reach 100% with conditional support. Suriname set conditional targets for 93% forest cover and an unconditional goal for renewable electricity above 35% by 2030. Trinidad and Tobago targets a 15% reduction with international finance and a 30% reduction in public transportation emissions unconditionally by 2030. Belize's mitigation targets are fully

[72] National NDCs and BURs: The Bahamas Updated NDC(2022), Barbados Update of the First Nationally Determined Contribution (2021), Belize Updated Nationally Determined Contribution (2021), First Biennial Update Report of the Republic of Trinidad and Tobago (2021), The Second National Communication of Jamaica, Republic of Suriname Third National Communication, Guyana's Second National Communication (2012)

[73] Trinidad and Tobago 2021 BUR and Bahamas 2022 BUR.

dependent on external financial support, while the Bahamas and Guyana stated that their goals are partly conditional on external finance.[74]

Two recent studies[75] revealed large gaps in estimating the climate finance needs of the region. Mitigation NDC financing needs in the of Belize, Dominican Republic, Guyana, Suriname and Trinidad and Tobago amount to US$ 14.8 billion, while the Bahama, Barbados and Jamaica must still define their NDC costs. In the context of climate finance and mitigation efforts from 2015 to 2020, the Dominican Republic received the highest funding of US$ 0.86 billion, followed by Jamaica (US$ 0.166 billion), and Guyana (US$ 0.115 billion). Estimated mitigation financing gap according to these studies amount to US$ 21.867 billion. Additionally, The Caribbean Development Bank estimates that Caribbean SIDS Countries require US$ 30 to US$ 40 billion over the next 3 to 10 years for renewable electricity and sustainable transport[76]. The region faces challenges due to its high-income status, making it a low priority for international climate finance allocation. According to these studies, the shortfall in international climate finance necessitates Caribbean SIDS Countries to adopt innovative and diversified finance options to achieve their climate goals.

Suitable technologies to contribute to mitigation efforts in the priority sectors encompass, among others the following.

Energy sector There is an opportunity to incentivize innovation, strengthen utilities' capacity to transition to renewable sources and work with SMEs to implement and scale distributed energy generation (DEG) models and energy efficiency programs. DEG and new sources of clean energy carriers, such as green ammonia and green hydrogen, present new opportunities for climate change mitigation at scale.[77] At the social level, the transition to renewable energy sources represents an opportunity to capitalize on job creation, upskill current workers and shift gender norms surrounding employment in the sector.

Transport*:* Mitigation efforts encompass a range of strategies, such as promoting electric or alternative-fueled vehicles, improving maintenance practices, enhancing public transportation systems, and implementing emission controls. Host Countries have targets around passenger electric or alternative-fuel vehicles usage. IDB Invest can work with corporations to define feasibility for electric vehicles (EV) among their fleets and value chains, and to conduct market studies among car leasing companies for electric vehicles to help mobilize the private sector toward EV fleets. To scale EVs, developers of the charging infrastructure will be key players to offer it at scale. With concessional capital, the right incentives can be implemented at the transaction level to accelerate the adoption by first movers, creating spillovers for further adoption.

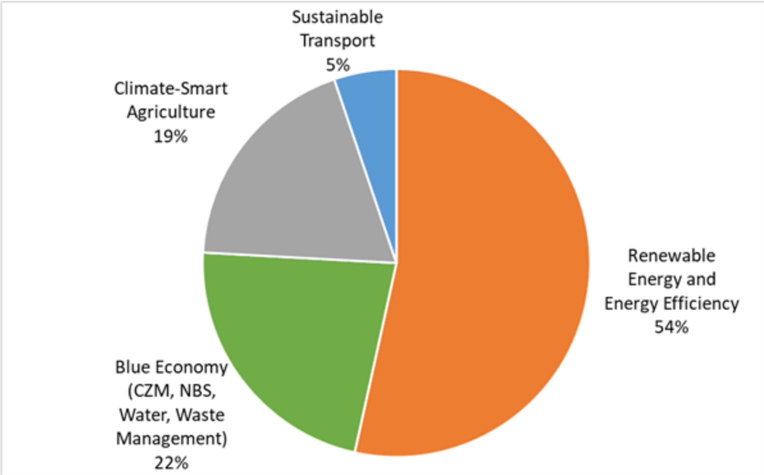
AFOLU*:* Climate-smart agriculture (CSA) and sustainable forestry practices can offer a key solution to prevent deforestation. CSA practices include avoiding further deforestation, restoring land, increasing soil productivity, preserving natural resources, livestock management, resilient crops water management, reduction of agrochemical runoff, energy management, and overall emissions reductions. Also modernize agri-logistics infrastructure, including information and communications technology.[78]

Blue Economy and Waste sector Investments in waste management, methane capture, and circular economies reduce waste and emissions. Preventing waste contamination and sustainable production meet blue carbon goals. The fishing sector can modernize vessels, embrace sustainable practices, and innovate processing to lower emissions and waste.[79]

The estimated **contribution to GHG reduced or avoided achieved** over a lifetime period of 20 years for this Programme is estimated at 7,064,470 **tCO_2e**. Figure 2 shows the estimated percentage of emissions reduced or avoided with respect to the program goal broken down by sector.

[74] Mohan, P.S (2023), Financing needs to achieve Nationally Determined Contributions under the Paris Agreement in Caribbean Small Island Developing States. Mitig Adapt Strategy Glob Change 28, 26.
[75] Mohan (2022) and Mohan, P.S (2023), Financing needs to achieve Nationally Determined Contributions under the Paris Agreement in Caribbean Small Island Developing States. Mitig Adapt Strateg Glob Change 28, 26.
[76] CDB. 2014. USD30 billion needed to modernise Caribbean infrastructure over next decade; CDB. 2022. CDB focused on increasing the region's access to financing.
[77] Latin America IEA Outlook 2023
[78] World Bank Group (2020) FUTURE FOODSCAPES Re-imagining Agriculture in Latin America and the Caribbean
[79] UNEP (2018) Waste Management Outlook for Latin America and the Caribbean

Figure 2 % Emissions Reduced/Avoided over Lifetime of the Program per priority sector.



This proposal prioritizes the above-mentioned five sectors based on the analysis of the NDC objectives of participating countries. These sectors are comprehensive enough to address widely mentioned NDC needs and align with areas where the private sector has expressed interest in involvement, as identified through exploration with key stakeholders. Please see Table 4, which includes the NDC priorities for adaptation and mitigation and the alignment with the priority sectors of the proposed program.

***Table 4** SIDS Host Countries Adaptation and Mitigation NDCs and proposal alignment*

Country	**NDC focus – Adaptation**	**NDC focus- Mitigation**	**Proposal alignment to each country NDC**	**Additional needs identified during Stakeholder Engagement (SE)**
Trinidad & Tobago	No adaptation in NDCs. Climate risks mentioned include floods, storms, landslides, sea level rise, and temperature increases.	• Industry, • Power generation, • Transport	• Renewable energy and energy efficiency • Sustainable transport	• AFOLU • Sustainable and resilient Infrastructure • Blue economy and water and waste management
Barbados	• Roofs-to-roofs program (R2RP) • Resilient homes • Water resource management • Resilient infrastructure • Coastal zone management	• Electricity (renewable energy + energy efficiency), • Transport, • Waste management. • Blue economy (including circular)	• Renewable energy and energy efficiency • Sustainable transport • Blue economy and water and waste management • AFOLU	• Sustainable and resilient Infrastructure
Suriname	• AFOLU • Resilient urban infrastructure • Data and information collection system • Technical capacities	• Electricity • Road transport • Agriculture, and forests. • Transport	• AFOLU • Renewable energy and energy efficiency • Sustainable transport • Blue economy and water and waste management • Sustainable and resilient Infrastructure •	
Belize	• Coastal zone management • AFOLU	• FOLU,	• AFOLU • Renewable energy and energy efficiency	

	• Fisheries diversification • Biodiversity • Resilient buildings and infrastructure • Water resource management	• Electricity (renewable energy + energy efficiency) • Transport and • Waste management.	• Sustainable transport • Blue economy and water and waste management • Sustainable and resilient Infrastructure	
Bahamas	• Water resource management • Protect at risk groups. • Disaster insurance • AFOLU • Tourism • Resilient buildings and infrastructure	• Electricity • Transport • LULUCF	• Renewable energy and energy efficiency • Sustainable transport • AFOLU • Blue economy and water and waste management • Sustainable and resilient Infrastructure	
Dominican Republic	• Water resource management • Power Generation • Protected areas and ecosystem-based adaptation • AFOLU • Infrastructure • Climate Resilient Cities • Tourism • Coastal management	• Energy sector (renewable energy, energy efficiency, and transportation), • product use and industrial processes sector (cement production), • AFOLU sector (various activities), • waste sector (solid waste disposal)	• AFOLU • Sustainable and resilient Infrastructure • Renewable energy and energy efficiency • Blue economy and water and waste management • Sustainable transport	
Guyana	• AFOLU • Coastal zone management • Resilient infrastructure • Innovative financial risk management and insurance measures • Early warning systems • Enhanced weather forecasting	• AFOLU • Energy sectors. • Waste sector.	• AFOLU • Renewable energy and energy efficiency • Blue economy and water and waste management • Sustainable and resilient Infrastructure	• Sustainable transport
Jamaica	AFOLU Aquaculture	• Land use sector, land use change and forestry • Energy	• AFOLU • Renewable energy and energy efficiency • Blue economy and water and waste management	• Sustainable and resilient Infrastructure • Sustainable transport

Source: own elaboration based on NDCs, NDC updates of the targeted countries.

Potential IDB Invest program projects for the targeted countries are outlined in section 4.3: Indicative Pipeline included in the Feasibility Study and section 5, non-exhaustive list of investments to be financed under the Program. (Please refer to Annex 2: Feasibility Study).

Challenges faced by the Private sector companies in the Caribbean

Caribbean countries present high levels of public debt, large current accounts, and fiscal deficits, while offering limited economies of scale for private sector actors that need to operate in small markets with high exposure to external economic shocks. When it comes to climate action, access to financing faces additional barriers, such as market inertia from a lack of awareness of climate change risks and/or climate-related investment opportunities, or information asymmetries as local and international lenders fail to correctly assess the risks in these projects and to offer adequate and affordable terms and conditions.

Small and medium enterprises (SMEs): Private sector companies in the Caribbean face several structural challenges, such as limited economies of scale, small domestic markets and limited capital.[80] The limited access to finance and the high costs of financing are significant obstacles for the performance and productivity of companies operating in the Caribbean. These challenges are considerably more pronounced for small and medium enterprises (SMEs). Even though they generate about 40% of the Caribbean Gross Domestic Product (GDP) and constitute over 95% of companies in this region, they have difficulty accessing business-related lines of credit in general, and trade financing from commercial banks.[81] Many of the region's MSMEs are owned or led by women, with even fewer employees than those owned or led by their male counterparts and who face additional barriers. Despite being a driver of entrepreneurships, WMSMEs are more likely to rely on short term financing – accessing circa 20% of the volume of short-term credit yet only 1.3% of medium to long term financing in the last 2 decades. At least half of the WMSMEs in 6 Caribbean countries (Barbados, Guyana, Jamaica, Suriname, The Bahamas, and Trinidad and Tobago) found accessing credit to be a significant hurdle, complicated by unfavorable interest rates, lack of collateral or lack of capacity to apply for business financing[82]. Some barriers for SMEs to becoming net-zero are complexity around business cases, lack of awareness, information and knowledge on changing environmental requirements among other challenges. SMEs tend to have less resources for greening such as skills, technology, finance, and need to be agile to market and policy changes.[83] They further face barriers toward their decarbonization effort, such as lack of knowledge and technology, limited time, and lack of standardized guidance on emissions reporting. In addition, SMEs face a disadvantage with respect to large corporations due to opacity, under-collateralization, and high transaction cost.

Financial Institution (FIs): Financial Institution (FIs) in the Caribbean face similar challenges as the private sector in general, including geographic reality of relatively small, fragmented markets that are strongly dependent on tourism and commodity exports. Also, FIs in the Caribbean have generally been slower in adopting climate-related risk disclosure, integrating green financial products than their peers globally, and systematically using sex-disaggregated data to strategically address the needs of women in these areas. For instance, apart from the Stock Market of the Dominican Republic (BVR), no Caribbean financial institution is currently listed as a supporter of the Task Force on Climate-Related Financial Disclosures (TCFD). Within green finance, a limited number of FIs offer green finance solutions (further details in Annex 2: the Feasibility and Market Study). These offerings predominantly encompass sectors such as solar energy, renewable energy, energy efficiency, and sustainable practices. Different types of financial instruments, including loans and leasing options, are available to support these sectors. Interest rates, financing terms, and incentives vary across institutions and countries, reflecting an emerging and diverse landscape. While progress is evident, there are areas of improvement and expansion, as certain hard-to-abate sectors and more advanced climate technologies remain less addressed.

Corporates: Corporate clients in the Caribbean face similar challenges to those faced by SMEs. Particularly, operating in small domestic markets and access to limited capital, which, when available, often comes at a high cost. Small domestic markets means that larger corporates tend to spread over several Caribbean countries to achieve sustained growth, which provides a unique challenge in the sense that corporates are forced to quickly become multinational companies once local markets are coped, and the readiness and maturity to do so may not be fully there once regional expansion is undertaken. Caribbean corporates is general are lagging behind their regional peers in terms of adopting aggressive net-zero strategies or embedding sustainable value chain practices. As is the case with SMEs, this may be mostly attributed to lack of awareness, information and knowledge on changing environmental requirements as well as limited resources for greening operations.

Infrastructure and SPVs: Challenges to developing new climate-resilient infrastructure tend to be highly dependent on the local context where assets are going to be located. For instance, in Bahamas, "critical challenges for infrastructure are aging maritime, airport and energy systems requiring modernization to deliver timely service. Furthermore, the nation's island geography demands climate resilient infrastructure to protect fragile ecosystems[84]. High vulnerability of energy and transport infrastructure in the Caribbean is of particular concern, but embedding and adopting resiliency-

[80] A preliminary review of policy responses to enhance SME access to trade financing in the Caribbean. ECLAC - Studies and Perspectives series-The Caribbean No. 88.
[81] Idem
[82] (Caribbean Economics Quarterly) Finance for Firms: options for improving access and inclusion
[83] "No net Zero without SMEs: Exploring the key issues for greening SMEs and green entrepreneurship", OECD SME and Entrepreneurship Papers No.30
[84] Country Infrastructure Briefs: Caribbean Region | Publications (iadb.org)

oriented design has been a slow process in the region, due to local developers, engineering firms, and EPC companies still lacking some technical know-how about the economic valuation of embedded resiliency, and low willingness to spend in seemingly "invisible" technologies in terms of ROI.

Some emerging economies in the Caribbean, particularly Guyana and Suriname face significant infrastructure gaps, especially in social infrastructure (health and education). While interest in mobilizing private capital to develop such projects has increased since 2020, the development challenges are quite significant, so closing the gap not only to the regional average but also to more developed Caribbean nations remains a priority.

Vulnerable groups

Climate change presents uneven impacts among vulnerable populations, and these disparities are closely linked to socio-economic inequality and the persistence of poverty. For instance, residents of informal settlements and marginalized neighborhoods in urban areas face additional risks due to a lack of resilient infrastructure and basic services such as adequate drainage and early warning systems. Extreme weather events, like heatwaves and floods, can have devastating consequences in these communities by affecting housing, workplaces, and livelihoods.

People in extreme poverty are particularly vulnerable to climate change due to their limited access to resources, infrastructure, and basic services. Climatic variations can negatively impact their food security, access to clean water, health and housing. According to research from the World Bank (2020)[85], in the most critical scenarios, climate change could lead to an increase of up to 300% in extreme poverty in Latin America and the Caribbean by 2030.

Within the impoverished population, certain groups face a higher incidence of poverty, such as women, children, people with disabilities, and indigenous communities. For example, data from the Observatory for Gender Equality in Latin America and the Caribbean (OIG by its acronym in Spanish) shows that in 2019, for every 100 men living in poor households, there were 112.7 women in similar situations, highlighting their lack of economic autonomy. Climate change can exacerbate this situation by directly and severely affecting access to livelihoods, pushing these groups towards chronic poverty.

The impacts of climate change are also reflected in essential natural resources for daily life, such as water, fisheries, availability of energy sources and biodiversity. Scarcity or difficulty in accessing these resources can have serious implications from a gender perspective and time use. Surveys on time use conducted in various countries in the region confirm the persistent and unbalanced division of labor by gender and the unfair social organization of care (ECLAC, 2022)[86]. Women, especially rural, Indigenous, and women in subsistence farming, are primarily responsible for family food provision, as well as for gathering basic resources for household subsistence such as water and firewood.

In the Caribbean, there are several indigenous populations, and they are among the most vulnerable to climate change. From the First peoples of Trinidad and Tobago to the maroons of Jamaica, and with at least nine main ethnic groups identified only in Guyana, these groups rely on the natural environment for their sustenance and have deep traditional knowledge about the environment (The Association of Commonwealth Universities, 2021)[87]. However, changes in climate patterns are altering their environments, affecting their ability to maintain their ways of life and cultures.

For example, the policy report "Gender Inequality in Climate Change and Disaster Risk in Guyana" (2021)[88] points out that Indigenous women are particularly vulnerable to the impacts of floods and droughts due to their dependence on natural resources, both in their reproductive and productive roles, to ensure water, food, and fuel security, as well as their limited mobility.

Finally, people with disabilities face additional challenges during extreme weather events and in subsequent adaptation and recovery situations. The lack of accessibility in infrastructure and services increases their vulnerability.

Non-climatic drivers further exacerbating climate change problems.

85 B. A. Jafino et al., "Revised Estimates of the Impact of Climate Change on Extreme Poverty by 2030", Delft University of Technology, Global Facility for Disaster Risk and Recovery, The World Ban, 2020.
86 L. Aguilar Revelo, "Women's autonomy and gender equality at the centre of climate action in Latin America and the Caribbean", Project Documents (LC/TS.2022/64), Santiago, Economic Commission for Latin America and the Caribbean (ECLAC), 2022.
87 https://www.acu.ac.uk/our-work/projects-and-programmes/universities-for-our-planet/climate-change-adaptation-strategies-in-the-caribbean/

88 https://wrd.unwomen.org/sites/default/files/2022-02/EnGenDER_Gender%20Inequality%20CC%20DRR%20Brief_Guyana_20220204.pdf

Some of the additional challenges of targeted countries further exacerbating climate change problems include (refer to Annex 2, section 2.10 for further information.

- Tourism exploitation poses a significant threat, with the development of tourist facilities leading to the degradation of coral reefs and mangroves. For instance, the Dominican Republic has lost over a third of its mangroves in the past 50 years due to coastal development[89].
- Inadequate waste management exacerbates the issue, as solid waste accumulates on land and finds its way into coastal ecosystems, contaminating beaches and harming marine life. Barbados has experienced coral reef damage due to eutrophication caused by waste disposal.[90]
- Fishing exploitation further strains marine resources, with unsustainable practices like overfishing and pollution threatening coral reefs, as seen in the Dominican Republic where 80% of reefs are at risk. [91]
- Agricultural and livestock unsustainable practices worsen land degradation through practices like slash-and-burn agriculture and deforestation, affecting millions in Latin America and the Caribbean SIDS annually.[92]
- Invasive alien species pose a threat to island ecosystems, affecting water supply and agricultural productivity. The presence of invasive plants and animals, such as the lionfish in the Caribbean, disrupts local ecosystems and threatens biodiversity. [93]
- Wastewater Treatment is insufficient, with untreated sewage contaminating coastal waters and aquifers.[94]

The market and regulation gaps identified both above and in more detail in annex 2, along with short and medium-term business demand can support identification of component 1 "advisory services" to be covered in each country, creating an enabling environment for investments.

Barriers

While countries in the Caribbean have shown political will and leadership advancing their pledges towards carbon emissions reductions and pushing the international community forward, they face structural challenges that prevent the private sector from advancing towards more resilient and sustainable production models. Please refer to section B.2 Theory of Change to see how the activities of the Program will address each of these barriers.

- *Macroeconomic constraints*. The current macroeconomic conditions with high inflation and interest rates, together with a very fragmented private sector where about 95% of companies are SMEs limit the appetite for international investors to invest in small projects with higher transaction costs, companies with limited borrowing track record and/or a high exposure of their business to the potential impact of climate change.
- *Limited access to financing.* Private sector companies in the Caribbean face several structural challenges, such as limited economies of scale, small domestic markets and limited capital.[99] The limited access to finance and the high costs of financing are significant obstacles for the performance and productivity of companies operating in the Caribbean. These challenges are considerably more pronounced for small and medium enterprises (SMEs). Even though they generate about 40% of the Caribbean Gross Domestic Product (GDP) and constitute over 95% of companies in this region, they have difficulty accessing business-related lines of credit in general, and trade financing from commercial banks[100].

- *Externalities and associated market failures.* Currently, no Caribbean country has implemented carbon pricing mechanisms, including direct taxation or emissions trading systems [95]. The non-taxation of externalities from carbon emissions in the Caribbean acts as barrier to increased investments into low-carbon projects that are not competitive under currently distorted market conditions.

- *Limited knowledge on the required improvements in the regulatory frameworks to support adaptation and mitigation technology deployment*. Regulatory frameworks fail to define the right incentives to promote low-carbon business models and operations (e.g., adequate regulation for the deployment of distributed energy

89 Rull, V. 2022. Responses of Caribbean mangroves to Quaternary climatic, eustatic and anthropogenic drivers of ecological change. Plants 11, 3502.
90 Linton D M, & Warner G F, 2003, Biological indicators in the Caribbean coastal zone and their role in integrated coastal management, Ocean and coastal management 46:261-276
91 http://pdf.wri.org/reefs_caribbean_chap4.pdf
92 Global Environment Facility Independent Evaluation Office. (2017). Land degradation focal area study. https://www.gefeo.org/evaluations/ land-degradation-focal-area-ldfa-study-2017
93 Del Río L, Navarro-Martínez ZM, Cobián-Rojas D, Chevalier-Monteagudo PP, Angulo-Valdes JA, Rodriguez-Viera L. Biology and ecology of the lionfish Pterois volitans/Pterois miles as invasive alien species: a review. PeerJ. 2023 Jul 25;11:e15728. doi: 10.7717/peerj.15728. PMID: 37520263; PMCID: PMC10377442.
94 Siung-Chang A, 1997, A review of pollution issues in the Caribbean. Environmental Geochemistry and Health, 19(2): 45-55
95 https://carbonpricingdashboard.worldbank.org/

generation) or prevent further damage to the existing natural assets (e.g., clearing of wetland near coasts and deforestation driven by small-scale farming and charcoal production continue to be prevalent albeit laws designated protected areas or prohibiting practices fail to be enforced). Businesses, especially trade groups, are vital in pointing out these issues and raising awareness among government and the public. For instance, they can organize workshops where the government and private sector discuss these barriers together.

- *High cost of access to technology*: Importing clean technologies to the Caribbean often entails considering high import costs due to less developed supply chains for importing heavy equipment to small and island countries, but more importantly, there is significant lack of after-sales support. Since Caribbean markets are small in terms of volume and revenue, Operations and Maintenance (O&M) of different technologies don't often have representation of sales agents, spare parts, and other post-purchase facilities to ensure that technologies have minimal downtime and proper customer support. This therefore impacts the off taker's bottom line and results in higher operational costs and levelized costs associated to the technologies. Furthermore, particularly in the case of renewable power and zero-emission mobility, government subsidies to fuels disincentivize investing in decarbonization technologies. Blended finance addresses this barrier.
- *Social inequalities for women and vulnerable populations (including gender-based inequality)*. The most vulnerable communities tend to not be represented in decision-making roles at private sector companies and FIs, constraining the perspective and sense of urgency to invest in adaptation and climate resilience to better protect the long-term sustainability of the company while offering opportunities to underrepresented communities.
- *Limited capacities of the financial sector and corporations to assess climate risks and advance sustainability operations*. Most NDCs mention the challenges of accessing financing to implement the needed actions and achieve their targets. Private financial systems and corporations need support and capacity building to assess climate risks in their portfolios and identify growth opportunities in new market segments that are aligned with their countries' NDC priorities. They also need adequate financial terms to support the growth of green and resilient portfolios within local financial institutions that are expected to continue financing sustainable and resilient projects, beyond the scope and tenor of this Program.
- *Limited sector-wide knowledge on adequate business models and bankable adaptation and mitigation solutions*: Currently there is limited evidence on the effectiveness and cost-efficiency of various strategies and technologies as well as sectoral studies specifically of the Caribbean SIDS.

Complementarity

(Please refer to Complementarity section in Annex 2 – Feasibility Study, for further details).

In the framework of the development needs of the Caribbean nations there are multiple bilateral and multilateral actors that are active in providing finance to promote the development of climate resilient investments in both the public and private sector, most notably the Caribbean Development Bank (CDB), the IDB Group, the World Bank Group, the European Union (EU), the United States Agency for International Development (USAID), the Government of Canada, the Global Environmental Facility (GEF), Climate Investment Funds (CIFs), among others.

The GCF is funding a number of projects & programs targeting the prioritized sectors in the region. An overview of these can be found in section 6 of Annex 2: Feasibility and Market Study. This Caribbean Net-Zero and Resilient Private Sector Program will seek to complement these existing project's foundational work. This will be done by building on lessons learned, track record created through them to further scale climate projects and close the climate finance gap by 1. Supporting sub-projects to become bankable and FI preparation to channel climate finance, as well as by 2. implementing low-carbon and climate-resilient projects in the SIDS Host countries.

Additionally, upon the request of the countries, IDBG's has developed a regional operational programme to improve the living conditions of citizens in the region- this program is "ONE Caribbean". "One Caribbean embraces and aligns with the Bank Group's newly outlined Institutional Strategy 2030, with a focus on four interconnected regional priorities: **climate adaptation, citizen and business security, private sector growth, and food security**.

The region's susceptibility to climate-related events underscores the need for modern infrastructure to mitigate adverse impacts. The program calls for interventions involving innovative financing for climate adaptation infrastructure, and a shift towards green energy. ONE Caribbean also aims to enhance **sustainable development through private sector engagement**, and to **address food security**, recognizing the persistent challenge of low productivity in the agriculture sector and pre-existing dependence on food imports in the region, especially before the pandemic. This ONE Caribbean program that was requested by the countries complements this GCF FP.

B.2 (a). Theory of change narrative and diagram (max. 1500 words, approximately 3 pages plus diagram)

Climate change problem

SIDS are recognized among UN institutions as being particularly at risk of climate change. Caribbean SIDS have high fiscal debt. In 2018, the total debt burden of the Caribbean stood at US$56.2 billion; representing over 70.5 % of subregional GDP.[96] Additionally, many of the Caribbean countries are ranked as medium to high income countries, which often restricts their access to concessional loans, as many sources of concessional funding require the project to be in countries that are eligible for ODA funding. This result in a high-risk categorization of these countries with high interest rates applied to debt-based financial instruments, which in turn exacerbates existing debt levels. The accumulation of debt is caused mainly due to the repeated destruction of physical and social infrastructure and productive capacity caused by disasters, including climate change. Regular annual disaster losses in the Caribbean are estimated at US$3 billion, with significant impacts on the social and productive sectors. Disaster-related costs are expected to escalate in the Caribbean due to population growth and rapid urbanization of coastal areas where the impact of hydroclimatic events is greatest as well as increased exposure of assets, and climate-change-related phenomena. [97]

The convergence of climate change impacts and fiscal limitations poses a challenge in securing funding solely from domestic and public budgets for adaptation and mitigation efforts. Therefore, achieving net-zero and enhancing climate resilience in the SIDS Host Countries rely on the involvement of the private sector. However, the distinctive market attributes, including substantial debt, project scale, and high vulnerability, hinder the attraction of private investments due to the risk-averse nature of most private investors.

Numerous initiatives are already in place to foster the growth of climate finance markets. One noteworthy example is the UN Task Force on Climate-Related Financial Disclosures (TCFD), which is dedicated to developing consistent and voluntary disclosures concerning financial risks related to climate. These disclosures are designed for utilization by companies, banks, and investors to keep stakeholders informed. Additionally, there are established frameworks, such as the Green Bond Principles, Social Bond Principles, and Sustainability Bond Guidelines, which have become the prevailing standards worldwide for issuing green, social, and sustainability bonds[98].However, these initiatives are still in their early stages and further efforts are needed to achieve their objectives and bridge the gaps[99] Approximately 24% of FI have established explicit policies for assessing and disclosing climate-related risks and 41% of surveyed institutions acknowledged lacking the necessary mechanisms to identify, evaluate, and manage climate risks in Latin America and the Caribbean[100]. The gaps in companies are similar with only a 28% disclosure rate across the 11 recommended disclosures of the TCFD for the region.

Consequently, drawing in private sector participation requires the development of institutional capabilities to embed climate risk in decision-making for investment, conceptualize projects, the establishment of a conducive investment environment, and primarily, the creation of 'bankable projects', which can be positioned as offering substantial returns on investment.

Goal Statement

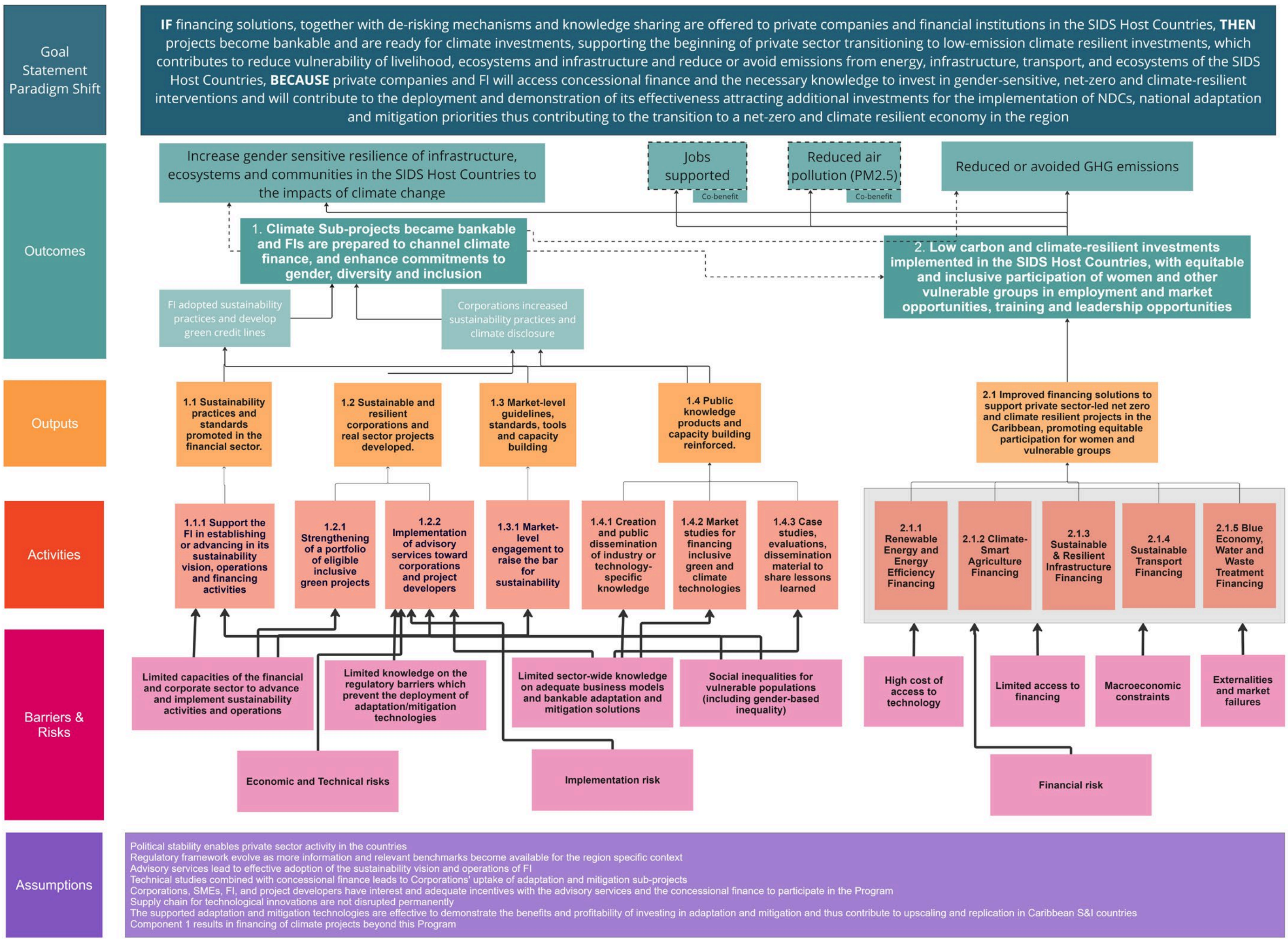
The purpose of this Program will be to catalyze additional financing and advisory services[101] to support the SIDS Host Countries' private sector in better aligning their strategies, operations and investment to transition to an inclusive and equitable net-zero and climate-resilient economy.

The programme goal statement is:

IF financing solutions, together with de-risking mechanisms and knowledge sharing are offered to private companies and financial institutions in the SIDS Host Countries, THEN projects become bankable and are ready for climate investments, supporting the beginning of private sector transitioning to low-emission climate resilient investments, which

[96] S. McLean and others, "Promoting debt sustainability to facilitate financing sustainable.
development in selected Caribbean countries: a scenario analysis of the ECLAC debt for climate adaptation swap initiative",
Studies and Perspectives series-ECLAC Subregional Headquarters for the Caribbean, No. 89 (LC/TS.2020/5-LC/CAR/TS.2019/12),
Santiago, Economic Commission for Latin America and the Caribbean (ECLAC), 2020.
[97] Ibidem.
[98] World Bank (2021), Enabling Private Investment In Climate Adaptation & Resilience
[99] TCFD. 2022. 2022 Status Report
[100] UNEP, CAF (2020), How the Banks of Latin America and the Caribbean incorporate climate change in their risk management
[101] For the avoidance of doubt, "advisory services" encompasses technical assistance, market studies, knowledge products, and all other eligible activities under Component 1.

contributes to reduce vulnerability of livelihood, ecosystems and infrastructure and reduce or avoid emissions from energy, infrastructure, transport, and ecosystems of the SIDS Host Countries BECAUSE private companies and FI will access concessional finance and the necessary knowledge to invest in gender-sensitive, net-zero and climate-resilient interventions and will contribute to the deployment and demonstration of its effectiveness attracting additional investments for the implementation of NDCs, national adaptation and mitigation priorities thus contributing to the transition to a net-zero and climate resilient economy in the region.



Expected longer term outcomes and co-benefits.

- **Increase gender sensitive resilience of infrastructure, ecosystems and communities** in the SIDS Host Countries to the impacts of climate change: Through the implementation of adaptation Sub-Projects in AFOLU, blue economy sector, resilient infrastructure and distributed energy generation to vulnerable communities, infrastructure and ecosystems in SIDS Host Countries exposed to climate-change impacts are expected to reduce its vulnerability and increase its resiliency.
- **Reduced or avoided GHG emissions**: The investment and implementation of low-carbon Sub-Projects in the energy efficiency, renewable energy, climate smart agriculture and blue economy sector are expected to significantly reduce or avoid GHG emissions.
- **Economic co-benefit: jobs supported, disaggregated by sex**: jobs are expected to be supported due to the construction and operation jobs created by the renewable energy projects and climate-resilient infrastructure which harness the role women can play as agents of change, and blue economy.

- **Environmental co-benefit:** PM2.5 reduction: Projects in the sustainable transport category are expected to also contribute to this environmental co-benefit of PM2.5 reduction/avoidance.

Short-term expected outcomes and outputs

The above-mentioned longer-term outcomes will be achieved by the articulation of the following result chain:

1. Sustainability practices and standards promoted in the financial sector (output1.1) is expected to be achieved by the different activities (advisory services) to support the FI in establishing or advancing its sustainability vision, operations and activities.
2. Sustainable and resilient corporations and real sector projects developed (output 1.2) is expected to be achieved by providing advisory services to identify and create a portfolio of eligible green projects; and the implementation of advisory services.
3. Market-level guidelines, standards, tools and capacity building (output 1.3) will be delivered through advisory services and studies conducted to promote market-level engagement to raise the bar for sustainability with industry associations.
4. Public knowledge products and capacity building reinforced (output 1.4) will be delivered by the creation and public dissemination of industry or technology-specific knowledge, the development of market studies for financing green and climate technologies, and case studies, evaluations, dissemination material to share lessons learned.

Short term results of this set of outputs are that Financial Institutions adopt sustainability practices and implement green credit lines and Corporations increase sustainability and resiliency practices. This will in turn contribute to **Intermediate Outcome 1:** Climate Sub-projects became bankable and FIs are prepared to channel climate finance**.**

The concessional financing offered in activities targeting the energy, low-carbon and sustainable transport, blue economy, climate smart agriculture, and sustainable and resilient infrastructure will deliver improved financing solutions to support private sector-led net-zero and climate resilient Sub-Projects in the Caribbean (output 2.1). This is expected to contribute to **Intermediate Outcome 2:** Low carbon and climate-resilient investments implemented in the SIDS Host Countries, with equitable and inclusive participation of women and other vulnerable groups in employment and market opportunities, training and leadership opportunities by de-risking with adequate financial mechanisms the climate change investments and creating a track record of bankable and profitable net-zero and climate resilient Sub-Projects.

Barriers faced in the Caribbean that prevent the private sector from advancing towards more resilient and sustainable production models have been described in section B.1. Each of these **barriers** will be addressed by the activities of the Program as follows:

Barrier	**Activities of the Program addressing barrier/risk**
Macroeconomic constraints	**Activities under output 2.1** by developing adequate blended finance solutions
Limited access to financing	**Activities under output 2.1** by developing adequate blended finance solutions
Externalities and associated market failures	**Activities under output 2.1** by developing adequate blended finance solutions.
Lack of knowledge on the required improvements in the regulatory frameworks to support adaptation and mitigation technology deployment	**Activity 1.2.2** will address this barrier by conducting studies, including the necessary insights to overcome regulatory gaps which hinder the deployment of technologies. Results from **activities under output 2.1** will also provide return on experience that can inform subsequent regulatory work.
High cost of access to technology	**Activities under output 2.1** by developing adequate blended finance solutions.
Social inequalities for vulnerable populations (including gender-based inequality	**Activities 1.1.1 and 1.2.2** will address this barrier by providing technical support to FIs and corporations with corporate governance that pertains to gender inclusion issues.
Limited capacities of the financial sector and corporations to assess	**Activities 1.1.1 and 1.2.2** will address this barrier by providing capacity building, feasibility studies and support to develop green bankable projects for both the corporations and FI.

climate risks and advance sustainability operations	
Limited sector-wide knowledge on adequate business models and bankable adaptation and mitigation solutions	**Activities under output 1.4** will support the development of studies and guidelines on implementing cost-effective solutions for mitigation and adaptation in specific sectors.

- The identified risks will be addressed by the Program activities as follows: *Macroeconomic Risks*. Projects may be exposed to fluctuations in the macroeconomic situation and/or currency exchange rate. **The program will support technical feasibility and market studies with activity 1.2.2 and activities under output 1.4 as well as prepare technical models to assess feasibility and economic sensitivity analysis including the identification of mitigation measures to reduce the impact of economic shocks.**
- **Technology risks.** The program aims to leverage the deployment of emerging clean technologies for mitigation and adaptation, many of which may not be considered fully commercially mature in Caribbean markets or may have lower TRL (technology readiness levels) than 8. Thus, technology risks are to be considered in terms of O&M considerations that apply to technologies that might not have strong regional support from manufacturers or third-party services.
- *Financial Risk.* Given the program's catalytic purpose, concessional investments provided by the program may yield less interest and/or be subject to higher risk than the respective IDB Invest financing or other commercial capital used to co-finance eligible projects and that there is a risk of loss of resources of the program. **This risk is mitigated through IDB Invest's due diligence process as well as the contracts and documentation for each transaction with activities under output 2.1.**
- *Implementation Risk*. Clients supported by the grant component of the program may discontinue the Sub-Project due to a shift in priorities. **This risk is mitigated with activities 1.1.1 and 1.2.2 since IDB Invest signs a client beneficiary agreement ("CBA") with clients where initial commitments are outlined, including, where appropriate, a cost-share/client contribution to show commitment.**

Assumptions underpinning to the ToC

- Political stability enables private sector activity in the countries.
- Regulatory frameworks evolve as more information and relevant benchmarks become available for the region-specific context.
- Advisory services lead to effective adoption of the sustainability vision and operations of FI.
- Technical studies combined with concessional finance leads to Corporations' uptake of adaptation and mitigation Sub-Projects.
- Corporations, SMEs, FI, and project developers have interest and adequate incentives with the advisory services and the concessional finance to participate in the Program.
- Supply chains for technological innovations are not disrupted permanently.
- Component 1 results in financing of climate projects beyond this program.

The supported adaptation and mitigation technologies are effective to demonstrate the benefits and profitability of investing in adaptation and mitigation and thus contribute to upscaling and replication in S&I countries.

B.2 (b). Outcome mapping to GCF results areas and co-benefit categorization

Outcome number	GCF Mitigation Results Area (MRA 1-4)				GCF Adaptation Results Area (ARA 1-4)			
	MRA 1 Energy generation and access	**MRA 2** Low-emission transport	**MRA 3** Building, cities, industries, appliances	**MRA 4** Forestry and land use	**ARA 1** Most vulnerable people and communities	**ARA 2** Health, well-being, food and water security	**ARA 3** Infrastructure and built environment	**ARA 4** Ecosystems and ecosystem services
Intermediate Outcome 1: Climate Sub-projects became	☒	☒	☒	☒	☒	☐	☒	☒

bankable and FIs are prepared to channel climate finance								
Intermediate Outcome 2: Low carbon and climate-resilient investments implemented in the SIDS Host Countries, with equitable and inclusive participation of women and other vulnerable groups in employment and market opportunities, training and leadership opportunities	☒	☒	☒	☒	☒	☐	☒	☒

If any co-benefits have been identified in section B.2(a), fill in the Co-benefit table below to map each co-benefit to the corresponding category as defined in the FP guidance note.

Co-benefit number	**Co-benefit**					
	Environmental	**Social**	**Economic**	**Gender**	**Adaptation**	**Mitigation**
Co-benefit 1:Jobs supported, disaggregated by sex		☐	☒	☒	☐	☐
Co-benefit 2: PM2.5 particles reduced	☒	☐	☐	☐	☐	☐

B.3. Project/programme description (max. 2500 words, approximately 5 pages)

Goal. Countries in the Caribbean have a need and an opportunity to include climate change mitigation and adaptation in their paths towards further development. The private sector has a central role to play in this process. The purpose of this program will be to catalyze additional financing and investment to support the private sector in better aligning their strategies, operations and investment plans to transition to an inclusive and equitable net-zero and climate-resilient economy. This Program will also be aligned with IDB Invest's "Investing in Reversing" strategy[102], which addresses climate change mitigation and adaption in a holistic way, as well as the IDB Group's (IDBG) commitment to align all operations with the goals of the Paris Agreement. The Program will comply with IDB Invest's gender mainstreaming process, such that 100% of sub-projects will be analyzed to assess the materiality and capacity for GDI interventions. Sex-disaggregated data will be analyses against relevant indicators to define outcome level KPIs to track implementation of identified gaps, where applicable and measure enhanced impact for women in the sub-projects. The five sectors that were identified for the Program based on an analysis of the relevant countries NDCs[103] are: 1) Agriculture, Forestry and Other Land Use (AFOLU); 2) Sustainable and resilient infrastructure; 3) Electricity including renewable energy and energy efficiency; 4) Sustainable transport; and 5) Blue economy, including water and waste management[104] [105] (collectively, the **"Program Sectors"**). The following section presents the main adaptation and mitigation context and potential solutions for each of these sectors.

Components: The Program expects to address the barriers identified in Section B.2 through the activities of **two distinct components**:

- *Advisory Services*[106] *to promote gender-sensitive, material sustainable action in the private sector and to develop climate investment-readiness*; a facility that offers advisory services, knowledge products and other related materials (collectively, the "**Advisory Services**"), as applicable (**"Component 1"** and/or the "**Grant Instrument**," indistinctly); and
- *Portfolio of private sector investment in low-carbon and climate resilient projects in the Caribbean,* offering concessional financial products, including loans, guarantees and equity investments, that leverage GCF resources in tandem with adequate Co-financing (the "**Concessional Financings**"), as further detailed below (**"Component 2"** and/or the "**Non-Grant Instrument**", indistinctly, and together with the Grant Instrument, the "**Components"**).

The Program has been designed based on IDB Invest expertise and knowledge of the needs of the private sector in the relevant countries and **makes use of non-financial advisory services solutions as well as different financing instruments, including senior and subordinated loans, equity and risk mitigation instruments such as guarantee to help address the identified barriers**. Please refer to Annex 2 for details on the green financing baseline and the financial demand in the targeted countries.

Recipient Eligibility Criteria for Funded Activity Recipients: IDB Invest may allocate Program resources through the Components to entities organized in a member or non-member country, regardless of the degree of an entity's private or public sector ownership, that do not benefit from a full sovereign guarantee for repayment of IDB Invest's financing as long as the ultimate beneficiary of such Program resources is an enterprise located in one or more SIDS Host Countries (the "**Recipients**"). Recipient eligibility is assessed by IDB Invest on a case-by-case basis, following IDB Invest's policies and procedures.

Primary Recipients: The primary Recipients of this Program will be existing or potential IDB Invest clients that, in broad terms, can be categorized as follows:

1. ***Corporations and project developers of energy and infrastructure Projects, including Special Purpose Vehicles (SPV)*:** For a company to qualify for IDB Invest financing, it must be a profitable business or growth-stage company with good growth potential, and comply with domestic social and environmental regulations (collectively, the **"Corporations" and "Project Developers"**, as applicable). ***Financial intermediaries (FIs)*:** IDB Invest financing solutions can be provided to banks; microfinance institutions; leasing companies; factoring companies; savings and loans institutions; investment funds; and other specialized financial institutions (collectively, the **"FIs"**). The FIs are expected to on-lend to SMEs, including to WMSMEs where applicable, corporations and project developers in the Funded Activity sectors. FIs must also have demonstrated capacity for gender intervention, including but not limited to dedicated financial offerings for WMSMEs; defining criteria for WMSMEs and sizing the

[102] Investing in Reversing, COP25
[103] A summary of the analysis of the eight countries' NDC can be found in Annex 2.
[104] The decision to group the Blue Economy, Water, and Waste Management sectors together is driven by the close interdependence of these factors in small island contexts. These nations face unique challenges due to their limited land area and interconnected activities. By combining these sectors, the Program acknowledges the intrinsic links between coastal economies, water resources, and waste management.
[105] Blue economy for the purposes of this program encompasses all activities listed under the IFC Blue Finance Guideline
[106] References to "advisory services" throughout this document are meant to encompass all activities under Component 1.

women's segment of their portfolio; a clearly defined value proposition for women; credit scoring that considers gender differences; increasing the presence of women in leadership positions. To be eligible for on-lending through FIs, SMEs must comply with FIs definition of SMEs or official national definition and be in one or more SIDS Host Countries.

The size of the targeted Recipients may vary by country and sector, but they are generally expected to be mature and established companies.

The above list of primary Recipients is indicative and non-exhaustive, and the Accredited Entity may select other types of entities as Recipients in accordance with its policies and procedures. By way of example, other types of entities may include stock exchanges, banking associations and other industry-specific associations to conduct the work defined under **Output 1.3 "Market-level guidelines, standards, tools and capacity building."**

Description of Program Components

Component 1: Advisory services to promote gender-sensitive, material sustainable action in the private sector and to develop climate investment-readiness (grant instrument)

The Grant Instrument will be set up as a facility to provide non-financial solutions aimed at bridging the knowledge gap, supporting project preparation and developing local technical capacity.

The Recipients of Component 1 will be IDB Invest clients and potential clients in the region who are FIs, Corporations, and Project Developers of energy and infrastructure projects.

IDB Invest helps its clients implement mitigation and adaptation strategies and operations in their business. Through Component 1, IDB Invest will work with clients from various sectors to develop and update their strategy and operations, making the most of new climate technologies, identifying present and future climate risks, and discovering and entering new green markets. IDB Invest advises its clients on climate-smart solutions adapted to their specific needs and works to have its investments help develop both economically and environmentally sustainable business models[107]. The total Component 1 amounts to USD 14.075 million.

- Objective: Through Component 1, the Program will seek to make IDB Invest projects ready for climate investment by providing selective advisory services.

The proposed activities under Component 1 target differentiated stakeholders:

- Output 1.1 targets FIs
- Output 1.2 targets Corporations and Project Developers.

Both outputs offer advisory services directly to IDB Invest's clients on a one-on-one basis. All projects will be screened in accordance with IDB Invest's gender mainstreaming procedures to assess both gender-related risks and opportunities to close gender-specific gaps.

- Output 1.3 focuses on advisory services targeting industry-specific or association-specific initiatives.
- Output 1.4 targets the broader public by fostering knowledge sharing and learning.

Output 1.1 Sustainability practices and standards promoted in the financial sector.

Activity 1.1.1 Support the FI in establishing or advancing in its sustainability vision, operations and financing activities

IDB Invest supports FIs in establishing a first sustainability strategy, or further elaborating its sustainability strategy by developing new policies, procedures and green financial products. IDB Invest assesses the bank's baseline on gender, diversity and inclusion with a view to strengthening the GDI commitments, and sustainability best practices and designs

[107] https://idbinvest.org/en/solutions/climate-change

a customized advisory services solution that meets their needs. Each advisory services solution will include some or all of the following based on the needs of the client:

(a) Capacity building and developing a commitment:

Several sustainability awareness activities can be undertaken. The Program will build awareness among bank and funds' senior management regarding the benefits of sustainable finance initiatives, and the business case for gender lens investing. Following this, the Program will motivate senior management to champion climate action with a gender lens and sustainability commitments, embedding these principles in the institution's mission and values. The objective of this activity is to encourage senior management of a bank (typically C-suite level) to make an initial commitment toward sustainability, set a vision and make the necessary resources (including human resources) available. This can be supported by helping to establish dedicated sustainability committees or task forces that oversee climate-related initiatives, ensuring high-level engagement and accountability.

This activity will build capacity among FIs to create ambition within their institutions to contribute to the global climate agenda, promote gender equity in the workplace, promote financial inclusion, transition toward becoming a greener bank and execute on financing for sectorial commitments and priorities related to the NDCs but also as demonstrated by market need, and segments prioritized by the FI in their business strategy.

Training and capacity-building programs can be implemented to educate employees about the urgency and opportunities associated with climate change as well as the differentiated risks and roles that women can play in climate resilience. This includes but is not limited to providing specialized training on sustainable finance, climate risk assessment, and impact measurement methodologies.

Courses may be created for FI employees about sustainable finance and climate change and to raise awareness and foster a sense of urgency among employees regarding the importance of the climate agenda.

Furthermore, the aforementioned advocacy with clients may also include convincing FIs to lead or participate in establishing an industry-wide collaboration and partnerships such as industry associations to engage with regulators and raise the bar for sustainable finance across the industry (Further described in Activity 1.3.1).

(b) Development of strategic visions and action plans.

- Creating a green vision, sustainable finance strategies and corporate roadmaps, helping the FIs to assess their starting point, and guiding them to design and implement customized and ambitious sustainable finance plans, that include a gender angle.
- Leverage the use of the Women's Empowerment Principles (WEP) Tool or Women's Entrepreneurship Banking methodology to diagnose existing gender gaps in internal policies or in financial products, processes and capacity in the operation of the segments; and cocreate an action plan with at least 2-3 defined KPIs
- Analyze the climate impact of portfolios, develop frameworks, as well as verify and certify any thematic bond issuances, including new climate instruments such as net-zero and sustainability-linked loans.
- Support FIs in becoming climate-smart institutions by defining strategies and toolkits, including action plans to develop social and environmental management systems, elaborate resiliency-focused financial products, align with the Taskforce for Climate-related Financial Disclosures (TCFD) and prepare for net-zero commitments (e.g., Partnership for Carbon Accounting Financials (PCAF), Glasgow Financial Alliance for Net Zero (GFANZ)). Regular reporting and transparency on these targets can create a sense of accountability and motivate employees to work towards achieving them. Capacity Building will be provided so FIs are able to apply the tools.
- This activity will also include support to FIs to, through their sustainable finance initiatives, improve their corporate policies to be more equitable and inclusive in their workforce and decision-making.
- As part of this activity, FIs can also establish internal targets and key performance indicators (KPIs) to track progress and incentivize action towards climate-related goals. This can include targets for increasing green investments, reducing carbon emissions from internal operations, and enhancing the institution's resilience to climate risks.

(c) Development of green financial products to channel funding to the five main sectors of this program:

IDB Invest will support FIs in creating green lines that will finance green businesses and assets. It will build capacity among FIs to develop climate-focused financial products that support the needs of five main sectors to increase their decarbonization and climate-resilient efforts through green lending.

Additionally, the program will support FIs to introduce green financing lines that include gender considerations where applicable and over time build green portfolios, especially in sectors central to the NDCs and/or the climate change needs of the country or specific location. This will include segmenting their portfolios and defining sub-portfolios with high climate impact in the five sectors of this program: renewable energy and energy efficiency, AFOLU, sustainable transport, resilient infrastructure, and the blue economy (including waste management).

Through the advisory services, IDB Invest will support the FI to begin and advance the roll out of green loans. In cases, where the bank is in a more advanced stage, this could also include analyzing the climate impact of portfolios, develop frameworks, and second party opinions over thematic bond issuances. In the cases of the most advanced banks, it could also include support toward issuing sustainability-linked bonds and instruments.

Also, in order to provide support to the private financial systems to assess climate risks in their portfolios and identify growth opportunities in new green market segments, this activity will develop market studies for the key sectors for this program in the targeted countries to identify business opportunities for the FIs. The outcomes of these studies will allow prioritizing target segments and new green financial products.

This activity will also include support to FIs to increase their product offering to enhance the access to green financial products by women-led SMEs and other vulnerable populations, as well as to improve their corporate policies to be more equitable and inclusive in their workforce and decision-making. The Fis will be encouraged to demonstrate capacity for gender intervention, including but not limited to dedicated financial offerings for WMSMEs; defining criteria for WSMEs and sizing the women's segment of their portfolio.

Output 1.2 Sustainable and resilient corporations and real sector projects developed.

Activity 1.2.1 Strengthening of a portfolio of eligible inclusive green projects

Grant Instrument resources will be allocated to preparing a strong pipeline of projects in contexts that allow for higher and broader impact, based on leads generated by IDB Invest's business generation unit. The identification of projects and leads is carried out by IDB Invest investment officers, upon which specialized consultancy services will be hired to support the generation of a bankable climate finance pipeline. This is of particular importance in the infrastructure sector, where pre-investment advisory services can be instrumental in making a project or asset bankable and in line with sustainability targets.

The process will involve a systematic process of assessing, preparing, and selecting projects that meet the eligibility criteria and align with the Program's objectives regarding impact and financial viability. Through rigorous screening and due diligence, a portfolio of eligible green projects is curated with GDI considerations, ensuring a diverse range of initiatives that have the potential to deliver desired adaptation and/or mitigation outcomes and contribute to the overall Program's objectives.

Activity 1.2.2 Implementation of advisory services toward corporations and project developers

The Program will provide support to potential and current IDB Invest clients in the form of capacity building, execution of feasibility studies, development of business models, among others. The Program will work closely with the client (Corporations and Project Developers) to develop inclusive and just climate action plans and climate operations that can be financed under Component 2 or to unlock climate finance from other sources.

Component 1 will support the performance of technical feasibility studies at Recipient sites with the objective of demonstrating business viability and ultimately to unlock finance for climate change mitigation or climate change adaptation projects and assets. The below includes some examples of the work that can be done under this Component:

Energy: In the case of the Energy Sector, the program will work with companies to assess the benefits for the private sector of renewables, conducting market studies to determine feasibility, price point and financing mechanisms needed to make a competitive case for renewable energy for residential, commercial and industrial consumers, informed by data on gender-differentiated use as applicable, and the gaps in the regulatory framework. Additionally, the program will seek ways to promote gender equality in the workplace through increasing the presence of women in technical roles in the energy sector. These studies will allow for companies to feel comfortable to take on loans to invest. As an example of this activity, it will be possible to support the commercial, industrial, and power utilities sectors with capacity building, feasibility studies, and project/business model design for the deployment of disruptive and digital technologies including large scale battery storage and green hydrogen, artificial intelligence for water efficient systems.

Blue economy, water and waste: Support infrastructure projects to integrate nature-based solutions and coastal zone management that maintains or regenerates blue carbon and is not disruptive to mangroves, wetlands and forests. The facility may also support clients in capturing blue finance. For example, in the Blue Economy sector, the program can work with clients to integrate nature-based resiliency solutions for coastal management. These may include advisory services to conserve, restore or design living shorelines to support resilient communities.

Resiliency: Conduct gender-sensitive climate change vulnerability analysis in order to support corporations and infrastructure projects to identify resiliency measures, develop inclusive disaster preparedness plans and capacity in order to minimize damage in sudden onset events and restore normal activity quickly afterward.

Decarbonization: Under this activity, the program will also work with companies in all key sectors in customized decarbonization strategies including through renewable energy and energy efficiency interventions, as well as supporting them on preparedness for carbon certifications.

AFOLU: Support to foster mitigation and adaptation include the development of climate vulnerability assessments for agribusinesses and the identification of adaptation measures to reduce climate vulnerability in food production and processing, resulting in climate investments plans which will unlock climate finance. Studies may include the pre-feasibility of innovative climate smart agriculture measures such as the adoption of bio-inputs to reduce the consumption of synthetic fertilizers to reduce GHG emissions whilst also fostering soil health and improved water retention. Or the use of biological pest control to replace pesticides whilst promoting biodiversity and reduced emissions associated to the use of fossil fuels from the application of agrochemicals. This activity may also cover the design and pre-feasibility studies that support a shift towards agroforestry production models that diversify food production and increase resilience whilst reducing emissions. Additionally, this activity will support agribusiness in developing decarbonization plans, including the identification of investments to unlock climate finance.

The Program will build capacity to increase companies' engagement with SMEs along their value chain, as well as women and other vulnerable populations in their workforce, to define and implement their decarbonization and climate resilient strategies, given the importance of scope 3 emissions reductions for many industries.

Output 1.3 Market-level guidelines, standards, tools and capacity building

Activity 1.3.1 Market-level engagement to raise the bar for sustainability

This activity will promote industry-specific or association-specific initiatives to raise the bar and advance the sustainability agenda for all private-sector entities.

Through industry or private sector associations, this activity will work with private sector enterprises, to identify the material GDI/sustainability topics for the industry, understand the demand from the private sector and develop sustainability protocols and set guides for the respective industry.

The objective of this activity is to raise the bar across the industry, rather than conduct one on one advisory services with clients and potential Recipients.

Also, the Program will carry out capacity building activities based on the information produced during the execution of the activities described above.

Learning workshops: Throughout the Program's duration, workshops will be organized for industry or association initiatives. These workshops will serve as platforms to disseminate the lessons learned to key stakeholders, other organizations involved in mitigation projects, and project Recipients. The primary objective of these workshops will be to share valuable insights and foster collaborative learning.

Through this activity, the Program can promote inclusive, sustainable and resilient investments preparedness by issuing guides and tools for various types of projects, as well as support Project Developers and providers in using these tools. These tools and guides will be available to all members of such associations.

As an example, the Program could engage the green building council of a country to develop green building standards that are appropriate and impactful given the local context, this may include the development of a standard that incorporates and customizes existing emissions reductions guides but also incorporates resiliency measures required in that region.

Another example could include support for the banking association in a country to develop local green and social (including gender) finance taxonomies, create climate and environmental risk protocols in order to raise the bar across the industries. Often such initiatives will result in an invitation to the regulator to participate in the discussion and co-create country-level guides and standards for climate banking.

Output 1.4 Public knowledge products and capacity building reinforced.

Activity 1.4.1 Creation and public dissemination of industry or technology-specific knowledge

Firstly, the Program will support the development of comprehensive research and analysis to identify innovative approaches in selected sectors where there is demand or potential for demand. This would involve gathering data, disaggregated by sex where applicable, assessing the effectiveness and cost-efficiency of various strategies and technologies. Under this activity, the program could support the development of guidelines and/or reports that provide practical guidance on implementing gender responsive, cost-effective solutions for mitigation and adaptation in specific sectors. These resources will be accessible, user-friendly, and based on sound scientific evidence and real-world examples. These activities will help to actively engage with stakeholders to fostering the implementation of these practices at scale and advance local demand for global technologies or interventions. This activity will promote knowledge generation on mitigation and adaptation cost-effective solutions and technologies across the sectors.

Activity 1.4.2 Market studies for financing inclusive green and climate technologies

Under this Program, this activity will develop state of the market studies with a gender lens highlighting the gaps, barriers and opportunities for green business models, climate technologies and gender-smart climate financing green broadly, with a country or region-specific lens. It may include publication of tax incentives and other existing incentives in place for climate business for the public domain.

For example, for the sustainable Transport sector, elements such as EV adoption in the target countries, in terms of vehicle uptake, charging infrastructure deployment, demand to purchase vehicles so companies can begin to introduce EV products, availability of models in local markets can be researched and published for the public domain.

Another example could be a market study for resilient buildings by helping to demonstrate the demand for resilient construction (including housing, commercial and industrial properties), identifying location-specific measures, showcasing the benefits, including the financial returns for companies and individuals, and the identification of opportunities to engage SMEs to provide services for sustainable and resilient construction.

These market studies will allow not only IDB Invest clients to draw on this research but also for other investors and businesses to mobilize gender-smart climate finance and conduct climate business based on the opportunities identified in the market studies.

Activity 1.4.3 Case studies, evaluations, dissemination material to share lessons learned.

The objective of this activity is to facilitate the extensive dissemination of the Program among the targeted countries, key stakeholders, and Program recipients. Additionally, it aims to promote a culture of continuous learning by fostering the sharing of valuable insights, lessons learned, and best practices among key stakeholders.

Within this framework, project case studies will be developed to showcase the outcomes of successful projects. Furthermore, various materials will be created with the purpose of sharing lessons learned with other market participants. Some of the activities that will be implemented will be the following: (non-exhaustive):

- Case studies: As part of the Program, a minimum of ten case studies will be identified, divided across the various sectors aiming to capture valuable lessons learned. The IDB Invest team will carefully select successful projects which include gender-specific actions from various countries to analyze the factors contributing to their success, the primary Sub-project benefits, and the lessons learned. These insights will subsequently be shared through multiple channels such as the IDB Invest website, LinkedIn, webinars, presentations, and other formats. In at least two case studies, the program will use sex-disaggregated data, outline the intersections between climate crisis and gender inequality and highlight the shared benefits to recipients of leveraging climate finance to achieve gender equity. To ensure inclusion io, authoring of case studies will include both men and women, and where interviews are necessary, the program will attempt to take a gender-inclusive approach to data collection. This will include efforts to ensure an equal representation of women's and men's voices during interviews with project recipients.
- Conference and panels participation: As part of the Program, IDB Invest and its clients will participate in conferences and panels to showcase to the public, including government stakeholders, private enterprises, international organizations, the successes and lessons learned of select projects as well as to showcase new and upcoming trends in the Caribbean region.

As outlined in annex 4, for the activities under component 1, IDB Invest will host or participate in capacity building workshops, events and/or meetings in-person to share and ensure successful project implementation. This could include event content, logistics and travel for IDB Invest staff and consultants.

COMPONENT 2 – Portfolio of private sector investment in low-carbon and climate resilient projects in the Caribbean

Building on Component 1's activities, which focuses, in part, on providing advisory services to prepare the climate readiness of the private sector, Component 2 aims to offer catalytical financing at concessional terms to private sector actors in the SIDS Host Countries. Currently, the Caribbean region is confronted with a significant funding gap for implementing crucial climate mitigation and adaptation projects. Given the limited financial resources available in the public sector, involving the private sector in financing climate and mitigation outcomes becomes crucial.

Therefore, Component 2 will include the establishment and implementation of a private sector facility for supporting crucial private sector-led investments in climate mitigation and adaptation measures. The facility will have an indicative size of USD 100 million, to be funded with GCF Proceeds. Additionally, IDB Invest and other commercial banks will provide an additional USD 406 million of co-financing to projects financed by the facility. IDB Invest, as administrator of the facility, will in turn execute investments into climate-related private sector projects while optimizing the overall climate impact and achieving the financial return requirements set by the GCF for the facility.

The Recipients of Component 2 will be IDB Invest existing or new clients in the SIDS Host Countries who are FIs, Corporations, and Project Developers of energy and infrastructure. FIs will on-lend to SME's, Project developers and Corporations.

Output 2.1 Improved financing solutions to support private sector-led net zero and climate resilient projects in the Caribbean, promoting equitable participation for women and vulnerable groups

The financing activities of Component 2 will support projects that simultaneously target climate and gender goals by having demonstrated ex-ante net positive contribution to mitigation and adaptation (see Section B.1 Climate Context). Please see the positive list of eligible activities in Annex 2 Feasibility Study. The activities will focus on the Program Sectors. The allocation of financing per sector is displayed in Table 5 below.

Table 5: Indicative allocation of financing activities under Component 2

	in USD million					
Budget breakdown by financing activity	**$ from GCF**	**$ from IDB Invest & others**	**$ total**	***x leverage***	**% of $ total**	**% of GCF**
2.1.1: Renewable energy & energy efficiency	30	180	210	*6.0x*	42%	30%
2.1.2: AFOLU	14	42	56	*3.0x*	11%	14%
2.1.3: Sustainable & resilient infrastructure	20	80	100	*4.0x*	20%	20%
2.1.4: Sustainable transport	16	64	80	*4.0x*	16%	16%
2.1.5: Blue economy	20	40	60	*2.0x*	12%	20%
	100	406	506	*4.5x*	100%	100%

Activity 2.1.1: Renewable Energy and Energy Efficiency Financing

This activity will finance projects that focus on renewable energy sources and energy efficiency measures through concessional blended financing instruments. The goal is to support the just transition of the Caribbean to low-carbon electricity grid, while increasing the energy efficiency of the economies, improving the resilience to climate-related impacts and providing opportunities to upskill women in traditionally male-dominated fields.

Activity 2.1.2: AFOLU Financing

This activity aims to finance sustainable agricultural projects through concessional blended financing instruments, particularly those that adopt climate-smart practices, define strategies for expanding access to credit for WMSMEs to adapt to climate change, and leverage the role of women in the agriculture value chains and community groups such as cooperatives to enhance productivity while promoting environmental conservation. It focuses on projects such as agroforestry systems and reforestation to address deforestation and climate change impacts.

Activity 2.1.3: Sustainable & Resilient Infrastructure Financing

In this activity, financial support will be provided through concessional blended financing instruments for investments in inclusive, sustainable and climate-resilient infrastructure projects, including those which increase decision-making opportunities and women's participation in gender-smart infrastructure design. The primary focus of this activity is to encourage the development of energy-efficient and climate-resilient buildings and infrastructure to reduce emissions and increase resilience to climate-related impacts such as hurricanes, sea-level rise, torrential rain, and heatwaves.

Activity 2.1.4: Sustainable Transport Financing

This activity involves providing financial support through concessional blended financing instruments for investments in low-carbon and resilient infrastructure projects, with a specific focus on promoting electric vehicles (EVs). The activity aims to accelerate the adoption of eco-friendly transportation solutions, reduce greenhouse gas emissions, and enhance overall resilience to environmental challenges.

Activity 2.1.5: Blue Economy, Water and Waste Treatment Financing

In this activity, financial support will be provided for various blue economy activities that not only enhance local water quality and availability but also bolster resilience against water-related climate impacts such as droughts and floodings, and explicitly includes gender and/or social KPIs to ensure investment in the blue economy works for all. The blue economy refers to the sustainable use and conservation of ocean and marine resources for economic growth and improved livelihoods.

Overview of financial instruments for the above-mentioned activities.

The financing instruments for the previously described activities will take form as debt instruments (including securities), guarantees, risk mitigation instruments, and/or equity investments, among other financial tools. Program resources may also be offered in the form of unhedged local currency financing products[108] to contribute to create a conducive environment to develop local financing markets and crowd in local institutional investors. The availability of different types of financial instruments will allow this component to tailor the financing conditions to the specific challenges faced by private sector actors when implementing climate mitigation and adaptation projects.

The Indicative allocation of Financial Products for Component 2 activities is given below:

- **Risk capital** (25%), in the form of equity and mezzanine capital, aiming to provide growth capital where it is still not commercially available, while also crowding in commercial senior or subordinated debt.
- **Senior or subordinated debt** (50%) with terms and conditions that match the ability of the projects to generate repayment cash flows, creating the conditions to unlock additional resources from other financial or corporate investors.
- **Risk-mitigation instruments** (25%), specifically in the form of guarantees aiming to address investment-specific risks, such as first-mover risk or lack of track record for innovative business models or addressing specific risk exposures to climate-related events (collectively, the "**Financial Products**").

IDB Invest will originate projects with Program funds in accordance with its policies and procedures for the processing of transactions, respecting the highest standards of accountability, efficiency, objectivity, integrity, and ethical conduct, as further detailed in Section B.4.

B.4. Implementation arrangements (max. 1500 words, approximately 3 pages plus diagrams)

Program Structure. To address the Program Sectors in the SIDS Host Countries, achieve the expected outcomes and implement activities, the Program will use a combination of funding sources, as follows: GCF Proceeds of USD 118.976 million, which will contribute to mobilize an additional USD 408.2 million from IDB Invest and other private sector co-financiers and co-investors.

IDB Invest will channel Program resources through the Components to eligible Recipients to implement the Program's activities, in accordance with the corresponding (i) client-beneficiary agreements and other documentation with third parties that govern the use of Program resources for Advisory Services under Component 1 (the "Advisory Services Agreements"), and (ii) financing agreements and other documentation with third parties that govern the use of Program resources for Concessional Financings under Component 2 (the "Financing Agreements"), as applicable.

Funded Activity Sub-Projects: The Components will be implemented through a set of projects to be approved by the Accredited Entity in accordance with its internal policies and procedures, as described in Section B.3. above, which may consist of a single activity or a set of activities under the respective Components (each a **Funded Activity** "**Sub-Project**"). For the avoidance of doubt, eligible Sub-Projects under Component 2 are those with climate mitigation and adaption activities that meet the "Climate Finance" definition according to the "Multilateral Development Banks (MDBs) Joint Methodology for Tracking Climate Finance". For the avoidance of doubt, an eligible Sub-Project under Component 2 may be financed by a single or multiple Financial Product(s), in tandem with Co-financing (as defined below), in accordance with the terms of the FAA.

Advisory Services available under Component 1 may be used in conjunction with Concessional Financings for Component 2 Sub-Projects, or on a standalone basis for Component 1 Sub-Projects. In some cases, Recipients will require GCF Proceeds from both Component 1 and Component 2 in order to successfully unlock climate finance. In some cases, Recipients will require GCF Proceeds from both Component 1 and Component 2 in order to successfully unlock climate finance. Funding for each Sub-Project will be evaluated on a case-by-case basis depending on identified needs. There can be more than one Sub-Project in a Host Country.

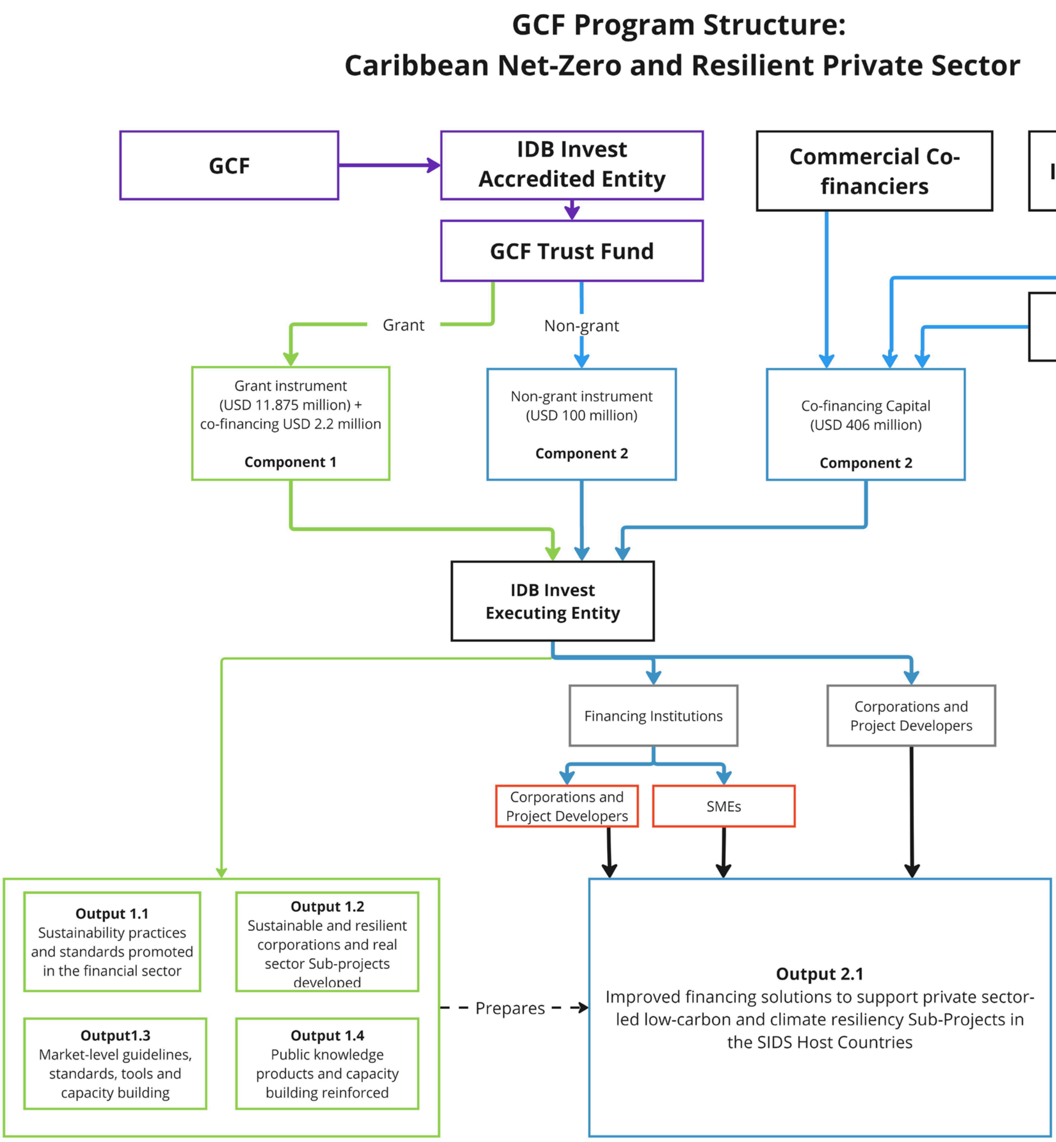
The Accredited Entity may execute Advisory Services activities identified in Output 1.4 depending, for example, on the local context, knowledge of networks, differentiated in-house expertise of the highly specific and technical complexity of the activities. The execution by the Accredited Entity would enhance the quality control of the studies and methodologies

[108] Unhedged local currency financing: subject to approval by GCF post the operationalization of local currency modality.

to be developed and would improve the efficiency and velocity in the design and execution of climate finance projects in the SIDS Host Countries. The Accredited Entity would apply its own policies and procedures for the hiring of individual consultants and/or procurement of consulting and other services, ensuring the fulfilment of applicable AMA and FAA requirements.

The AE will evaluate and select Sub-Projects that meet all eligibility criteria and are aligned with the activities and outputs set forth in Section B.3 of this Funding Proposal and the overall Program objective, that meet eligibility criteria as set out in the FAA in accordance with its policies and procedures, and will channel GCF Trust Fund Resources through the Components to eligible Recipients (as defined below), in accordance with the corresponding Advisory Services Agreements and Financing Agreements, as applicable

The following diagram provides an overview of the Program structure:



SIDS Host Countries. The Program will be implemented in the SIDS Host Countries (namely, Bahamas, Barbados, Belize, Dominican Republic, Guyana, Jamaica, Suriname and Trinidad and Tobago). For the avoidance of doubt, and the Funded Activity will not finance activities or Sub-Projects in countries other than these listed SIDS Host Countries. In the case of regional private equity funds, with at least 50% of investments in SIDS Host Countries, Advisory Services can be provided to, and Concessional Financings can be made in, such regional investment funds to support their fund level climate action strategy for investments into host countries and risk management. Inclusion of a new Host Country to the Funded Activity will constitute a Major Change, as defined in the AMA between IDB Invest and the GCF.

GCF Proceeds. The total amount to be disbursed by the Fund to the AE under the FAA is up to USD 118,975,948 (the "**GCF Proceeds**") as follows:

- USD 100,000,000 in the form of GCF reimbursable funds which the Accredited Entity will use, as the trustee of the GCF Trust Fund, to provide Concessional Financings.

- USD 18,975,948 in the form of GCF non-reimbursable funds which the Accredited Entity will use, as the trustee of the GCF Trust Fund, as follows:

    (i) USD 11,875,000 for the delivery Advisory Services;
    (ii) USD 3,495,851 for project management costs.
    (iii) USD 3,605,097 for monitoring and evaluation costs.

The AE Fee is not included in the GCF Proceeds.

"**Co-financing**" means jointly the amounts of estimated funding to be provided by the co-financiers and the Accredited Entity, and separately, any of such co-financing. The total amount of expected Co-financing for the Funded Activity is estimated to be USD 408,200,000 subject to the approval of allocation of funds to each individual Sub-Project on case-by-case basis and contingent on such approvals being obtained and subject to the terms of the corresponding legal agreement(s). A Co-financier is any entity providing Co-financing for a Sub-Project, including, without limitation, the Accredited Entity (the "**Co-financiers**"). The Co-financing to be arranged for each Sub-Project will be leveraged from the following Co-financiers: (i) financial institutions, corporations, private investors and other eligible entities pursuant to the AE's policies and procedures and (ii) the AE itself. Arrangements for such Co-financing will be included in the project documents of each Sub-Project.

1. Implementation Arrangements

1.1. IDB Invest's GCF Accreditation

IDB Invest signed the GCF Accreditation Master Agreement (the "AMA") on June 29, 2021, and it became effective on August 18 of that same year, whereby IDB Invest is acting as an Accredited Entity (the "AE") of the GCF.

1.2. Legal arrangements among GCF, IDB Invest and Recipients

Following the GCF Board approval of this Funding Proposal, IDB Invest and GCF will, based on the AMA, enter into a Program-specific legal agreement (the "Funded Activity Agreement" or the "FAA"). The FAA will outline, among other, the sectoral and geographical scope of the Program, and will establish the requirements for the transfer, administration and use of GCF Proceeds for the financing of the Program. The GCF Proceeds will be placed in a dedicated trust (the "GCF Trust Fund"). IDB Invest (acting as the AE) will be solely responsible for the management and administration of GCF Proceeds and will carry out such management in accordance with its policies, procedures and practices[109], and with at least the same degree of care as it uses in the administration of its own funds or other third-party funds for which it has management or investment responsibility, taking into account the provisions of the AMA and the FAA. In this context, the Accredited Entity will provide management, monitoring and supervisory mechanisms to maintain a transparent and effective administration of the Program and will apply its own policies and procedures relating to integrity checks, anticorruption, countering of financing of terrorism (CFT), fraud, financial sanctions, embargoes and anti-money laundering (AML).

Selection and approval of Sub-Projects. IDB Invest's internal processes will be followed for the approval of each Sub-Project under the Program targeting IDB Invest clients. Each Sub-Project will be prepared, assessed and approved as

[109] As per Section 18.01 (a) of the AMA between the GCF and IDB Invest, and for purposes of the execution of an FAA under the AMA, references to the AE's policies and procedures include policies and procedures of the Inter-American Development Bank, as assessed during the accreditation process.

an individual IDB Invest project financed with GCF Proceeds and, where applicable, Co-financing under this Program, in accordance with the Accredited Entity's policies and procedures. Each Sub-Project shall be consistent with the objective, scope and activities of the Program as established in Section B.3 of this Funding Proposal and aligned with one or more of the expected results, as presented in the Program performance indicators in Section E.5 of this Funding Proposal. Each Sub-Project under the Non-Grant Instrument shall receive a non-objection of the SIDS Host Country prior to final approval of such Sub-Project, which will be channeled through the IDBG Country Representatives in relevant SIDS Host Countries, in accordance with applicable IDB Invest policies and procedures.[110]

IDB Invest's selection and approval processes for each Program Component are summarized in pertinent part below and further described in Annex 2: Feasibility study, section 5.

- **Non-Grant Instrument**: Potential Sub-Projects under the Non-Grant Instrument must go through all stages of the Accredited Entity's transaction cycle, in accordance with its policies and procedures. The transaction cycle according to IDB Invest's Operations Manual includes the following stages: 1) Origination, 2) Client engagement, 3) Path to approval, 4) Closing/First Disbursement, 5) Supervision/Recovery and 6) Ex-post Evaluation.

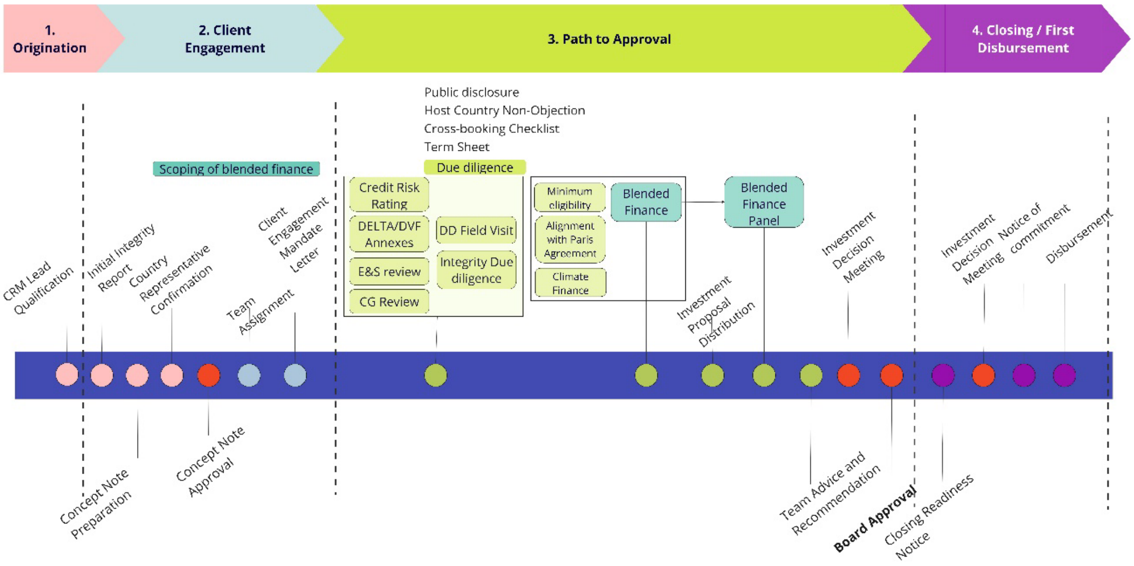
Figure 2: Stages of the transaction cycle within IDB Invest

In addition to IDB Invest's general eligibility criteria, Sub-Projects under Component 2 must meet the following requirements:

- ✓ The projects must qualify for Climate mitigation or/and climate adaptation finance, as defined in the "Common Principles for Climate Mitigation Finance Tracking" and "Joint Methodology for Tracking Climate Change Adaptation Finance".
  - Climate Finance mitigation involves the reduction, limitation, or sequestration of greenhouse gas (GHG) emissions to mitigate the effects of climate change.
  - Climate Finance Adaptation involves an assessment of physical climate impact, both taking into account historic and future climate trends, as well as the company's contribution to reduce negative climate impacts.
- ✓ The projects must align with the Paris Agreement, as defined in the 'Joint MDB Methodological Principles for Assessment of Paris Agreement Alignment'."
- ✓ Blended Finance Assessment: including the 5 principles 1) Additionality, 2) Crowding-in and minimum concessionality, 3) Commercial sustainability, 4) Reinforcing markets, 5) Promoting high standards
- ✓ Environmental and Social Management Framework (ESMF) Compliance
- ✓ Sustainable Development Co-benefit
- ✓ Impact potential: Only Sub-projects with measurable and trackable indicators (i.e. core and supplementary) will be considered eligible for funding under GCF resources.

The Figure below displays the stages of the referred transaction cycle, as well as the specific steps that the Accredited Entity will take during each stage:

[110] For the avoidance of doubt, this is in addition to non-objection for this Program, and it is specific to IDB Invest's project approval cycle, and may differ and should not to be confused with the GCF non-objection process with NDAs.



Transaction Cycle Stages and relevant Steps

1. Origination: The Accredited Entity builds and further develops a relationship with potential or existing clients and works on a business origination plan according to the business development model, with a view to moving a potential Sub-Project into the Accredited Entity's active pipeline of transactions.

2. Client Engagement: The Accredited Entity conducts initial integrity and business conflicts of interest reviews of the Sub-Project to determine whether the prospective Recipient(s) and Sub-Project are viable in principle and do not, on their face, present undue risk to, or contradict key institutional and/or policy requirements of, the Accredited Entity. Following these steps, a concept note (the "Concept Note") for the Sub-Project will be developed, which will provide an overview of the underlying transaction and must contain, at a minimum, (i) key elements of the Sub-Project's structure (ii) overview of the Recipient(s), their management team and other relevant parties, (iii) estimated development impact and additionality, (iv) compliance with the Accredited Entity's policies, guidelines and exposure limits, (v) key risks (including credit, legal, integrity, reputational, financial, environmental, social and corporate governance risks), (vi) snapshot of industry and sector and client's competitive position, (vii) preliminary conclusion of credit analysis including financial position of Recipient(s) or Sub-Project, (viii) any potential internal operational considerations related to funding, accounting/financial administration of the transaction, (ix) results of the initial integrity review, (x) alignment with the Country Strategy, and (xi) initial business conflicts of interest assessment. During this stage, contributions from the Accredited Entity, Co-Financing from other Co-financiers and the GCF Trust Fund may be indicatively identified. If the Concept Note is approved, then an inter-disciplinary transaction team is assigned to continue the appraisal of the Sub-Project, followed by the confirmation of the Recipient (client) engagement, which could require a formal mandate letter.

3. Path to Approval: The Accredited Entity will carry out all appropriate due diligence on each Sub-Project, including all checks and assessments on Recipients, in a manner that it ordinarily would carry out in any project/program financed by the Accredited Entity, and in accordance with the AMA and FAA. Such due diligence will enable an in-depth analysis of each Sub-Project's creditworthiness, development impact, legal and non-financial risks, including integrity, business conflicts of interests, and environmental and social risks. The analysis will then be used to prepare an investment proposal, which contains the information necessary for the Accredited Entity to make an informed investment decision, considering all Sub-Project eligibility criteria, as listed in the table below.

reviewed and assessed during stage 3: Path to Approval.

Climate Finance and mitigation and adaptation assessment	In addition to the general eligibility criteria by IDB Invest, the Sub-Project must fulfill the eligibility criteria of climate mitigation or/and climate adaptation finance, as defined in the "**Common Principles for Climate Mitigation Finance Tracking**" and "**Joint Methodology for Tracking Climate Change Adaptation Finance"**. Some Sub-Projects may have dual climate finance (mitigation and adaptation). Potential investments with dual climate finance will be eligible as long as at least one component (either mitigation or adaptation) or the sum of both has a sizable share.[105] • For mitigation: To verify that this criterion is fulfilled, IDB Invest will use the "MDB/IDFC Common Principles for Climate Mitigation Finance Tracking" accounting for the total share of climate finance according to the share of activities that are eligible according to the aforementioned methodology. Climate Finance mitigation involves the reduction, limitation, or sequestration of greenhouse gas (GHG) emissions to mitigate the effects of climate change. • For adaptation: To verify that this criterion is fulfilled, IDB Invest will use the "Joint Methodology for Tracking Climate Change Adaptation Finance", to verify that climate risks have been appropriately identified and addressed. Climate Finance Adaptation involves an assessment of physical climate impact, both taking into account historic and future climate trends, as well as the company's contribution to reduce negative climate impacts. Potential investment will be assessed against the eligibility criteria as defined in the FAA, which includes a list of adaptation and mitigation activities to be financed through the Program.
Alignment with Paris Agreement	All Sub-Projects must also be deemed as **aligned with the Paris Agreement** under IDB Invest's implementation manual and sector-specific methodologies to assess alignment. IDB Invest's Paris alignment strategy, implementation manual and sectorial guidance have been developed considering the "MDBs' Characterization Framework for Alignment with the Paris Agreement's Mitigation Goals (BB1)" and the "Implementing the MDBs' Characterization Framework for Alignment with the Paris Agreement's Adaptation Goals (BB2)." The principles of the MDB Paris Alignment (BB2) ensures that there is no maladaptation and consistency with national and broader resilience contexts and assesses and manages climate risks that could impact the project's financial and environmental and social (E&S) performance.
Blended Finance Assessment (BFA)	In addition to complying with the above general project eligibility criteria by IDB Invest, the candidate Sub-Projects will be assessed against the **Enhanced Principles of the DFI Working Group on Blended Concessional Finance for Private Sector**. Only Sub-Projects that fulfill these principles have a chance to be selected for funding by the Caribbean private sector facility. The blended finance principles are the following: • **Principle 1. Additionality:** DFI support of the private sector should make a contribution that is beyond what is available, or that is otherwise absent from the market, and should not crowd out the private sector. • **Principle 2. Crowding-in and Minimum Concessionality**. DFI support to the private sector should, to the extent possible, contribute to catalyzing market development and the mobilization of private sector resources. • **Principle 3. Commercial sustainability**. DFI support of the private sector and the impact achieved by each operation should aim to be sustainable. DFI support must therefore be expected to contribute towards the commercial viability of their clients. • **Principle 4. Reinforcing markets.** DFI assistance to the private sector should be structured to effectively and efficiently address market failures and minimize the risk of disrupting or unduly distorting markets or crowding out private finance, including new entrants. • **Principle 5. Promoting high standards.** DFI private sector operations should seek to promote adherence to high standards of conduct in their clients, including in the areas of Corporate Governance, Environmental Impact, Social Inclusion, Transparency, Integrity, and Disclosure. For each project a **Blended Finance Assessment (BFA)** will be prepared by the Blended Finance Investment Officer (BFIO) in charge. An internal **Blended Finance Panel** will then review and approve the BFA.
ESMF compliance	Each Sub-project under the program is required to comply with the requirements of the ESMF and with the corresponding domestic social and environmental regulations. For Sub-projects with E&S risk category B or A, it will be required to comply with the disclosure package

Sustainable Development Co-benefit	Sustainable development co-benefits are assessed during the eligibility process through the DELTA scoring system (please refer to section E of the FP for further information)
Impact Potential	Each Sub-project will be assessed in its contribution to adaptation and mitigation indicators following the logical framework of the Program. Only Sub-projects with measurable and trackable indicators (i.e. core and supplementary) will be considered eligible for funding under GCF resources.

The Investment proposal will be presented during the investment decision meeting (IDM) and, if needed, the Operations Committee. Unless covered by a delegated facility, each Sub-Project will be presented for approval to the IDB Invest Board of Executive Directors on a transaction-by-transaction basis.

4. Closing and First Disbursement: Following approval of each Sub-Project, IDB Invest will seek to sign one or more Financing Agreement(s) with all relevant Recipients. Financing Agreements will be tailored to the specific Financial Product(s) required for the Sub-Project, and will make IDB Invest, Co-financier(s) and GCF Trust Fund resources available to all relevant Recipient(s) in line with the Program Sectors. Financing Agreements will be between IDB Invest (acting on its own behalf as the lender, investor or guarantor of record, and on behalf of the GCF as agent of the GCF Trust Fund) and the relevant Recipient(s). The Recipient(s) will execute the investments in line with the Program Sectors, according to the terms and conditions outlined in the Financing Agreements. IDB Invest and the Recipient(s) will track the implementation and compliance with the Program Sectors (and the Financing Agreements), and IDB Invest will provide reporting to the GCF in line with the FAA. Once the Financing Agreement(s) are signed, the disbursement procedure is initiated, which encompasses the verification of the Recipient(s)' compliance with conditions precedent for the first disbursement or issuance of a guarantee, depending on the relevant Financial Product for the Sub-Project.

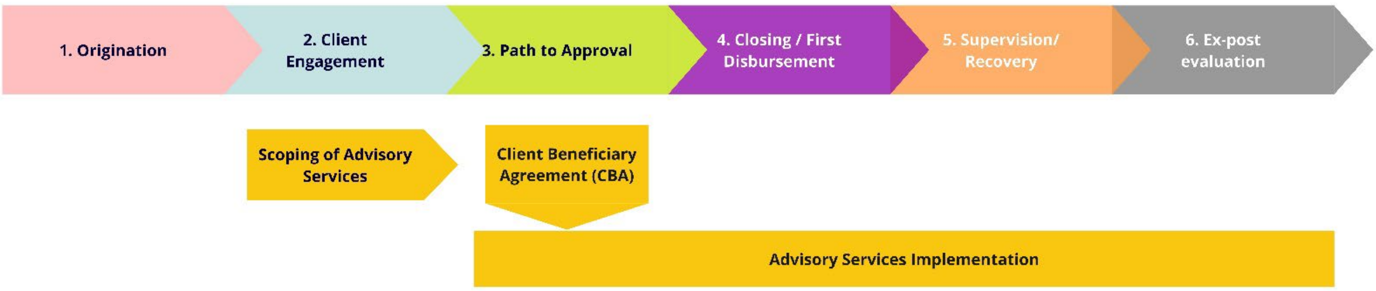
Following the first disbursement and during the supervision stage of the Sub-Project, IDB Invest will be responsible for providing the necessary governance, oversight, and quality assurance in accordance with its policies, procedures and any specific requirements in the AMA and FAA. This shall include monitoring, reporting and ex-post evaluation of Sub-Projects, including any recovery activities, where applicable.

- **Grant Instrument**: Sub-Projects under the Grant Instrument will be financed through technical cooperation grants designed, approved and executed by the Accredited Entity (the "TC"). As such, the TC will be the internal vehicle through which the Accredited Entity will allocate GCF Trust Fund resources to eligible Recipients for Sub-Projects under Component 1, pursuant to the execution of all necessary Advisory Services Agreements, as applicable.

Eligibility: Under the grant component, AE will finance activities listed under component 1 in section B3 for recipients as defined in section BE.

Sub-Projects under the Grant Instrument may be linked to Sub-Projects under the Non-Grant Instrument. The figure below displays the principal stages of IDB Invest's transaction cycle for Sub-Projects under the Non-Grant Instrument and underpins the Advisory Services support that can be offered to such Sub-Projects' Recipients with resources from the Grant Instrument.

Advisory Services to IDB Invest's clients throughout the transaction cycle



Sub-Projects under the Grant Instrument may be linked to Sub-Projects under the Non-Grant Instrument. For the avoidance of doubt, Sub-Projects under the Grant Instrument will not finance or be considered a part of the Sub-Projects under the Non-Grant Instrument but may support the preparation or execution of those Sub-Projects at the national and/or regional levels. The execution of Advisory Services under this Program will be done in accordance with IDB Invest's applicable policies and procedures, and the eligibility criteria, activities and outputs listed in Section B.3., if applicable. IDB Invest will determine with potential Recipients the detailed deployment of Advisory Services and define based on it the best execution option.

IDB Invest may execute Advisory Services activities depending, for example, on the local context or technical complexity of the activities. IDB Invest will apply its own policies and procedures in the establishment of Advisory Services Agreements, as well as for the hiring of individual consultants and/or procurement of consulting and other services associated with each Advisory Services, ensuring the fulfilment of applicable AMA and FAA requirements.

Advisory Services Requirements of the program

Operational Arrangements. IDB Invest will directly offer Concessional Financing and Advisory Services to be funded through the GCF Trust Fund alongside financial products and advisory services from its own capital resources and of other Co-Financiers for specific, covenanted purposes in line with the Program proposal.

Approvals involving the use of GCF Trust Fund resources will follow IDB Invest's policies and procedures.
Processing of Advisory Services (AS) is based on a two-staged approval process. The first stage is the AS Abstract Preparation and Eligibility with basic information on the proposed activity and its objectives, and compliance with eligibility requirements. The second stage, once a funding source has been determined, is the preparation of a detailed AS Document, for quality review, to be followed by final approval.

New Advisory Engagements will be generated by the Advisory Engagement Leader[111] who must register the basic information related to the Advisory Engagement[112] in Maestro, by including a description of the scope of the AS, defining the activities, the proposed budget, identifying a client beneficiary, and indicating whether the Advisory Engagement is supporting an investment transaction. The activities and scope of the Advisory Engagement must be defined in coordination with the client/prospect.

B.5. Justification for GCF funding request (max. 1000 words, approximately 2 pages)

Latin America and the Caribbean (LAC) has one of the largest absolute adaptation finance gaps, requiring an additional US$ 14.7-18.1 billion per year[113] in investments to close it. Globally, the area's most in need of investment in developing countries are (i) coastal protection (accounting for the greatest adaptation finance gap); (ii) infrastructure, energy, and other built environment, (iii) water and wastewater management; (iv) disaster risk management, (v) agricultural, forestry, and land-use. The Caribbean is particularly susceptible to the impacts of climate change. Projections in these countries show that losses could reach US$ 22 billion per year by 2050.[114] Rising sea levels, storm surges, hurricanes, coastal erosion are some of the climate-related threats that have the potential to impact coastlines. This will inevitably affect infrastructure of all kinds (transport, water and sanitation, social infrastructure, built environment, and energy), including the tourism sector, manufacturing sector, and agribusinesses located in coastal areas.

Ambitious and innovative action on climate change has the potential to close investment gaps in the region by attracting private capital. Climate-smart economic development relies on innovation and entrepreneurship, both of which are strong in the region.[115] Conservative estimates indicate that policy packages for a "decisive transition" to greener economies can boost long-run GDP by almost 5% on average, while also delivering short-term growth (OECD 2017).

[111] An Advisory Engagement Leader may be any IDB Invest personnel who leads the engagement with the client. Advisory Engagement Leaders should coordinate with INO/ADS.
[112] RD Advisory Engagements support the generation and dissemination of knowledge, and therefore, may relate to a specific client(s) or may relate to a knowledge product that will benefit a region. As such, the RD activities may or may not relate to a current investment transaction.
[113] Tall et al., 2021
[114] Marto et al., 2014
[115] A recent IDB study focuses on how entrepreneurs in Latin America and the Caribbean are demonstrating world-class vision, business skills, and grit (Peña 2021)

In economics terms, GHG emissions are considered an externality[116]. If the social cost of carbon was internalized, phasing out existing coal plants and replacing them with new renewable energy capacity would be far more competitive. Conversely, where renewable energy is already competitive but uncompensated for the GHG emissions abated, it generates positive externalities. Climate resiliency is also a source of positive externalities. On average, for every US$1 invested in resilience there is a reduction of US$4 in disaster losses[117], and it is reasonable to expect first movers to capture at least a portion of that avoided loss. However, the inclusion of climate risk in corporate decision making and the subsequent investment in climate resilience remains the exception. This is a knowledge and an economic problem. On one hand, firms need to believe in the risk, understand it, assess it, and have the tools to act on it (knowledge).[118] On the other hand, low-carbon and climate resilient investment may require higher upfront investments (e.g. drip irrigation, electric buses), while economic benefits only materialize over time (e.g. tree crops) or under catastrophic events (e.g. resilient buildings during a hurricane) (economics).

Businesses that adopt low-carbon or climate resilient practices becomes more competitive, leading competition to implement similar actions, while contributing to the overall resilience of the value chain. In addition, firms that target underserved populations (e.g. through the provision of goods and services, or employment) contribute to increased equality and inclusion. Hence stimulating innovation in climate technologies, business models and social practices can drive inclusive growth, emissions reduction, and climate resiliency.

This Program will aim to develop knowledge, tools, as well as advisory services and financing products that are specifically targeted at businesses operating in the SIDS Host Countries (see section B.1 above). Blended finance solutions offer an opportunity to accelerate the role that private sector stakeholders can play to achieve the goal to limit global warming to 1.5 °C, by targeting the use of concessional funding towards high-impact projects in which actual or perceived risks are too high for commercial finance alone. Blended finance resources can enhance the risk profile of transactions in the Caribbean and offer the adequate terms and conditions to mobilize additional commercial resources into economically sound and transformational projects. Knowledge generation through advisory services also address these market failures helping to prove what are the best practices, technologies and business models that can be later replicated and financed by commercial capital alone. Through advisory services, IDB Invest will support the development of a strong pipeline of bankable projects.

The Program will drive climate resiliency and emissions reduction while supporting inclusive economic growth. The proposed financial structure is as follows:

- *Funding amount:*
  - US$ 506 million in non-grant instrument, of which US$100 million co-financed by the GCF and
  - US$14.075 million in grant instrument, of which US$11.875 million co-financed by the GCF.
  - US$ 3.496 million in project management costs
  - US $3.605 million in monitoring and evaluation costs
- *Financial instruments:* debt instruments, guarantees and risk mitigation instruments, and/or equity investments, among other financial instruments. [119] The different types of instruments will enable the Fund to respond to the countries' needs, adapt to specific domestic circumstances and adapt the financial instrument to be used, on a case-by-case basis, during the implementation.
- *Terms and conditions:* GCF resources will be deployed in accordance with the Development Finance Institution and Multilateral Development Bank principles for the use of concessional finance in private sector operations (for further reference, see *Enhanced Principles of the DFI Working Group on Blended Concessional Finance for Private Sector*). The different types of instruments will enable the Fund to respond to the countries' needs, adapt to specific domestic circumstances and adapt the financial instrument to be used, on a case-by-case basis, during the implementation. Concessional financing provided with GCF resources may be provided by IDB Invest on concessional terms and/or conditions, including one or more of the following:
  - i. Conditions below those available on the market, as determined upfront, or periodically for achieved and verified results;
  - ii. Terms that unless reflected in the expected returns, would normally not be accepted under a commercial financing;
  - iii. Financing provided where there is otherwise no access to market, even at terms and/or conditions that would be deemed acceptable under a commercial financing; and/or

[116] Defined as the by-product cost or benefit of an economic activity imposed to a bystander.
[117] Moench et al., 2007.
[118] Goldstein et al., 2019; Hallegatte et al., 2019.
[119] Subject to IDB's capability to administer securities on behalf of third-party funds.

iv. Additional concessionality may be provided as a results-based incentive to promote additional social, climate and/or sustainability co-benefits such as gender inclusion.

- *Tenor:* up to 25 years; with a 5-year investment period and an up-to 20-year reimbursement period.[120]
- *Targeted countries:* SIDS Host Countries.

Concessional resources from the GCF are highly additional in the Caribbean, as some countries like Barbados, the Bahamas and Trinidad and Tobago are considered high-income countries, and as such as not eligible to receive Official Development Assistance. This classification impedes the three Caribbean countries, who remain highly vulnerable to the effects of climate change, to access concessional resources for climate mitigation and adaptation.

Moreover, one of the most impactful additionality factors of GCF funding is its ability to lower the cost of capital and the address the scarcity of debt, which are two particular challenges for the private sector in Caribbean countries. Investments in new technologies and business models for climate mitigation and adaptation are capital-intensive and require long-term investment periods and considerable amount of debt financing, making them particularly sensitive to high costs of capital. This relationship is particularly visible in renewable electricity and electric mobility sector, where new solar and wind power plants, or electric vehicles, have relatively high initial capital expenditures but very low operational expenditures once the projects are in operation. However, in cases of high costs of capital, investors face more difficulty in accessing sufficient debt financing to finance the considerable upfront capital expenditures, leading to a preference for projects with lower initial capital expenditures but higher operational expenditure costs, such as fossil-fuel power plants, fossil-fueled vehicles, and infrastructure projects with few embedded resilience measures. Renewable energy projects, electric vehicles, and infrastructure projects in the Caribbean incur significantly higher costs compared to the rest of Latin America due to small and fragmented local markets. This further increases the need for debt financing, further reducing the financial viability of these projects.

According to the economic and financial model conducted for this program, the concessional financing of the GCF would greatly improve the financial indicators of climate-resilient investments like renewable energy projects (see Annex 3 - Financial and Economic analysis). Given the current conditions in all countries modelled, the business-as-usual scenario (without GCF financing) in the region for renewable energy projects result in negative Net Present Values (NPV) and an incapacity to reach sufficient liquidity ratios to give private investors the confidence that it will be able to service its debt obligations. With the GCF financing, carefully structured according to the principles of minimum concessionality, the project returns positive values for NPV, a considerable improvement of Investment Rate of Return (IRR), and reaches comfortable liquidity ratios, which enables the mobilization of private investors. The participation of the GCF in projects also acts as a stamp of confidence for private investors, who are more likely to participate in the transaction and provide less stringent terms (without the GCF, private investors would provide more risk-adverse financial terms, such as shorter tenors and/or higher interest rates).

B.6. Exit strategy (max. 500 words, approximately 1 page)

The proposed program will combine a grant and non-grant instrument component.

Grant instrument component. For IDB Invest to provide advisory services to its clients with the grant instrument component of this program, IDB Invest signs a CBA that includes, as applicable, a monetary or in-kind contribution by the recipient of the work. This contribution ensures that the scope of the work is relevant for the client. Additionally, advisory services help companies to address the barriers to climate action and creates value for the company, ensuring client interest in expanding on the advisory work well beyond the project dates.

Non-grant instrument component. Given the program's catalytic purpose, concessional investments provided by the program may yield less interest and/or be subject to higher risk than the respective IDB Invest financing or other commercial capital used to co-finance eligible projects and that there is a risk of loss of resources of the program. While the non-grant instrument component of the program may take positions with risk-return profiles below those taken by commercial investors, all transactions will be structured in financial instruments that are expected to, not only preserve the capital invested, but also generate returns through (i) interest or coupon payments, in the case of debt-like financing instruments; (ii) premium payments, in the case of risk-mitigation instruments or guarantees; or (iii) dividends and/or exits, in the case of equity investments. GCF resources are expected to be committed in the first 5 years of the program, and the transactions in the portfolio will be structured such that they are repaid within the tenor of the program.

[120] This tenor allows the program to originate projects with an up to 20-year tenor financing all throughout the 5-year investment period.

By proving the financial viability and long-term sustainability of the projects supported by this program, more commercial capital is expected to flow into similar projects in the Caribbean. IDB Invest will generate monitoring reports during the life of the transactions in the program, and a final evaluation once a transaction reaches closure. This monitoring and evaluation include an assessment of the financial and non-financial performance of the project, including the performance vis à vis the development impact indicators defined at the onset of the project, as well as the financial return generated by the transaction, informing future projects that would then benefit from the spill overs and lessons learned.

C. FINANCING INFORMATION

C.1. Total financing

(a) Requested GCF funding (i + ii + iii + iv + v + vi + vii + viii + (d))	**Total amount**			**Currency**
	118.976			million USD ($)
GCF financial instrument	**Amount**	**Tenor**	**Grace period**	**Pricing**
(i) Senior loans	25	up to 25 years	Case by Case	Case by Case
(ii) Subordinated loans	25	up to 25 years	Case by Case	Case by Case
(iii) Equity	25			Case by Case
(iv) Guarantees	25	up to 25 years		Case by Case
(v) Reimbursable grants	2.5			
(vi) Grants	18.976			
(vii) Results-based payments	-			

(b) Co-financing information	**Total amount**			**Currency**		
	408.2			million USD ($)		
Name of institution	**Financial instrument**	**Indicative Amount**	**Currency**	**Tenor & grace**	**Pricing**	**Seniority**
IDB Invest	Senior Loans	25	million USD ($)	Case by Case	Case by Case	Case by Case
Other Co-Investors	Senior Loans	76.5	million USD ($)	Case by Case	Case by Case	Case by Case

IDB Invest	Subordinated Loans	25	million USD ($)	Case by Case	Case by Case	Case by Case
Other Co-Investors	Subordinated Loans	76.5	million USD ($)	Case by Case	Case by Case	Case by Case
IDB Invest	Equity	25	million USD ($)	Case by Case	Case by Case	Case by Case
Other Co-Investors	Equity	76.5	million USD ($)	Case by Case	Case by Case	Case by Case
IDB Invest	Guarantees	25	million USD ($)	Case by Case	Case by Case	Case by Case
Other Co-Investors	Guarantees	76.5	million USD ($)	Case by Case	Case by Case	Case by Case
Recipients of Component 1[121]	Grant	2.2	million USD ($)	Not applicable	Not applicable	Not applicable

(c) Total financing (c) = (a)+(b)+d	**Amount**	**Currency**
	527.176 million USD	million USD ($)
(d) Other financing arrangements and contributi	From the total GCF financing of USD 118.976 million, USD 100 million are allocated as reimbursable funds to Component 1. Additionally for non-reimbursable funds, USD 11.875 million will be allocated to Component 1, while USD 3.496 million will be allocated to Project Management Costs and USD 3.605 million will be allocated to monitoring and evaluation costs.	

[121] In the case of non-reimbursable Advisory Services (under the Component 1), IDB Invest typically requires the Recipient to co-finance the Advisory Services.

ons (max. 250 words, approximately 0.5 page)	

C.2. Financing by component

Component	Output	Indicative cost million USD ($)	GCF financing		Co-financing		
			Amount million USD ($)	Financial Instrument	Amount Million USD ($)	Financial Instrument	Name of Institutions
Component 1	Output 1.1	2.15	1.65	Grants	0.5	Grants	Component 1 Recipient[122]
	Output 1.2	7.85	6.15	Grants	1.7	Grants	Component 1 Recipient
	Output 1.3	1.1	1.1	Grants	0	Grants	Component 1 Recipient
	Output 1.4	1.1	1.1	Grants	0	Grants	Component 1 Recipient
	Execution support	1.875	1.875	Grants	0	Grants	Component 1 Recipient
Non-grant Component 2	Output 2.1	506	100	Loan, equity, risk mitigation and reimbursable grant instruments	406	Loan, equity and risk mitigation instruments	IDB Invest & Others
Indicative total cost (USD)		520.075	111.875		408.2		

Please refer to Annex 17 for details on indicative requested GCF funding amount for each country.

C.3 Capacity building and technology development/transfer (max. 250 words, approximately 0.5 page)

C.3.1 Does GCF funding finance capacity building activities?	**Yes**
C.3.2. Does GCF funding finance technology development/transfer?	**Yes**

Capacity Building Activities

As stated in section B.3, the main capacity building activities foreseen are the advisory services of Component 1 that will be provided to the program recipients (FIs, Corporations, and Project Developers of energy and infrastructure projects) (listed as Component 1).

To reiterate, the advisory services activities will take the form of a Grant Instrument will be set up as a facility to provide non-financial solutions aimed at bridging the knowledge gap, supporting project preparation and developing local technical capacity. IDB Invest will work with clients from various sectors to develop and update

[122] In the case of non-reimbursable Advisory Services (under the Component 1), IDB Invest typically requires the Recipient to co-finance the Advisory Services.

their strategy and operations, making the most of new climate technology power, identifying present and future climate risks, and discovering and entering new green markets.

Specific advisory services categories are listed in section B.3, and as such, no further additional information is provided in this section on capacity building activities.

Finance Technology Development Transfer

Given the fact that the portfolio of private sector investment in low-carbon and climate resilient projects in the Caribbean requires investment in "clean technologies", technology transfer is expected to be supported by the program as follows. The list of technologies to be transferred to recipients in the Caribbean is indicative, but non-exhaustive.

<u>Renewable energy & energy efficiency</u>

- Solar photovoltaic panels, inverters, and balance of plant components, such as support structures, cables, and low/medium voltage connection systems.
- Solar thermal systems for generation of hot water or steam.
- Wind turbines, transformers, and balance of plant components.
- Investments related to biomass generation, such as feedstock processing equipment, biodigesters, co-firing, pyrolysis or gasification equipment, turbines, or generators, among others.
- Hydro generation equipment, where in the Caribbean context, may be linked mostly to wave or tidal power systems.
- Batteries for electricity storage.
- Equipment for green hydrogen production and usage, such as electrolysers, fuel cells, storage tanks, compressors, and other balance of plant equipment.
- Efficient electromechanical and electrical equipment, including motors, engines, HVAC systems, lighting solutions, among others.
- Advanced control systems and automation solutions for active reduction of energy usage.

<u>Climate-smart agriculture</u>

- Sustainable Irrigation Systems: Technologies like drip irrigation, soil moisture sensors, and rainwater harvesting systems to optimize water use in agriculture.
- Crop Resilience Enhancements: Innovative seeds and breeding techniques for crops that can thrive in changing climate conditions.
- Data Analytics and Monitoring Software: Software solutions that enable farmers to analyze data, track performance, and optimize their farming operations for climate resilience.

<u>Sustainable & resilient infrastructure</u>

- Low-impact construction materials for buildings and other grey infrastructure, such as low-carbon concrete, paints, coatings, among others.
- Finalized constructive solutions (glazing, awnings, roofing systems, etc.) that may not be available in Caribbean markets and enhance energy or material performance or increase building resiliency.

<u>Sustainable transport</u>

- Battery electric, hybrid, or plug-in hybrid vehicles for both light and heavy-duty usage (two-wheelers, passenger cars, vans, light trucks, heavy trucks, and buses are the most relevant categories).
- Charging infrastructure for Level 1, Level 2, or Level 3 charging.

<u>Blue economy</u>

- Optimized aeration systems for nitrous oxide emissions control in aerobic part of wastewater treatment plants
- Capture systems for biogas (methane and carbon dioxide) in anaerobic process step in wastewater treatment plants.

Given the fact that most technology transfer is expected to be linked to the Renewable Energy and Energy Efficiency and Sustainable Transport investment categories, where nearly 100% of the equipment is specialized and manufactured overseas, we expect that funding for transferred technologies should be in the 280-350 million USD within the program.

D. EXPECTED PERFORMANCE AGAINST INVESTMENT CRITERIA

This section refers to the performance of the project/programme against the investment criteria as set out in the GCF's Initial Investment Framework.

D.1. Impact potential (max. 500 words, approximately 1 page)

This Caribbean Net-Zero and Resilient Private Sector Program will target private sector contributions toward countries' low emissions, climate resilient pathways. The program will do this through engagement with the five program sectors identified through the countries NDCs as well as engagement with the countries private sector. The Program's 5 priority sectors are: 1) Agriculture, Forestry and Other Land Use (AFOLU); 2) Sustainable and resilient infrastructure; 3) Electricity including renewable energy and energy efficiency; 4) Sustainable transport, and 5) Blue Economy.

In this program, the specific investments to be funded are not known beforehand and are driven by demand from commercial entities. As such, estimates of potential impacts were formulated based on an illustrative portfolio and associated assumptions (refer to Annex 22 for Impact details).

The adaptation and mitigation potential impact of the program has been estimated considering the projected USD portfolio allocation to each of the five sectors, and then 1 or 2 types of projects by sector under mitigation and adaptation rationale, which could be executed.

In addressing the mitigation potential, the approach encompasses several key components. These include the establishment of a baseline scenario, the consideration of additionality, an explanation of standard industry practices, and the application of a counterfactual approach. This counterfactual approach involves shaping assumptions to reflect a plausible situation in the absence of the project (known as Business-As-Usual or BAU), as well as assumptions pertaining to the integration of mitigation technologies alongside the project. The subsequent methodologies, sources of information, and estimations are grounded in the principles outlined by the chosen methodology, which harmonizes with the Clean Development Mechanism (CDM) and other internationally validated methodologies (please refer to Annex 22 for a comprehensive overview of impact potential).

Guided by these methodologies and informed assumptions embedded within the impact model, an estimated total reduction/avoidance of 7,064,470 tCO_2e emissions over the lifetime of investments of the Program has been estimated. Further detailed insights into this estimation are accessible in Annex 22a and 22b: Assessment of Greenhouse Gas (GHG) and Monitoring, Reporting, and Verification (MRV).

The expected volume of resources to be leveraged by the Program includes a total of US$ 408.2 million in co-financing from the private sector, of which US$ 406 for the investment component and US$2.2 million for the advisory services.

The total number of direct beneficiaries are estimated to reach at least about 22,833 people, of which all of them direct beneficiaries from Electricity, Resilient Infrastructure, AFOLU and the Blue Economy sector. The identification of beneficiaries has followed the following general approach: a) Description of the context of vulnerability to climate change, including the identification of climate risks in the targeted countries, b) potential adaptation solution based on suitable technologies to address the identified climate risks and past climate change projects financed in the region; and c) description of a clear and direct link between climate change vulnerability and project activities estimating thus the number of targeted beneficiaries, which receive direct support from the program and are expected to have an adaptation benefit (see Annex 22). To calculate this, we used the indicative allocation of program resources to capital investments in that sector and adjusted the estimated adaptation beneficiaries using secondary data from previous similar projects or from publications with data on similar projects. It should be noted that the program has used a conservative approach on the potential impact, thus calculations for this section consider conservative scenarios. The Program will provide the estimates for the actual Sub-Projects that will be supported during the course of its implementation.

D.2. Paradigm shift potential (max. 500 words, approximately 1 page)

Companies in the Caribbean have yet to shift from a corporate social responsibility mindset to a core business sustainability strategy. Therefore, there is pressing opportunity and need to support those companies that are willing to take the lead, breaking away from the business as usual and integrating a new paradigm in the way they do business. In the assessment and analysis of eligible projects, IDB Invest conducts climate risk assessments and vulnerability analyses within the scope of the environmental and social due diligence of every project, formalizing an Environmental and Social Action Plan ("ESAP") to close compliance gaps that might have been identified. In addition to the preliminary assessment and recommendations that might be included in the ESAP, IDB Invest may also support its clients by providing recommendations to create additional value beyond compliance on the types of resilient measures to be incorporated into the project design and implementation.

Potential for Innovation. Innovation is expected to come: (i) for financial institutions projects, in the form of (a) new customer segments that have a higher exposure to climate risk and represent untapped market opportunities for local financial intermediaries, (b) new financial products that respond to the emerging needs that existing customers may face due to changing climate, and/or (c) improved corporate governance that integrates data-driven climate-related risks and opportunities into the decision-making process of local financial institutions; (ii) for companies in the real economy, in the form of new technologies or business models that, taking into account the project-specific market development and regulatory context, maximize the impact potential for decarbonization, such as new models and business lines for renewable energy generation, sustainable transport and logistics or regenerative agriculture and agroforestry; (iii) for resiliency projects, in the form of new business models and technologies that offer commercially-sustainable avenues to ensure preparation to a changing climate, promoting the livelihood of those most affected by it. The program will also support the paradigm shift creating additionality through the Grant Component. With these resources, IDB Invest will prioritize the implementation of zero-carbon and climate resilient solutions, while leveraging benefits for human well-being and biodiversity.

Potential for scaling up and replication. The program will support projects that can be implemented at scale and offer opportunities to be replicated in other countries across the Caribbean. As an example, supporting a sustainable financial sector offers opportunities to replicate new financial products but also policies to mitigate the risks of exposure to climate change that may affect the portfolio of financial institutions across the region. Similarly, projects that aim to create a portfolio of small-scale distributed generation projects enable the implementation of renewable energy generation at scale. The regional approach of the Program further contributes to the opportunities to scaling up and replicating solutions throughout the eligible countries.

Contribution to the creation of an enabling environment. The program will support the evaluation of the barriers to sustainable investments in the Caribbean, and address and overcome these through innovative blended finance solutions. Making the business case and demonstrating returns on investments made for resiliency, will be essential in order to mobilize the private sector to finance adaptation measures and prevent or reduce significant damage as a result of climate events. The advisory services provided to clients through this facility, will have specific capacity building components, targeting both mitigation and adaptation activities. IDB Invest requires co-design of climate strategies, action plans, technical and market studies with clients, ensuring that clients build capacity along the way. Additionally, most advisories are accompanied by workshops for senior management and/or the relevant personnel and as such, this builds capacity amongst clients to ensure they are able to implement and further advance plans set out, even after IDB Invest financing and advisory services concludes.

Potential for knowledge sharing and learning. IDB Invest not only offers financing and advisory services to its clients, but also shares lessons learned with stakeholders in the market through knowledge products, namely case studies, blog posts, or other sector-specific and S&I focused publications. Projects supported by the program will be **featured in future knowledge products to increase the spillover effects and impact potential** of the program. Additionally, a key part of this program will be precisely to create the knowledge agenda for a net-zero, climate resilient Caribbean private sector.

Overall contribution to climate-resilient development pathways consistent with relevant national climate change adaptation strategies and plans. The Program will prioritize those areas of focus that the eligible countries have defined in their NDCs, targeting the adoption of technologies, best practices and business models by the private sector in their contribution with the national plans for mitigation and adaptation. Since January 1st, 2023, IDB Invest is committed to having all new transactions in its portfolio, including transactions supported by third-party funds, such as those that will be supported by the Program, to be Paris Aligned.

D.3. Sustainable development (max. 500 words, approximately 1 page)

While the focus of the programme is supporting climate investments, the benefits of the projects go beyond environmental net gains. The general developmental outcomes of the projects may also include increased (new) revenue streams for the company, improved livelihoods, increased and better employment, health benefits derived from lower water and air pollution, enhanced productivity derived from more reliable electricity supply and/or strengthened resilience, gender equity practices, enhanced health and safety standards, among others.

As the private sector arm of the IDB Group, IDB Invest is leveraging decades of experience as an impact investor to serve as a gateway to SDG impact in Latin America and the Caribbean. IDB Invest's mandate is to maximize development impact while maintaining financial sustainability, a two-sided objective shared with many impact investors. IDB Invest offers its strong capacity to select and structure projects with the greatest impact potential, manage ESG risks, and build a strong pipeline of SDG-enabling investment opportunities in the region.[123] Moreover, The IDB Group's strategic priorities, which include social inclusion and equality, gender equality and diversity, productivity and innovation and economic integration, support all 17 Sustainable Development Goals, emphasizing the region's most critical development challenges and cross-cutting issues. [124]

To maintain its focus on development impact, IDB Invest promotes targets and strategically selects its operations. Its main sustainability-related corporate goals include:

- 30% of financing to support MSME access to finance.
- 30% financing to foster green growth through climate finance.
- 30% of transactions have a gender, diversity and inclusion component.
- 10% of financing for small and island countries[125]

Further, specific projects can have well-defined components and/or development objectives that directly address diversity gaps, as well as the needs of vulnerable or excluded populations. All in all, the economic net benefit of each project must be positive in order to be eligible under the IDB Invest Impact Managing Framework. This impact framework identifies and characterizes the costs and benefits of all projects in the portfolio. It establishes well-defined and measurable indicators that reflect the main projects' development objectives. These indicators are monitored during the project implementation. Further, as part of the IDB Invest's impact framework, after clearly establishing the development contribution of each project, based on such contribution, each project is aligned to the relevant Sustainable Development Goals. Currently, the quantification of this contribution is aggregate at the Group level through the corporate indicators.

In the context of this programme, the defined co-benefits estimated for this program include:

- Reduction of Fine Particle Pollution (PM2.5): Particle pollution can increase the risk of heart disease, lung cancer and asthma attacks and can interfere with the growth and work of the lungs. Major health impacts include asthma attacks, heart attacks, stroke, COPD, lunger cancer and death.
- Jobs created and supported, disaggregated by sex: Each Sub-Project is expected to generate economic co-benefits, particularly in terms of job creation and jobs supported. The project is expected to create jobs in three of the five program areas, namely sustainable transport, sustainable infrastructure and climate-smart agriculture.

D.4. Needs of recipient (max. 500 words, approximately 1 page)

Most island residents and visitors depend on regular imports of goods such as food and fuel. Weather and climate-related events anywhere in the global supply chain can disrupt the transport of raw materials and/or products to and from islands. Sea level rise, coastal erosion, and the impacts of coastal storms threaten critical infrastructure. When roads, power, and water & sewer services are disrupted, jobs that depend on them disappear, damaging local economies. Warming ocean waters and ocean acidification are degrading coral reefs and putting critical marine resources at risk. Changes threaten valuable fisheries and the livelihoods of all those who work to catch, process, package, and deliver fish products.[126]

Added to the Caribbean's exposure to cumulative recovery costs, natural disasters take a large toll on the Caribbean's future economic growth and development opportunities. For coastal communities, recovery costs take away scarce

[123] IDB Invest Development Impact.
[124] IDB Invest and the Sustainable Development Goals (SDGs)
[125] Sustainability Report 2022
[126] US Resilience Toolkit

resources from development and social spending budgets, hampering the possibilities of a speedy reconstruction and the prospects of sustained economic development and wellbeing (IMF, 2018).[127]

Of the Caribbean's 40 million inhabitants, 28 million live on the coast. The IPCC report projects economic decline and livelihood failures at warming above 1.5°C from collapses of fisheries, loss of tourism, and biodiversity loss from traditional agroecosystems. This is particularly concerning given the total contributions of tourism to regional GDP: at an average of 28% for Caribbean nations. It is especially concerning given that around 67.5% of Caribbean residents already live in moderate or severe food insecurity.[128]

Private-sector projects contributing to climate change mitigation and adaptation offer an opportunity from a social inclusion perspective. Climate change events are known to affect the most vulnerable communities and people, and particularly women, the most. resiliency financing in the Caribbean can have a dual-purpose in the sense that mitigation finance will also serve as projects that build resiliency in the face of climate events and disasters. For example, distributed energy generation that is built to withstand hurricanes, can serve not only to reduce grid emissions but also to provide electricity immediately after a climate event, when other systems are down.[129]

Need for strengthening institutions and implementation capacity. Countries in the Caribbean have shown political will and leadership advancing their pledges towards carbon emissions reductions and pushing the international community. However, the private sector faces structural challenges that prevent them from accessing capital to advance towards more resilient and sustainable production models:

- *Limited access to financing*. The macroeconomic conditions, together with a very fragmented private sector where about 95% of companies are SMEs and high vulnerability to climate change limit the appetite for international investors to invest in small projects with higher transaction costs, companies with limited borrowing track record and/or a high exposure of their business to the potential impact of climate change.
- *Limited access to technology*. Technology that may have been proven in other contexts, might not be available in the Caribbean; having to be brought from abroad, increasing project costs and reducing project profitability.
- *Social inequalities for vulnerable populations (including gender-based inequality)*. The most vulnerable communities tend to not be represented in decision-making roles at private sector companies, constraining the perspective and sense of urgency to invest in adaptation and climate resilience to better protect the long-term sustainability of the company while offering opportunities to underrepresented communities.
- *Regulatory frameworks*. Regulatory frameworks fail to define the right incentives to promote low-carbon business models and operations (e.g. adequate regulation for the deployment of distributed energy generation) or prevent further damage to the existing natural assets (e.g. clearing of wetland near coasts and deforestation driven by small-scale farming and charcoal production continue to be prevalent albeit laws designated protected areas or prohibiting practices fail to be enforced).

D.5. Country ownership (max. 500 words, approximately 1 page)

With a well-established track record in climate financing and strong commitments on Paris alignment, IDB Invest is well-positioned to be a financing and knowledge partner for companies in the Caribbean, that are seeking out expertise on sustainability integration, climate strategies and action plans, as well as the adequate financial products, terms and conditions to implement them. Lessons learned from engagement with private sector companies on climate topics in SIDS Host Countries will be shared within the IDBG for further support, together with IDB Caribbean Country Department, to inform policy and regulatory development in private sector climate ambition.

Moreover, in September 2022, and with the support of each of the IDBG Country Office representatives in each of the SIDS Host Countries, the IDBG kicked off the stakeholder engagement process to better understand the needs of the SIDS Host Countries to be included as eligible in this Program, discuss the scope for this Program and define the relevant activities and areas of focus that are a priority for private sector participation over the 5-year investment period of this Program. In the context of this engagement process, IDBG team held one-to-one meetings with each of the NDAs in the countries, among others. The following is a summary of our findings:

Bahamas: The Office of the Prime Minister has provided a no-objection letter to this program. Other GCF programs in Bahamas include FP181, FP180, FP152, FP151. The program sectors most relevant to the NDC are AFOLU, blue economy, Infrastructure, Renewable energy and transport[130]. Additionally, IDB Invest has engaged with corporations

[127] The Caribbean's Extreme Vulnerability to Climate Change: A Comprehensive Strategy to Build a Resilient, Secure and Prosperous Western Hemisphere. Global Americans High Level Working Group on Inter-American Relations and Bipartisanship 2019
[128] Climate Analytics, 2022
[129] Beyond 60 minutes: the Caribbean, center stage for the soft energy pathway. RMI, 2020
[130] A summary of the analysis conducted of country's NDCs can be found in Annex 2: Market and Feasibility Study

in the infrastructure, blue economy and renewable energy sectors, demonstrating demand from these sectors in the country as well.

Barbados: The Ministry of Finance and Economic Affairs has provided a no-objection letter to this program. Other GCF programs in Barbados include: FP231, FP192, FP189, FP060.The program sectors most relevant to the NDC are infrastructure, blue economy, renewable energy. IDB Invest has engaged with corporations in the infrastructure, transportation and renewable energy sectors, demonstrating demand from these sectors in the country as well.

Belize: The Ministry of Finance, Economic Development and Investment, has provided a no-objection letter to this program. Other GCF programs in Belize include: FP101 and FP180.The program sectors most relevant to the NDC are infrastructure, blue economy, renewable energy and climate smart agriculture. IDB Invest has engaged with corporations and project developers in the renewable energy, infrastructure and climate smart agriculture sectors, demonstrating demand from these sectors as well.

Dominican Republic: The Ministry of Environment has provided a no-objection letter to the program. Other GCF programs in Dominican Republic FP198, FP189, FP174, FP152, FP151, FP097, FP223. The sectors most relevant to the NDC are climate smart agriculture, blue economy, renewable energy and infrastructure. IDB Invest engaged with corporations and project developers in the renewable energy and infrastructure sectors, demonstrating demand from these sectors as well.

Guyana: The Office of the President of Guyana has provided a no-objection letter to this program. Other GCF programs in Guyana include: FP173. The sectors most relevant to the NDC are infrastructure, blue economy, renewable energy, and climate smart agriculture. IDB Invest has engaged corporations in the renewable energy, infrastructure and transport sectors, demonstrating demand from these sectors.

Jamaica: The Ministry of Economic Growth and Job Creation has provided a no-objection letter to this program. Other GCF programs in Jamaica include: FP189, FP180, FP152, FP151. The program sectors most relevant to the NDC are infrastructure, blue economy, renewable energy and climate smart agriculture. IDB Invest has banks, as well as corporations in the renewable energy, infrastructure and mobility sectors, demonstrating demand from these sectors.

Suriname: The Ministry of Spatial Planning and Environment has provided a no-objection letter to this program. Other GCF programs in Suriname include: FP173. The program sectors most relevant to the NDC are infrastructure, blue economy, renewable energy and climate smart agriculture. IDB Invest has banks as well as corporations in the infrastructure sector, demonstrating demand from these sectors.

Trinidad and Tobago: The Ministry of Planning and Development has provided a no-objection letter to this program. Other GCF programs in Trinidad and Tobago include: FP197, FP181. The program sectors most relevant to the NDCs are infrastructure, renewable energy and mobility. IDB Invest has engaged banks and project developers in the renewable energy and infrastructure sectors, demonstrating demand from these sectors.

D.6. Efficiency and effectiveness (max`. 500 words, approximately 1 page)

In the management of concessional blended finance resources, the IDBG subscribes to the DFIs' Principles on Blended Concessional Finance for Private Sector Projects[131]. This common framework seeks to ensure a harmonized, efficient and catalytic use of concessional resources in private sector projects, while avoiding market distortions and crowding out the private sector. Concessional Financing will comprise Financial Products, including loans, guarantees, and equity investments, provided on terms that are more favorable than those available are from the market, including:

- **Pricing**: Concessionality can be achieved through expected returns below those available on the market (i.e. lower interest rate for a loan), as determined upfront, or periodically for achieved and verified results (i.e. performance-based interest to promote gender equality and inclusion or support SMEs access to finance and access to market opportunities)
- **Terms:** Other aspects of structure may also make a financing concessional. For example, unless it is reflected in the pricing, lower seniority, longer tenor, back-weighted repayment profile, credit enhancements, or a weaker security package of a transaction would be considered concessional if commercial financial institutions would normally not accept it for a client in a particular market environment.
- **Liquidity**: Finally, finance provided where there is otherwise no access to market is implicitly concessional, even when its expected risk adjusted returns are aligned with market's expectations (i.e. priced at "market")

[131] DFI Working Group on Blended Concessional Finance for Private Sector Projects. October 2017.

The IDBG has established a set of guidelines to implement the 5 principles that will be followed in the structuring by a dedicated Blended Finance team in charge of the deployment of the resources of the program in each transaction. Among these principles, the commercial sustainability principle aims to ensure that transactions financed by the non-grant instrument component of this program present a commercial and financially viable model in the long term. The financial viability will be assessed on a case-by-case basis, rejecting models that require permanent subsidies to be viable.

For projects with a focus on climate mitigation, the estimated cost per tCO_2e over the project lifetime will be assessed during the analysis and structuring phase, based on the principle of minimum concessionality. On average, the estimated cost per tCO_2e is expected to be between US$1 and US$2.[132] In extraordinary occasions, and if justified in the transaction documents by the project-specific context or the social benefits of the project, this estimated cost may exceed the benchmark.

In terms of co-financing, the program is expected to have a target of US$4 leveraged by each US$1 of GCF's non-grant instrument contribution.

In the investments modelled (as referenced in Section B.5. and detailed in Annex 3), the economic analysis resulted in a positive ENPV (with a social discount rate of 12%), an EIRR of 25% and a Cost-Benefit Ratio of 1.63 (see Annex 3 - Financial and Economic analysis). This included adding the revenues and costs associated with investments, as well as incorporating the co-benefits of mitigated tCO_2e emissions (calculated in Annex 22 - program impact) valued at the average price of the effective carbon tax rate for the electric sector from OECD.Stat (2021) for the Dominican Republic and Jamaica (taken as representative for the region).

[132] To avoid market distortions the World Bank's Pilot Auction Facility clearing prices are used as a benchmark.

E. LOGICAL FRAMEWORK

*This section refers to the project/programme's logical framework in accordance with the **GCF's Integrated Results Management Framework** to which the project/programme contributes as a whole, including in respect of any co-financing.*

E.1. Project/Programme Focus

Please indicate whether this proposal is for a mitigation or adaptation project/programme. For cross-cutting proposals, select both.

☒ Reduced emissions (mitigation)

☒ Increased resilience (adaptation)

E.2. GCF Impact level: Paradigm shift potential (max 600 words, approximately 1-2 pages)

The information presented in this Section is provided for information purposes only and includes estimates that are, or may be deemed to be, "forward-looking statements". All assumptions, including those based on historical data, presented in this Section, including, without limitation, those regarding the current state (baseline), potential scenario (target) and Program contributions for future operations of IDB Invest and the Program are forward-looking statements. These forward-looking statements are not guarantees of future performance, and involve risks and uncertainties, and actual results and performance may differ materially from those described in, or suggested by, the forward-looking statements as a result of various factors. These forward-looking statements are based on numerous assumptions regarding IDB Invest's present and future business and operational strategies and priorities, the environment in which it expects to operate in the future, and the purpose of the Program. The information projects all sources and uses of GCF Proceeds based on reasonable assumptions made by IDB Invest to the best of its ability following IDB Invest's operational strategies and priorities, whether existing or in development, and the Program's goal and purpose, as set out in this Funding Proposal.

Assessment Dimension	Current state (baseline)		Potential target scenario (Description)	How the project/programme will contribute (Description)
	Description	Rating		
Scale	Current emissions reductions and resiliency measures by commercial entities in program countries are very limited. Sustainability and resiliency in energy, AFOLU, Infrastructure, Transport and ocean economy-	<u>Low</u>	The paradigm shift is a move from business-as-usual fossil-fuel dependent and unprepared businesses operations to cleaner and more resilient business operations.	The program intervention will contribute to mitigating and adapting to climate change. The shift toward gender-sensitive, sustainable and resilient business goes in scale beyond the direct entities where IDB Invest works given that they will create a track record and showcase sustainable business models that are bankable. Additionally, IDB Invest will work at the market level with professional associations to conduct gender-sensitive market studies, publish

	related sectors have not yet been developed commercially.			findings and make recommendations on how businesses in different sectors can move toward being more inclusive, sustainable and resilient.
Replicability	Net-zero and resiliency measures are not yet implemented at scale by commercial entities and thus replicability is very limited to individual companies that want to advance on a climate strategy. Limited experience with private sector sustainability and resiliency measures and investments is available in the different countries with insufficient track record for climate business.	Low	The combination of successful implementation of new business operations and new climate business models combined with the market force of ESG, and sustainability trends and requirements form the base of a fast and significant replication potential. Companies that invest in emissions reductions and resiliency measures will be replicated by other companies within the eight countries but can also serve as lighthouses for the private sector in other small and island developing states (i.e. ocean states)	Through gender-sensitive knowledge management instruments, successful climate business models and projects, as well as impact results will be disseminated among stakeholders and are expected to be replicated. Additionally, the program will include intentional capacity building campaigns for all projects, develop expertise at the company and business association (i.e. industry and national) levels. Once the high initial barrier to net-zero, climate resilient business in S&I states relating to uncertainty around market demand and profitability to make them commercially viable is removed, the Program can achieve replicability.
Sustainability	The NDCs and adaptation and mitigation national strategies of these countries all include various sectorial emissions reductions targets as well as adaptation targets. However, while the government alone will not be able to meet these targets, existing business practices and FI portfolios also don't fully align with the NDCs.	Low	Successful business models demonstrating lower costs on the one hand, and higher revenues on the other hand through emissions reductions and resiliency practices and products, will ensure sustainability.	The program will support businesses in designing and implementing gender-sensitive models and operations that encourage the private sector to invest in low-carbon, sustainability and resiliency in the face of climate change. The program will also work at the industry-association and private sector level to advance the inclusion and sustainability agenda. Furthermore, the Program will work with FI to develop green financial products which could continue to be sustained over the life of the program.
E.3. GCF Outcome level: Reduced emissions and increased resilience (IRMF core indicators 1-4, quantitative indicators)				

Select appropriate IRMF core and supplementary indicators to monitor project/programme progress. More than one IRMF (core and or supplementary) indicators may be selected as applicable for each GCF results area and project/programme outcome (as defined in the table in section B.2(b)). If IRMF indicators are unable to measure any given project/programme outcomes, project/programme-specific indicators should be developed under section E.5 (project/programme specific indicators).						
GCF Result Area	**IRMF Indicator**	**Means of Verification (MoV)**[133]	**Baseline**	**Target**[134]		**Assumptions / Note**
				Mid-term	**Final**	
All mitigation results area	Core 1: GHG emissions reduced, avoided or removed/sequestered	Project-specific results matrix or Monitoring and Evaluation Plan. The MoVs includes reports of IDB Invest divisions such as Environmental and Social, Portfolio Management, and Independent Engineer Reports.	*0*	*610,410 tCO_2e*	At year 5: 1,017,349 tCO_2e Lifetime emissions reductions: 7,064,470 tCO_2e	The amount of GHG avoided by clean energy generation, electric vehicles for public and private transportation, energy efficient project in buildings and coastal ecosystem components and water waste management projects, has been calculated based on different methodologies. Further details can be found in Annex 22a and 22b and assumed timing of project implementation.
MRA1 Energy generation and access	Core 1: GHG emissions reduced, avoided or removed/sequestered	Project-specific results matrix or Monitoring and Evaluation Plan. The MoVs includes reports of IDB Invest divisions such as Environmental and Social, Portfolio Management, and Independent Engineer Reports.	*The starting point or current value of the indicators before the implementation of the project* 0	*The estimated value of the indicator at the mid-point of the implementation* 437,532tCO_2e	At year 5: 729,220 tCO_2e Lifetime emissions reductions: 3,646,098 tCO_2e	*Externalities and factors outside project management's control that may impact the outcomes.* *Data sources and methodologies applied for estimating baseline and targets.* The amount of GHG avoided by clean energy generation

[133] See also section E.7 and Annex 22.
[134] **Midterm** of the project will be defined as year 3 after receiving funds. The **final target** means the target at the end of project/programme implementation period. However, for core indicator 1 (GHG emission reduction), the **target value at the end of the total lifespan** period which is defined as the maximum number of years over which the impacts of the investment are expected to be effective.

MRA1 Energy generation and access	Supplementary 1.3: Installed renewable energy capacity	Project-specific results matrix or Monitoring and Evaluation Plan. The MoVs includes reports of IDB Invest divisions such as Environmental and Social, Portfolio Management, and Independent Engineer Reports.	0	423MW	At year 5: 704MW Installed capacity by the end of program: 3,518MW.	has been calculated based on CDM methodologies. We assumed CAPEX of solar based on surveys from Engineering companies on latest CAPEX for grid-tie solar in Caribbean countries, from advisory services provided or quoted for clients in the region We assumed S&I Yield Solar (MWh/MWp/year) based on PVWatts average solar irradiance and yield in Jamaica, DR, and Guyana .[135] The total installed capacity is achieved after the end because of the timing in project implementation and assumed construction periods (of around 2 years). Further details can be found in Annex 22a and 22b and assumed timing of project implementation.
	Supplementary 1.4: Renewable energy generated		0	718,596 MWh	At year 5: 1,197,660 MWh Renewable energy generated Installed by the end of program: 5,988,300 MWh.	
MRA2 Low-emission transport	Core 1: GHG emissions reduced, avoided or removed/sequestered	Project-specific results matrix or Monitoring and Evaluation Plan. The MoVs includes reports of IDB Invest divisions such as Environmental and Social, Portfolio Management, and	0	81,473 tCO_2e	At year 5: 135,788 tCO_2e	Amount of GHG avoided by projects of electric vehicles for public and private transportation. The main assumptions are based on market research for Caribbean countries and IDB Invest expertise. Further

[135] https://pvwatts.nrel.gov/pvwatts.php

		Independent Engineer Reports.			Emissions reductions by the end of life: **402,415** tCO_2e	details can be found in Annex 22.
MRA3 Buildings, cities, industries and appliances	Core 1: GHG emissions reduced, avoided or removed/sequestered	Project-specific results matrix or Monitoring and Evaluation Plan. The MoVs includes reports of IDB Invest divisions such as Environmental and Social, Portfolio Management, and Independent Engineer Reports .	0	15,685 tCO_2e	At year 5: 26,141 tCO_2e Emissions reductions by the end of life of the technology/asset: 261,399 tCO_2e	Amount of GHG avoided by energy efficient project in buildings, calculated with the EDGE APP. Further details can be found in Annex 22.
	Supplementary 1.1: Annual energy savings		0	524 MWh/year	874 MWh/year Energy saving by the end of life of the technology/asset: 8,743 MWh/year	
MRA4 Forestry and land use	Core 1: GHG emissions reduced, avoided or removed/sequestered	Project-specific results matrix or Monitoring and Evaluation Plan. The MoVs includes reports of IDB Invest divisions such as	0	75,720 tCO_2e	At year 5: 126,200 tCO_2e	Amount of GHG avoided by projects with coastal ecosystem components and water waste management projects. For, water waste project, the main assumptions are based on

		Environmental and Social, Portfolio Management, and Independent Engineer Reportsf..			Emissions reductions by the end of life: **2,754,558** tCO_2e	existing projects of the IDB Invest. For coastal ecosystem restoration projects, the main assumptions came from literature and market research. Further details can be found in Annex 22A and 22B
<u>All adaptation results area</u>	<u>Core 2: Direct and indirect beneficiaries reached</u>	Project-specific results matrix or Monitoring and Evaluation Plan. The collection of results during supervision is based on reports from the Client. For a selection of projects, IDB Invest will commission surveys to ensure the accuracy of information.	0	Direct: 2,887, 50% female Indirect: 0	At year 5: Direct: 11,650, 50% female Indirect: 0 Beneficiaries by the end of life: Direct: 22,833, 50% female Indirect: 0	People benefited from more resilient environments through climate smart agriculture, blue economy, sustainable transport and sustainable infrastructure projects. These numbers relate to direct beneficiaries. Indirect beneficiaries are not tracked. Beneficiaries by the end of the project reflect the assumed timing of implementation. Further details can be found in the companion Annex 22b. See also section E7 for monitoring and evaluation arrangements.
<u>ARA1 Most vulnerable people and communities</u>	<u>Core 2: Direct and indirect beneficiaries reached</u>	Project-specific results matrix or Monitoring and Evaluation Plan. The collection of results during supervision is based on reports from the Client. For a selection of projects,	0	0	At year 5: **0**	People benefited from more resilient environments through climate smart agriculture, blue economy, sustainable transport and sustainable infrastructure projects. These numbers relate to direct beneficiaries.

		IDB Invest will commission surveys to ensure the accuracy of information.			Beneficiaries by the end of life: Direct :**1848**, 50% female. Indirect: 0	Indirect beneficiaries are not tracked. Beneficiaries by the end of the project reflect the assumed timing of implementation. Further details can be found in the companion Annex 22b." See also section E7 for monitoring and evaluation arrangements.
ARA3 Infrastructure and built environment	Core 2: Direct and indirect beneficiaries reached	IDB Invest impact measurement framework. The collection of results during supervision is based on reports from the Client. For a selection of projects, IDB Invest will commission surveys to ensure the accuracy of information.	0	Direct: 2,887, 50% female	At year 5: 11,650, 50% female . Beneficiaries by the end of life: Direct: **20,436**, 50% female. Indirect: 0	People benefited from more resilient environments through sustainable and resilient infrastructure projects. These numbers relate to direct beneficiaries. Indirect beneficiaries have not been defined. Beneficiaries by the end of the project reflect the assumed timing of project implementation. Further details can be found in Annex 22b. See also section E7 for monitoring and evaluation arrangements.
	Supplementary 2.6: Beneficiaries (female/male) living in buildings that have increased resilience against climate hazards	Project-specific results matrix or Monitoring and Evaluation Plan. The collection of results during supervision is based on reports from the Client. For a selection of	0	2,887	At year 5: 11,650, 50% female Direct beneficiaries by	This is the estimate of the number of beneficiaries that who are living in buildings/dwellings that have increased resilience against climate change related hazards will receive clean

		projects, IDB Invest will commission surveys to ensure the accuracy of information.			the end of life: 20, 436, 50% female.	energy, based on energy demand per capita. It is calculated as number of individuals (female and male) that benefit from projects aimed to enhance reliability of electricity services. Thus, this estimate includes beneficiaries, who will receive clean energy. The number of total beneficiaries depends on the implementation and successful operation of the projects. Further details can be found Annex 22B." See also section E7 for - and evaluation arrangements.
	Core 3: Value of physical assets made more resilient to the effects of climate change and/or more able to reduce GHG emissions	IDB Invest impact measurement framework.	TBD	TBD	TBD[136]	USD Million total project costs of adapted investments that integrate measures to reduce material physical climate risks to the asset, activity or entity that is the subject of the investment; and total project cost of enabling investments that enable the climate resilience of other assets, activities or entities.

[136] This indicator is a new indicator under the IDB Invest Impact Measurement Framework that will also be applied to this program. As such, AE commits to reporting on this indicator but no target has been set for this indicator.

ARA4 Ecosystems and ecosystem services	Core 2: Direct and indirect beneficiaries reached	IDB Invest impact management framework. The MoVs includes reports of IDB Invest divisions such as Environmental and Social, Portfolio Management, and Independent Engineer Reports.	0	0	At year 5: 0 Beneficiaries by the end of life: Direct: 549,50% female Indirect: 0	The number of beneficiaries is estimated for mangrove projects. The main assumptions came from market research. Beneficiaries by the end of the project reflect the assumed timing of project implementation. Further details can be found in Annex 22b. See also section E7 for monitoring and evaluation arrangements.

E.4. GCF Outcome level: Enabling environment (IRMF core indicators 5-8 as applicable)

Select at least two relevant IRMF core (enabling environment) indicators to monitor and elaborate the baseline context and project/programme's targeted outcome against the respective indicators. Rate the current state (baseline) vis-à-vis the target scenario and select the geographical scope of the outcome to be assessed. Describe how the project/programme will contribute towards the target scenario. Refer to a case example in the accompanying guidance to complete this section.

Core Indicator	Baseline context (description)	Rating for current state (baseline)	Target scenario (description)	How the project will contribute	Coverage
Core indicator 7: Degree to which GCF Investments contribute to market development/transformation at the sectoral, local, or national level	Weak penetration of renewable energy, electromobility, climate-smart agriculture, sustainable and forestry practices. Also, there is no evidence of systemic financing instruments incentivizing market participants by reducing costs or risks, or through eliminating barriers to the	low	The program will provide evidence that projects have effectively and sustainably reduced the costs and risks of deploying effective low emission and climate resilient market solutions.	The project will incentivize uptake of greener technologies among businesses through offering gender-sensitive technical advice and climate investment preparedness services as well as blended finance towards highly additional and transformational projects that are	Multi-countries

	deployment of low-emission, climate resilient solutions. This situation weakens the demand for the targeted markets of increasing sustainable and resilient infrastructure, and blue economy, including the waste management.			economically sound but require temporary subsidy order to address a market failure.	
Core indicator 8: Degree to which GCF investments contribute to effective knowledge generation and learning processes, and use of good practices, methodologies and standards	Limited awareness and evidence-based knowledge of green and resilient products and operations among businesses and financial institutions in the eight countries.	low	The program provides examples of rigorous and credible lesson learning exercises being undertaken and shared at regional or national level which highlight good practice examples and provide evidence for future action.	Companies participating under projects in the program also receive inclusive capacity building sessions to ensure that they are well-placed to carry out the climate change action plan, and are also likely to hire full-time sustainability experts within the company, through an inclusive recruitment process.	Multi-countries

E.5. Project/programme specific indicators (project outcomes and outputs)

*This section should list out project/programme-specific performance indicators (outcomes and outputs) that are not covered in sections above (E.1-E.4). List down tailored indicators to monitor /track progress against relevant project/programme results (outcomes/outputs). AEs have the freedom to decide against which outcomes they would like to set project/programme specific indicators. If any co-benefits are identified in sections B.2(a)(b), and D.3, AEs are encouraged to add and monitor co-benefit indicators under the "**Project/programme co-benefit indicators**" section in table below. Add rows as needed.*

Please number each outcome and output as shown below to indicate association of outputs to the contributing outcome. The numbering for outputs under this section should correspond to the output numbering in annex 4 (detailed budget plan).

Project/programme results (outcomes/ outputs)	Project/programme specific Indicator	Means of Verification (MoV)	Baseline	Target		Assumptions / Note
				Mid-term	Final	

Increase gender sensitive resilience of infrastructure, ecosystems and communities	See section E.3. GCF Outcome level: Reduced emissions and increased resilience.	Project Monitoring Records	n/a	n/a	n/a	The outcomes rely mainly on two aspects: (i) the Clients/Projects agree to run gender-sensitive diagnostics and agree to implement resulting measures; (ii) the measures are attractive from the cost side for the Client/Project or the IDB Invest financing is able to support its implementation.
Intermediate Outcome 1: Climate Sub-projects became bankable and FIs are prepared to channel climate finance	# of projects	Project Monitoring Records	*0*	TBC	*50*	All these projects are expected to have a financial and economic rate of return higher that the cost of capital.
Output 1.1: Sustainability practices and standards promoted in the financial sector. This output is to incorporate material ESG practices and policies in order to drive sustainable operations and portfolio in the Financial Institution. .	1.Inclusive training workshops delivered to employees in Financial Institutions on Sustainable Finance	Project Monitoring Records	0	20	32	At least two workshops per advisory
	2. Gender-sensitive sustainability policy or gender-sensitive sustainable finance strategy/action plan developed	Project Monitoring Records	0	4	12	Support 12 clients in developing a sustainable finance strategy or action plan. In cases where the plan is partly financed by the Client, this assumes that the Client is willing to contribute financially. In all cases it is assumed that the Client will be willing to allocate in-kind

						resources to develop a plan.
	3. Supporting gender-sensitive material developed for sustainable finance (Operations/Policy manuals, market studies, Portfolio reviews/diagnostic)	Project Monitoring Records	0	8	16	At least one supporting material per advisory
	4. New green lending lines or financial products introduced	Project Monitoring Records	0	3	8	Assume 8 clients who are in advanced stages of sustainability strategies are ready. The resulting financial products are expected to be financially attractive for the Client.
	5.Green, social, sustainability and sustainability-linked documentation prepared (FI preparatory process and second-party opinion)	Project Monitoring Records	0	1	5	5 clients will be advanced enough with sustainability strategies and green lending to issue a bond. In cases where, the documentation is partly financed by the Client, this assumes that the Client is willing to contribute financially. In all cases it is assumed that the Client will allocate in-kind resources to develop the documentation.
Output 1.2 Sustainable and resilient corporations and real	6.Low-carbon feasibility study conducted	Project Monitoring Records	0	12	24	24 projects will require low-carbon feasibility

sector projects developed. This output is to incorporate material gender and climate practices and studies in order to drive inclusion, sustainability and resiliency in the sub-projects.						studies over the course of five years.
	7.Legal or regulatory review conducted	Project Monitoring Records	0	4	8	One regulatory review per country, as needed.
	8.Gender-sensitive resiliency feasibility study conducted	Project Monitoring Records	0	4	10	10 potential financing projects will require resiliency feasibility study to assess bankability and financing potential for adaptation and resiliency. In cases where, the study is partly financed by the Client, this assumes that the Client is willing to contribute financially. In all cases it is assumed that the Client will timely provide accurate information.
Output 1.3 Market-level guidelines standards tools and capacity building This output is to promote gender-sensitive action at the market-level. .	9.Market-level tool, gender-sensitive standard or guide	Project Monitoring Records	0	2	7	The program expects to create 7 market tools, standards and guides across the program countries.
	10.Inclusive Capacity building workshops	Project Monitoring Records	0	4	14	Assume each of the 7 market tools will require 2 workshops to socialize. At least two per intervention
Output 1.4 Public knowledge products and capacity building reinforced This output will produce market knowledge	11.Inclusive knowledge product	Website of document publication	0	1	10	Knowledge products aim to disseminate positive and negative experiences. In all cases, given the nature of private sector operations, they require agreements
	12. Inclusive knowledge product	Website of document publication	0	4	10	
	13. Inclusive knowledge product	Website of document publication	0	2	8	

products and detailed capacity building sessions in order to drive gender-sensitive climate action in the host countries.						of the Client to make such products public.
Intermediate Outcome 2: Low carbon and climate-resilient investments implemented in the SIDS Host Countries, with equitable and inclusive participation of women and other vulnerable groups in employment and market opportunities, training and leadership opportunities	Number of low carbon and climate-resilient investments implemented, of which 40% with gender, diversity and/or inclusion targets	Project Monitoring Records	0	12	34, of which 14 with GDI targets	40% of the 34 investments will have gender, diversity and/or inclusion targets
Output 2.1: Improved financing solutions to support private sector-led net zero and climate resilient Sub-Projects in the Caribbean, promoting equitable participation for women and vulnerable groups	Number of decarbonization projects financed	Project Monitoring Records	0	8	22	This output will enable investments in climate-resilient economic activities that would not have been feasible without concessional GCF financing, driving progress towards climate adaptation and mitigation in the region
	Number of adaptation projects financed	Project Monitoring Records	0	4	12	
Project/programme co-benefit indicators						
Co-benefit 1	Jobs supported, disaggregated by sex	IDB Invest Impact Management Framework	0	742	742	These assumptions were made based on job creations in the same

						sector in other regions and extrapolated for the eight countries.
Co-benefit 2	PM 2.5 Amount of PM 2.5 emissions avoided	IDB Invest Impact Management Framework	0	0	368	Estimation based on projects for electric in sustainable transport. Further details can be found in Annex 22b. See also section E7 for monitoring and evaluation arrangements.

E.6. Project/programme activities and deliverables

All project activities should be listed here with a description and sub-activities. Significant deliverables should be reflected in annex 5 implementation timetable. Add rows as needed.
Please number the activities as shown below to indicate association of activities to the related outputs provided above in section E.5. Similarly, please number sub-activities as shown below to associate to the related activity.

Activities	Description	Sub-activities	Deliverables
Activity 1.1.1 Support the FI in establishing or advancing its sustainability vision, operations and activities	IDB Invest supports Fis in establishing a first sustainability strategy, or further elaborating its sustainability strategy by developing new policies, procedures and green financial products. IDB Invest assesses the bank's baseline on gender, diversity and inclusion/sustainability best practices and designs a customized advisory services solution that meets their needs.	• Capacity building and developing a commitment. • Development of strategic visions and action plans, including gender, diversity and inclusion where applicable. • Development of green financial products to channel funding to the five main sectors of this program:	**Deliverables under these activities include but are not limited to:** • Workshops • Sustainability Policies • Sustainable Finance Strategies • FI MRV systems • Market Studies Proposals for green financial products
Activity 1.2.1 Strengthening of a portfolio of eligible inclusive green projects	Grant resources will be allocated to preparing a strong pipeline of projects in contexts that allow for higher and broader impact	• Specialized consultancy services will be hired to support the generation of a bankable gender-smart climate finance pipeline.	A portfolio of eligible projects is curated, ensuring a diverse range of initiatives that have the potential to

			deliver desired adaptation and/or mitigation outcomes
Activity 1.2.2 Implementation of advisory services for corporations and project developers	The Program will provide support to potential and current IDB Invest clients in the form of capacity building, execution of feasibility studies with an inclusive/gender lens, development of business models, among others.	• The Program will work closely with the client (corporations and project sponsors) to develop climate action plans and climate operations, which are inclusive and gender smart as applicable, that can be financed under Component 2 or to unlock climate finance from other sources. Support the performance of technical feasibility studies with an inclusive lens at the recipient (IDB Invest client) sites with the objective of demonstrating business viability	• Feasibility studies Corporations, and project sponsors participate of capacity building sessions to implement net zero and climate resilient projects
Activity 1.3.1 Market-level engagement to raise the bar for sustainability.	This activity will promote industry-specific initiatives to raise the bar and advance the sustainability agenda for all private-sector entities.	• Identify the material GDI/sustainability topics for the industry, understand the demand from the private sector and develop sustainability protocols and set guides for the respective industry. • The program will carry out capacity building activities based on the information produced during the execution of the activities described above. • Learning workshops Issuing guides and tools for various types of projects	• Sustainability protocols • Tools and guides developed for the industry. • Capacity building • Learning workshops conducted.
Activity 1.4.1 Creation and public dissemination of industry or technology-specific knowledge	The Program will support the development of comprehensive research and analysis to identify and innovative approaches in select sectors where there is demand or potential for demand	• Gathering data, assessing the effectiveness and cost-efficiency of various strategies and technologies	Guidelines and/or reports that provide practical guidance on implementing cost-effective solutions for mitigation and adaptation in specific sectors

Activity 1.4.2 Market studies for financing inclusive green and climate technologies	Under this program, this activity will develop state of the market studies with a gender lens highlighting the gaps, barriers and opportunities for green business models, climate technologies and financing green broadly, with a country or region-specific lens	• State of the market studies • Publication and dissemination of existing incentives in place for climate business	State of the market studies
Activity 1.4.3 Case studies, evaluations, dissemination material to share lessons learned	The objective of this activity is to facilitate the extensive dissemination of the Program among the targeted countries, key stakeholders, and Program recipients.	• Project case studies will be developed to showcase the outcomes of successful projects. • Various materials will be created with the purpose of sharing lessons learned with other market participants. Conference and panels participation	Case studies developed and knowledge material for dissemination.
Activity 2.1.1: Renewable Energy and Energy Efficiency Financing	This activity will finance Sub-projects through concessional blended financing instruments that focus on expanding renewable energy sources and energy efficiency measures. The goal is to support the just transition of the Caribbean to low-carbon electricity grid, while increasing the energy efficiency of the economies and improving the resilience to climate-related impacts.	• Regular project assessment by IDB Invest's investment review process, including due diligence and in-depth analysis of the transaction's credit and non-credit components, preparation of the Investment Proposal, negotiation of terms and conditions with the client, and obtaining an institutional investment decision of the Investment Decision Meeting (IDM) • Enhanced and additional project assessment through a through a Blended Finance Assessment (BFA) against the five blended finance principles (1. Additionality, 2. Crowding-in and Minimum Concessionality, 3. Commercial sustainability, 4. Reinforcing	Key deliverables of project assessment and approval process include: • Approved Investment Proposal (IP) • Approved Blended Finance Assessment (BFA).

		markets, 5. Promoting high standards) and obtaining an institutional investment decision of the Blended Finance Panel	
Activity 2.1.2: Climate-Smart Agriculture Financing	This activity aims to finance sustainable agricultural Sub-projects concessional blended financing instruments, particularly those that adopt climate-smart practices to enhance productivity while promoting environmental conservation. It focuses on projects such as agroforestry systems and reforestation to address deforestation and climate change impacts.	• Regular project assessment by IDB Invest's investment review process, including due diligence and in-depth analysis of the transaction's credit and non-credit components, preparation of the Investment Proposal, negotiation of terms and conditions with the client, and obtaining an institutional investment decision of the Investment Decision Meeting (IDM • Enhanced and additional project assessment through a through a Blended Finance Assessment (BFA) against the five blended finance principles (1. Additionality, 2. Crowding-in and Minimum Concessionality, 3. Commercial sustainability, 4. Reinforcing markets, 5. Promoting high standards) and obtaining an institutional investment decision of the Blended Finance Panel	Key deliverables of project assessment and approval process include: • Approved Investment Proposal (IP) • Approved Blended Finance Assessment (BFA)
Activity 2.1.3: Sustainable & Resilient Infrastructure Financing	In this activity, financial support will be provided through concessional blended financing instruments for investments in inclusive, sustainable and climate-resilient infrastructure Sub-projects in the Caribbean which	• Regular project assessment by IDB Invest's investment review process, including due diligence and in-depth analysis of the transaction's credit and non-credit components, preparation of the	Key deliverables of project assessment and approval process include: • Approved Investment Proposal (IP)

	increase decision-making opportunities and women's participation in gender-smart infrastructure design. The primary focus of this activity is to encourage the development of energy-efficient and climate-resilient buildings and infrastructure to reduce emissions and increase resilience to climate-related impacts such as hurricanes, sea-level rise, torrential rain, and heatwaves.	Investment Proposal, negotiation of terms and conditions with the client, and obtaining an institutional investment decision of the Investment Decision Meeting (IDM • Enhanced and addtional project assessment through a through a Blended Finance Assessment (BFA) against the five blended finance principles (1. Additionality, 2. Crowding-in and Minimum Concessionality, 3. Commercial sustainability, 4. Reinforcing markets, 5. Promoting high standards) and obtaining an institutional investment decision of the Blended Finance Panel	• Approved Blended Finance Assessment (BFA)
Activity 2.1.4: Sustainable Transport Financing	This activity involves providing financial support through concessional blended financing instruments for investments in low-carbon and resilient infrastructure projects, with a specific focus on promoting electric vehicles (EVs). The activity aims to accelerate the adoption of eco-friendly transportation solutions, reduce greenhouse gas emissions, and enhance overall resilience to environmental challenges.	• Regular project assessment by IDB Invest's investment review process, including due diligence and in-depth analysis of the transaction's credit and non-credit components, preparation of the Investment Proposal, negotiation of terms and conditions with the client, and obtaining an institutional investment decision of the Investment Decision Meeting (IDM • Enhanced and additional project assessment through a through a Blended Finance Assessment (BFA) against the five blended finance principles (1. Additionality,	Key deliverables of project assessment and approval process include: • Approved Investment Proposal (IP) • Approved Blended Finance Assessment (BFA)

		2. Crowding-in and Minimum Concessionality, 3. Commercial sustainability, 4. Reinforcing markets, 5. Promoting high standards) and obtaining an institutional investment decision of the Blended Finance Panel	
Activity 2.1.5: Blue Economy, Water and Waste Treatment Financing	In this activity, financial support will be provided for various blue economy activities that not only enhance local water quality and availability but also bolster resilience against water-related climate impacts such as droughts and floodings, and includes gender and/or social KPIs to ensure blue economy investment works for all. The blue economy refers to the sustainable use and conservation of ocean and marine resources for economic growth and improved livelihoods.	• Regular project assessment by IDB Invest's investment review process, including due diligence and in-depth analysis of the transaction's credit and non-credit components, preparation of the Investment Proposal, negotiation of terms and conditions with the client, and obtaining an institutional investment decision of the Investment Decision Meeting (IDM • Enhanced and additional project assessment through a through a Blended Finance Assessment (BFA) against the five blended finance principles (1. Additionality, 2. Crowding-in and Minimum Concessionality, 3. Commercial sustainability, 4. Reinforcing markets, 5. Promoting high standards) and obtaining an institutional investment decision of the Blended Finance Panel	Key deliverables of project assessment and approval process include: • Approved Investment Proposal (IP) • Approved Blended Finance Assessment (BFA)

E.7. Monitoring, reporting and evaluation arrangements (max. 500 words, approximately 1 page)

Program arrangements for monitoring, reporting and evaluation.

IDB Invest follows a differentiated approach to monitoring, reporting and evaluation for Components 1 and 2.

Component 1: Given that it is primarily technical assistance and knowledge products, there are only project specific indicators. This will be monitored and reported through data from project documentation such as client beneficiary agreements (CBA), vendor firm contracts as well as all deliverables submitted under the advisory services sub-project, IDB Invest can report annually on the progress toward the targets of all indicators listed under component 1.

Component 2: Under its Impact Management Framework, IDB Invest monitors and evaluates the development, financial, and Environmental and Social (E&S) performance of all of its projects on an annual basis. This will include the Sub-Projects under Component 2. The benchmarks, annual targets, for evaluating each Sub-Project's performance will be set at the stage of approval of the financing in the results matrix which will contain the main indicators. The approval documentation will also set financial and operational indicators with reference projections. Information on actual performance will be collected from Recipients annually (typically within ninety (90) days of the close of the fiscal year applicable to each Sub-Project jurisdiction). Exceptions to this period shall be based on Recipient requests and proper justifications. Under each Financing Agreement, each Recipient shall commit to deliver documentation and key indicators to track Sub-Project performance, including audited financial statements, and certificates of compliance with local regulations, among others. Upon agreement with the Recipient, IDB Invest will also use external sources such as independent engineer visits, environmental and social verification visits, or administrative data from other sources. After the information has been collected and verified, IDB Invest will assess the financial, operational, E&S, and development performance in the Annual Supervision Reports (ASR).[137] The ASRs for the whole portfolio are prepared throughout the year. The development performance of Sub-Projects will be measured through our score system called Development Effectiveness, Learning, Tracking, and Assessment (DELTA). The DELTA system encompasses impact indicators, financial and economic, E&S, and corporate governance aspects. It is a fact-based scoring system that assesses the impact potential of each investment. Adaptation and mitigation objectives and/or benefits are assessed in the DELTA under the specific category of Environment and Climate Change. DELTA assesses the type of project, the share of use-of-proceed allocated to mitigation and/or adaptation, and the extent of the expected impact. To be scored in the DELTA, the project needs to have a net positive climate or environmental impact. That is, not merely compensating for negative environmental impacts of the project but going beyond environmental risk mitigation. The net positive impacts need to be well-identified and measurable. To that end, appropriate indicators and targets are established. Those indicators and targets also allow to monitor the project performance during project operation. The category of Environment and Climate Change weight 30% of the total DELTA score. This score is calculated at approval (based on projections) and annually updated based on actual performance (with respect to its ex-ante targets). After a reasonable operating time, IDB Invest prepares, for each project over US$1 million, the Expanded Supervision Reports (XSRs). The XSR evaluates the project performance based the ex-ante identified development gaps. The XSR is in turn evaluated by the Office of Evaluation and Oversight, an independent evaluation office that monitors the performance and effectiveness of the IDB Group activities. Under this framework, all indicators in E.4 will be tracked and evaluated annually.

Specific considerations: For the following indicators (i) Direct beneficiaries reached, and (ii) Jobs created or supported, their actual values are reported by the client in their annual reports delivered to the IDB Invest. The main sources of verification are field visits of specialists of IDB Invest Environmental and Social Division

[137] Development indicators includes adaptation and mitigation when they are part of the project main objectives,

and Portfolio Management Division. It is important to highlight that the actual values of indicators are collected according to each Recipient's reporting capacity. Therefore, the actual values are reported/collected at the level of the beneficiary units that are specific to each project. For reporting to the GCF, the number of individuals will be calculated as the number of units benefited from the project multiplied by the number of estimated individuals in that unit. This calculation will be performed and documented by the Office/Division administering the GCF Trust Fund withing the IDB Invest. In addition, for a selection of Sub-Projects, IDB Invest will perform surveys to validate the magnitude (number of beneficiaries) and quality (project direct benefit) of reach of the Program, as well as to validate the number of women benefited.

For GHG Emissions avoidance see Annex 22. Additionally, annual reporting can be made available for the indicators listed under section E-5.

Compliance with AMA and GCF evaluation policy requirements

In accordance with the AMA and GCF evaluation policy the IDB Invest will collate and aggregate data to report to the GCF in the Annual Performance Reports.

IDB invest will contract an intermediate evaluation at mid-term of program timeline and final evaluation at end of program implementation in alignment with the AMA and the GCF evaluation policy.

F. RISK ASSESSMENT AND MANAGEMENT

F.1. Risk factors and mitigations measures (max. 3 pages)

Selected Risk Factor 1	**Credit default risk**	
Category	**Probability**	**Impact**
Credit	Medium	Medium

Description

Please describe the risk to the best of your knowledge at this point in time.

Credit risk could materialize as borrowers face challenges meeting their financial commitments due to unforeseen circumstances, project underperformance, or adverse market conditions.

Mitigation Measure(s)

Please describe how the identified risk will be mitigated or managed. Do the mitigation measures lower the probability of risk occurring? If so, to what level?

The investments from the program will typically receive co-investments from IDB Invest own capital. As such the credit or loan default risk on repayment of program loans is low. IDB Invest uses an internal credit risk scoring system called FACT that encompasses sector-specific scorecards and combines internal and external data sources, models, and financial templates to closely monitor the both the individual and portfolio-wide credit risk of projects. FACT is the basis for measuring the risks of individual operations and of the overall portfolio of IDB Invest. FACT ratings are taken into account to determine the amount of exposure, negotiate the pricing or yield of a transaction, devise a suitable structure, guide the supervision process, determine loss given default (LGD) and probability of default (PD), and facilitate risk migration analysis. The credit risk rating is updated at least once a year and at any point in the transaction cycle when necessary — for example, when project completion is achieved, or when positive or negative signals are observed in the market, sector, shareholders or transaction fundamentals.

Selected Risk Factor 3	**Delayed or incomplete execution of projects**	
Category	**Probability**	**Impact**
Technical and operational	Low	Medium

Description

Please describe the risk to the best of your knowledge at this point in time.

This risk factor encompasses the potential for projects within the program to face delays or potentially remain incompletely executed, primarily stemming from challenges in identifying private sector initiatives that offer substantial climate mitigation or adaptation advantages, as well as the availability of suitable financial instruments to facilitate their implementation.

Mitigation Measure(s)

Please describe how the identified risk will be mitigated or managed. Do the mitigation measures lower the probability of risk occurring? If so, to what level?

To address the potential risk of project delays or incomplete execution, a proactive approach is implemented through two primary mitigation measures. Firstly, the availability of a diverse set of financial instruments throughout the investment period ensures alignment between resources and the varied and changing financing needs of different private sector stakeholders. This approach contributes to a reduction in overall execution risk. Secondly, leveraging the strong geographic presence of IDBG across key Caribbean countries such as Barbados, Bahamas, Belize, Guyana, Jamaica, Suriname, and Trinidad & Tobago, enables continuous engagement with local private sector representatives. This engagement aids in identifying suitable climate-focused investment opportunities early on and thereby works to minimize the possibility of project execution delays or incompletions. In combination, these measures substantially enhance the likelihood of successful and timely project execution.

Selected Risk Factor 4	**Lack of alignment of Environmental and Social Standards (ESS)**	
Category	**Probability**	**Impact**
Governance	Low	Medium
Description		
Recipients' failure to comply with national regulations and/or IDB Invest and GCF environmental, social policy, gender requirements and compliance with standards, policies and procedures.		
Mitigation Measure(s)		

The 2020 IDB Invest Sustainability Framework effectively addresses the risk of recipients not complying with national regulations, as well as IDB Invest and GCF environmental, social policy, gender requirements, and standards. This risk mitigation is achieved through the following components of the framework:

IDB Due Diligence and Oversight: The framework includes a thorough due diligence process that ensures recipients' alignment with environmental and social sustainability standards. It encompasses the 2020 Environmental and Social Sustainability Policy, the Access to Information Policy, and the IDB Invest Exclusion List. These policies serve as comprehensive guidelines for recipients' compliance. The framework's oversight and advisory role further support recipients in meeting these requirements.

Requirements for Real Sector Clients: Real sector clients are obliged to adhere to the policies mentioned above. They are also required to implement the 2012 IFC Performance Standards for managing environmental and social risks within the private sector. Additionally, clients must conform to the Environmental, Health, and Safety (EHS) Guidelines established by the World Bank Group. These requirements collectively reduce the risk of non-compliance with environmental, social, and gender-related expectations.

Involvement of Financial Institutions (FIs): Projects and investments routed through financial institutions undergo a dual-layer risk mitigation process. First, financial institutions must establish a robust Environmental and Social Management System (ESMS) to ensure alignment with national laws and international standards. Second, the FI conducts a comprehensive screening process to identify and mitigate environmental and social risk factors. By limiting funding eligibility of Fis to projects with a moderate risk profile, the framework effectively addresses the risk of non-compliance with national regulations and standards.

In conclusion, the IDB Invest Sustainability Framework mitigates the risk of recipients failing to comply with national regulations, IDB Invest and GCF environmental, social policy, gender requirements, and standards. It does so by providing clear guidelines, conducting rigorous due diligence, and maintaining oversight and advisory roles throughout the funding proposal process. This approach considerably reduces the likelihood of non-compliance and associated risks.

Selected Risk Factor 5	**Illicit practices**	
Category	**Probability**	**Impact**
Prohibited practices	Low	High

Description		
Risk of projects being involved in illicit practices (money laundering, terrorist financing or other prohibited practices)		
Mitigation Measure(s)		
As GCF Trust Fund resources will be provided alongside Co-financing from IDB Invest, IDB Invest integrity principles and associated due diligence will apply at Sub-Project level, which will also mitigate this risk. All Sub-Projects shall comply with IDB Invest's Integrity Framework, and Recipients shall contractually acknowledge that IDB Invest reserves the right to investigate directly, or through its agents, any alleged corrupt, fraudulent, collusive, obstructive, coercive practice or any misappropriation (collectively, the "Prohibited Practices") relating to the Sub-Projects; and Recipients shall cooperate with any such investigation and extend all necessary assistance for satisfactory completion of such investigation. The Office of Institutional Integrity of the IDB ("OII") plays a key role in the IDB Invest's integrity efforts. OII is an independent office responsible for the prevention and investigation of Prohibited Practices in all activities financed by the IDB Invest. OII's investigative team is responsible for conducting investigations and for the submission of administrative charges to the Sanctions System against parties involved in Prohibited Practices. OII follows the Principles and Guidelines for Investigations incorporated in the Uniform Framework for Preventing and Combating Fraud and Corruption adopted by the International Financial Institutions Anti-Corruption Task Force. OII has different channels to report allegations of Prohibited Practices, including an independent reporting hotline available 24/7 and an online form to report allegations of Prohibited Practices. In addition, OII's preventive team provides advisory services to project teams to identify, assess and mitigate integrity risks and their related reputational impact throughout the lifecycle of a Sub-project, including when an allegation is received, and operational measures need to be taken. As part of its preventive activities, OII carries out trainings for different organizational units, including country offices, to reinforce employees' awareness of IDB Invest's integrity framework and of managing integrity risk in IDB Invest-financed operations, executing agencies, and other external stakeholders. Internally, the Office of Ethics of the IDB investigates ethical violations by IDB Invest staff and ensures compliance with financial disclosure requirements, including completion of the annual declaration of interests or affidavit form by all IDB Invest staff. The Office of Ethics also investigates allegations of Prohibited Practices by IDB Invest staff, such as theft, workplace fraud, and abuse of authority. IDB Invest has strong mechanisms to protect whistleblowers. IDB Invest management has approved staff rules for whistleblower protection which expressly prohibit acts of retaliation against IDB Invest employees and external parties that report allegations of Prohibited Practices or cooperate with IDB Invest authorities in investigations, audits, or other inquiries.		
Selected Risk Factor 6	**Co-financing**	
Category	**Probability**	**Impact**
Technical and operational	Medium	Medium
Description		
The amount of co-financing does not materialize at projected levels, reducing the total amount of projects that can be implemented or/and their average project size		
Mitigation Measure(s)		
Projected Co-financing amounts were estimated by analyzing Co-financing ratios observed in recent IDB Invest-funded projects in the Caribbean, taking into account both the inherent risk associated with project types and the likelihood of securing Co-financing. Under Component 2, the financing activities related to renewables and energy efficiency are anticipated to generate Co-financing amounts six times greater than the GCF Proceeds, while for the blue economy financing activities, only a Co-financing amount twice the size of the GCF Proceeds is expected. In summary, the Program's Co-financing is projected to reach USD 408.2 million, in addition to the GCF Proceeds of USD 118.976 million, resulting in a Co-financing ratio of 3.4. From an operational perspective, a shortfall in the co-financing projections is mitigated by adopting a market-driven approach to investment. This approach entails only entering into projects where a minimum nascent market demand		

from other commercial lenders already exists, but they may be hesitant to advance with the project alone due to their perceived high risks.		
Selected Risk Factor 7: Forex		
Category	**Probability**	**Impact**
Forex	Medium	Medium
Description		
Volatile local currencies create financial viability stresses on underlying projects.		
Mitigation Measure(s)		
Local currency financing will undergo an internal risk assessment with project-specific financial models that may incorporate local currency-to-USD long-term swap rates, ensuring the project's financial stability in the face of potential currency fluctuations. Depending on the GCF's risk appetite, local currency financing could be fortified by FX hedging instruments that guarantee fixed-rate exchanges with an acceptable counterparty. However, such hedging instruments would increase project costs and reduce the amount of available financing for private sector climate projects.		

G. GCF POLICIES AND STANDARDS

G.1. Environmental and social risk assessment (max. 750 words, approximately 1.5 pages)

The proposed Caribbean Net-Zero and Resilient Private Sector program is categorized as I-1 High level of intermediation, since the project portfolio for Corporations and project developers that will be channeled by IDB Invest is expected to include Category A projects. In the case of the Sub-projects to be financed through Financial Intermediaries, sub-projects that would be categorized as Category A projects are not eligible. Annex 6 provides the assessment and management instruments according to the Program's environmental and social risk category. This Annex complies with the requirements of the GCF's Revised Environmental and Social Policy.

The Program will apply the 2020 IDB Invest Sustainability Framework for the environmental and social risk management process. The Framework consists of three levels of due diligence and risk assessment and management:

1. **IDB's due diligence process**, oversight role, and advice to clients under the program are based on the 2020 Environmental and Social Sustainability Policy; the Access to Information Policy; and the IDB Invest Exclusion List. The Exclusion List describes a number of types of projects that IDB Invest will not finance, whether directly or through financial institutions. The list includes an overview of prohibited activities, and activities that are inconsistent with IDB Invest's commitment to address the challenges of climate change and promote environmental and social sustainability.
2. The same policies apply to **real sector clients**. Additionally, clients are required to apply the 2012 IFC Performance Standards, a global benchmark for environmental and social risk management in the private sector. Clients are also required to apply the World Bank Group Environmental, Health, and Safety (EHS) Guidelines.
3. Projects and investments channeled through **financial institutions** (FIs) will be based on (i) the FI establishing a robust environmental and social management system (ESMS), and (ii) a screening process wherein projects and investments are reviewed by the financial institution for environmental and social risk factors. Under the agreement with the FIs under the program, it is expected that only moderate risk projects and investments financed by the FI will be eligible for funding. These projects will apply national law and the IDB Invest Exclusion List. If higher risk project finance is undertaken, the FI clients will apply the IFC Performance Standards.

1. IDB Invest due diligence process

IDB Invest's due diligence process follows a comprehensive Environmental and Social Review Procedures Manual for all transactions, commensurate with the risks, scale and complexity of the proposed transaction. Each project's transaction team is assigned an environmental and social specialist. The specialist reviews transaction details: verifies the project does not appear on IDB Invest's exclusion list; and assesses likely project-related risks. This process also identifies opportunities for additional environmental or social benefits. Projects are assigned a preliminary environmental and social risk rating (A, B, or C), which will be updated as more information becomes available. The risk rating is made public, along with relevant studies and action plans. IDB Invest has established robust project screening tools covering various topics including contextual risks; security and violence; gender-related risks; and climate risk. A dedicated climate screening report is prepared for each project. Additionally, an independent environmental and social consultant is engaged to support the due diligence process for Category A projects and higher risk Category B projects. The consultant and assigned specialist work with the IDB Invest team and the client to assess any gaps with IDB Invest's Sustainability Framework, including the IFC Performance Standards. The due diligence process for projects with significant risk (Category A and High B) will include one or more site visits. An Environmental and Social Review Summary (ESRS) is prepared containing the findings of the due diligence process. Together with the client, IDB Invest prepares an Environmental and Social Action Plan (ESAP) describing the actions the client must take to remedy any policy compliance gaps found during the due diligence process. These documents are made public.

2. Real Sector Clients

Where there are potential adverse environmental or social impacts associated with the project under consideration, IDB Invest will work with its client to determine the appropriate application of the mitigation hierarchy. This requires integration of environmental and social considerations in project design and implementation, to avoid, minimize, or mitigate any negative impact. Clients are required to undertake an environmental and social assessment process, as described in IFC Performance Standard 1. This process is complemented by a systematic, disaggregated stakeholder analysis and engagement process. IDB Invest works with the client to advise on appropriate resources and methods for environmental and social risk management, and to help strengthen capacity and build up relevant skills.

3. Financing through Financial Institutions

Financing under the Caribbean Net-Zero and Resilient Private Sector in the financial sector will involve support to financial institutions (FIs) to on-lend to different clients for projects and activities that contribute to the overall objectives of the program. This may be for individual investment projects that the FIs clients undertake, or towards a whole asset class with multiple sub-projects and activities. Under this approach, the FI takes on the responsibility and develops the capacity to apply the principles and requirements of the IDB Invest Sustainability Framework. The FI has to establish an Environmental and Social Management System (ESMS) with procedures for assessing and managing risks of the transactions it undertakes and undertake a due diligence process of its potential clients and investments. It is expected that most of the financing will go towards low to moderate risk projects from an environmental and social perspective, applying national law and the IFC Invest Exclusion List. If higher risk projects are funded, clients will also be required to apply relevant aspects of the IFC Performance Standards and World Bank Group EHS Guidelines. Under the agreement with the FIs under the program, it is expected that only moderate risk projects and investments financed by the FI will be eligible for funding. These projects will apply national law and the IDB Invest Exclusion List. If higher risk project finance is undertaken, the FI clients will apply the IFC Performance Standards.

Governance and accountability

For all these proposed activities and financing mechanisms under the program, systematic monitoring and evaluation of environmental and social issues will be undertaken, both by IDB Invest and its clients. Projects and investments will include transparent governance mechanisms, including the right of affected persons to raise concerns or complaints through grievance mechanisms established for each project. Complaints can also be submitted directly to IDB Invest, through its Management-led Grievance Mechanism or to the Independent Consultation and Investigation Mechanism (ICIM; MICI in Spanish).

G.2. Gender assessment and action plan (max. 500 words, approximately 1 page)

A gender assessment was conducted via a desk review and involved an extensive review of secondary material from national, regional and international publications. Although gender-disaggregated data in the Caribbean is limited, the assessment was two-pronged. In the first instance, the assessment investigated gender equality within each country, with regard to health outcomes, economic opportunities, agency and legal protections and, where data availability allowed, financial inclusion. On the other hand, gender-sensitive assessment of value chains, labor market outcomes and access to resources in the prioritized sectors –. Findings reveal a high level of gender-disproportionate vulnerability which cannot be ignored. While Caribbean women live longer than Caribbean men, there is a higher incidence of Sexually Transmitted Diseases (STDs) and Non-Communicable Diseases among women, as well as mortality rates, which affects their quality of life. Reverse gender inequality in education has not improved women's labor market outcomes. In several countries analyzed, women form a small portion of the labor force, hold fewer positions in leadership and business ownership than men, are heavily involved in informal sector activity and gender segregation is common in several economic sectors, particularly agriculture and tourism. The use and access to resources such as energy and water are also gender disproportionate which exacerbates gender-based vulnerability. Conclusively, women earn less, save less, have less resilience and unequal resource access which if unaddressed will continue to widen income and wealth gaps between men and women. Due to climate change and more frequent disasters, a lack of gender sensitive disaster management increases women's vulnerability with regard to preparedness, resource planning and resilience in the post-disaster context.

To address these inequalities, the project-level action plan seeks to empower women in the Caribbean and ensure equal access to opportunities by reducing discrimination, risk, or unequal access to benefits for women and girls in clients' transactions. The action plan benefits from the integration of performance standards and institutional environmental and social sustainability policies which prohibit discrimination based on gender and recognizes gender and vulnerable groups as an area of focus. Gender, diversity and inclusion will be integrated into all projects supported under this initiative. To address areas of vulnerability, potential risks and impacts on the basis of gender or gender identity arising from projects will be identified either through a gender risk screening assessment or the application of the gender risk assessment tool (GRAT). Once risks are identified, a baseline and defined actions for intervention can be derived. These actions will be formalized in an action plan. At the program level, expected results include i) 100% compliance with the standards set out in section G.1. in all projects and ii) the recommendation of an action plan in transactions where there is client demand. Annual monitoring by ESG teams will work to ensure alignment with the standards in Section G.1.

G.3. Financial management and procurement (max. 500 words, approximately 1 page)

Financial resources from the GCF will be managed according to the general provisions of the AMA. As disclosed during the accreditation process, the Inter-American Development Bank (IDB) provides certain services to IDB Invest that cover the administration and management of third-party funds, including GCF Proceeds. As such, the IDB will hold, administer and manage the funds of the Program in accordance with its policies and procedures and the terms of the FAA, whereas IDB Invest will be responsible for functions related to the origination, disbursement and portfolio management of Products including, without limitation, any amendments, waivers, restructurings, workouts and litigation, as well as for functions related advisory services activities, in accordance with its policies and procedures and the terms of the FAA.

The IDB will thus establish the GCF Trust Fund ('GCF Account') internally, through which all GCF resources under this Program will be transferred to the GCF Account, based on the forecast of IDB Invest's expected approval and disbursement requests of Sub-projects. Based on such Sub-project disbursement requests, IDB Invest will commit GCF resources to be held in the GCF Account to relevant Sub-projects, as applicable. For the implementation of the Funded Activity, the Accredited Entity shall manage the GCF Trust Fund within the Accredited Entity in accordance with its own policies and procedures and the FAA.

The financial management and oversight of any of the above-mentioned operations, including reporting requirements, would follow IDB Invest policies and procedures, and applicable AMA and FAA requirements, which would be reflected as needed in any Financing Agreements and/or Technical Cooperation Agreements. The Financing Agreements would require that use of GCF resources to be eligible activities under the applicable Components of the Program.

The disbursements, reporting (including external audit reports), monitoring, and evaluation of the Sub-Project will be done in accordance with IDB Invest policies and procedures, as reflected in the Term Sheet and FAA.

Disbursement of GCF Proceeds to the GCF Trust Fund shall be governed pursuant to the provisions of the FAA.

The procurement of Goods, Services and Works for Funded Activities by the Accredited Entity shall be done in accordance with IDB Invest policies and procedures to the extent and scope of its accreditation.

In accordance with the AMA, the GCF Account will be subject to an external audit requirement. No later than June 30 of each year, the IDB will deliver to the GCF an assertion report by the IDB management and a report by the Bank's external auditors, on the effectiveness of internal controls and on the accuracy of the combined financial statements of all trust funds under the IDB's administration with an external audit requirement, including the GCF Account, together with the combined financial statements of all trust funds for the previous calendar year. Such audited financial statements are prepared in accordance with the IDB's existing policies and accounting standards for trust funds' financial reporting, as updated from time to time. The cost of such audits will be deducted from the resources of the Fund.

G.4. Disclosure of funding proposal

<u>With confidential information:</u> The AE declares that the funding proposal, including its annexes, may not be disclosed in full by the GCF, as certain information is being provided in confidence. Accordingly, the accredited entity will provide to the secretariat in the final phase of the funding proposal the following two copies of the funding proposal, including all annexes:

- full copy for internal use of the GCF in which the confidential portions are marked accordingly, together with an explanatory note regarding the said portions and the corresponding reason for confidentiality under the accredited entity's disclosure policy, and
- redacted copy for disclosure on the GCF website.

The funding proposal can only be processed upon receipt of the two copies above, if containing confidential information.

H. ANNEXES

H.1. Mandatory annexes

X	Annex 1	NDA no-objection letter(s) **(template provided)**
X	Annex 2	Feasibility study - and a market study, if applicable
X	Annex 3	Economic and/or financial analyses in spreadsheet format
X	Annex 4	Detailed budget plan **(template provided)**
X	Annex 5	Implementation timetable including key project/programme milestones **(template provided)**
X	Annex 6	E&S document corresponding to the E&S category (A, B or C; or I1, I2 or I3): **(ESS disclosure form provided)** Environmental and Social Impact Assessment (ESIA) or Environmental and Social Management Plan (ESMP) or Environmental and Social Management System (ESMS) ☐ Others (please specify – e.g. Resettlement Action Plan, Resettlement Policy Framework, Indigenous People's Plan, Land Acquisition Plan, etc.)
X	Annex 7	Summary of consultations and stakeholder engagement plan
X	Annex 8	Gender assessment and project/programme-level action plan **(template provided)**
X	Annex 9	Legal due diligence (regulation, taxation and insurance)
X	Annex 10	Procurement plan **(template provided)**
X	Annex 11	Monitoring and evaluation plan **(template provided)**
X	Annex 12	AE fee request **(template provided)**
	Annex 13	Co-financing commitment letter, if applicable **(template provided)**
X	Annex 14	Term sheet including a detailed disbursement schedule and, if applicable, repayment schedule

H.2. Other annexes as applicable

	Annex 15	Evidence of internal approval **(template provided)**
	Annex 16	Map(s) indicating the location of proposed interventions
X	Annex 17	Multi-country project/programme information **(template provided)**
	Annex 18	Appraisal, due diligence or evaluation report for proposals based on up-scaling or replicating a pilot project
	Annex 19	Procedures for controlling procurement by third parties or executing entities undertaking projects financed by the entity
	Annex 20	First level AML/CFT (KYC) assessment
X	Annex 21	Operations manual (Operations and maintenance)
X	Annex 22	Assessment of GHG emission reductions and their monitoring and reporting (for mitigation and cross cutting-projects)[138]
	Annex X	Other references

[138] Annex 22 is mandatory for mitigation and cross-cutting projects.

** Please note that a funding proposal will be considered complete only upon receipt of all the applicable supporting documents.*

No-objection letter(s) issued by the national designated authority(ies) or focal point(s)

No. FIN/201.10
In reply please quote
this number

MINSTRY OF FINANCE
P.O.BOX N-3017
NASSAU, BAHAMAS
TEL: (242) 327-1530
FAX: (242) 327-1618
NASSAU, BAHAMAS

April 3rd,2023

Mrs. Daniela Carrera-Marquis
Country Representative
Inter-American Development Bank
Bahamas

Secretariat of the Green Climate Fund
175 Art Center-daero
Yeonsu-gu, Incheon 406-840
REPUBLIC OF KOREA

Re: Funding Proposal for the GCF by IDB Invest Regarding the Caribbean Net- Zero and Resilient Private Sector.

Dear Mrs. Carrera-Marquis,

We refer to the programme titled *Caribbean Net-zero and Resilient Private Sector* in Bahamas as included in the funding proposal submitted by IDB Invest to us on 16 November 2022. The undersigned is the duly authorized representative of the Government of the Bahamas, the National Designated Authority of Bahamas.

Pursuant to GCF decision B.08/10, the content of which we acknowledge to have reviewed, we hereby communicate our no-objection to the programme as included in the funding proposal.

By communicating our no-objection, it is implied that:

(a) The government of Bahamas has no-objection to the program as included in the funding proposal.
(b) The program as included in the funding proposal is in conformity with the national priorities, strategies and plans of Bahamas;
(c) In accordance with the GCF's environmental and social safeguards, the program as included in the funding proposal is in conformity with relevant national laws and regulations.

We also confirm that our national process for ascertaining no-objection to the programme as included in the funding proposal has been duly followed.

We also confirm that our no-objection applies to all projects or activities to be implemented within the scope of the program.

We acknowledge that this letter will be made publicly available on the GCF website.

Sincerely,

Mr. Simon Wilson
Financial Secretary

GOVERNMENT OF BARBADOS

The Hon. Ryan Straughn, M.P.

MINISTER IN THE MINISTRY OF FINANCE & ECONOMIC AFFAIRS
Ministry of Finance, Economic Affairs and Investment
Government Headquarters,
Bay Street, St. Michael, BB11156, Barbados, W.I.

Our Ref.: 7045/79/1 Vol. 5

Tel.: (246)535-5300
Fax: (246)535-5629

Date: February 27, 2023

Mr. Yannick Glemarec
Executive Director
The Green Climate Fund
Songdo Business District
Incheon
REPUBLIC OF KOREA

Funding proposal for the GCF by IDB Invest regarding the Caribbean Net-Zero and Resilient Private Sector

Dear Mr. Glemarec,

We refer to the programme titled Caribbean Net-Zero and Resilient Private Sector in Barbados as included in the funding proposal submitted by IDB Invest to us on 15 November 2022.

The undersigned is the duly authorized representative of the Ministry of Finance, Economic Affairs and Investment, the National Designated Authority of Barbados.

Pursuant to GCF decision B.08/10, the content of which we acknowledge to have reviewed, we hereby communicate our no-objection to the programme as included in the funding proposal.

By communicating our no-objection, it is implied that:

(a) The government of Barbados has no-objection to the programme as included in the funding proposal;

(b) The programme as included in the funding proposal is in conformity with the national priorities, strategies and plans of Barbados;

(c) In accordance with the GCF's environmental and social safeguards, the programme as included in the funding proposal is in conformity with relevant national laws and regulations.

We also confirm that our national process for ascertaining no-objection to the programme as included in the funding proposal has been duly followed.

We also confirm that our no-objection applies to all projects or activities to be implemented within the scope of the programme

We acknowledge that this letter will be made publicly available on the GCF website.

Kind regards,

HON. RYAN STRAUGHN, M.P.
Minister

GOVERNMENT OF BELIZE

Ministry of Finance, Economic Development and Investment

ECONOMIC DEVELOPMENT
P.O. Box 42
Ground Floor, Sir Edney Cain Building
Belmopan City
Belize, Central America

Tel: (501) 880-2526
(501) 880-2527
Email:econdev@med.gov.bz

Our Ref: IA/GCF/1/2022(55) VOL. X

December 20th, 2022

Mr. Yannick Glemarec
Executive Director
Green Climate Fund
Songdo Business District
175 Art center-daero
Yeonsu-gu, Incheon 22004
Republic of Korea

Dear Mr. Glemarec,

Subject: <u>Funding proposal for the GCF by IDB Invest regarding the Caribbean Net-Zero and Resilient Private Sector</u>

We refer to the programme proposal titled Caribbean Net-zero and Resilient Private Sector in Belize as included in the funding proposal submitted by IDB Invest to us on November 16th, 2022.

The undersigned is the duly authorized National Designated Authority of Belize.

Pursuant to GCF decision B.08/10, the content of which we acknowledge to have reviewed, we hereby communicate our no-objection to the programme as included in the funding proposal.

By communicating our no-objection, it is implied that:

(a) The Government of Belize has no-objection to the programme as included in the funding proposal.
(b) The programme as included in the funding proposal is in conformity with Belize's national priorities, strategies, and plans.
(c) In accordance with the GCF's environmental and social safeguards, the programme as included in the funding proposal is in conformity with relevant national laws and regulations.

We also confirm that our national process for ascertaining no-objection to the programme as included in the funding proposal has been duly followed.

We also confirm that our no-objection applies to all projects or activities to be implemented within the scope of the programme.

We acknowledge that this letter will be made publicly available on the GCF website.

Kind regards,

Osmond R. Martinez, Ph.D.
Chief Executive Officer
Ministry of Finance, Economic Development & Investment
National Designated Authority for Belize – GCF

c: Dr. Kenrick Williams, Chief Executive Officer, Ministry of Sustainable Development, Climate Change and Disaster Risk Management
Mr. López Ghio, Inter- American Bank Country Representative – Belize
Mrs. Narda Garcia, Chief Executive Officer, Office of the Prime Minister - Ministry of Finance, Economic Development & Investment
Mr.Victor Espat, Chief Executive Officer, Ministry of Infrastructure Development and Housing
Mr. Servulo Baeza, Chief Executive Officer, Ministry of Agriculture, Food Security and Enterprise
Ms. Kennedy Carrillo, Chief Executive Officer, Ministry of The Blue Economy and Civil Aviation
Mr. Marconi Leal Jr. Chief Executive Officer, Ministry of Transport, Youth, and Sports
Mr. Jose Urbina, Chief Executive Officer, Ministry of Public Utilities, Energy, Logistics & E-Governance
Mrs. Kim Aikman, Chief Executive Officer**,** Belize Chamber of Commerce & Industry
Mr. Carlos Pol, Director, Climate Finance Unit, Ministry of Finance, Economic Development and Investment

GOBIERNO DE LA
REPÚBLICA DOMINICANA
MEDIO AMBIENTE

Ms. Mafalda Duarte
Executive Director
Secretariat of the Green Climate Fund
175 Art Center-daero
Yeonsu-gu, Incheon 406-840
REPUBLIC OF KOREA

Santo Domingo, 25 March 2024

Funding proposal for the GCF by IDB Invest regarding the Caribbean Net-Zero and Resilient Private Sector

Dear Ms. Duarte,

We refer to the programme titled *Caribbean Net-zero and Resilient Private Sector* in the Dominican Republic as included in the funding proposal submitted by IDB Invest to us on 13 September 2023.

The undersigned is the duly authorized representative of the Ministry of Environment and Natural Resources, the National Designated Authority of the Dominican Republic.

Pursuant to GCF decision B.08/10, the content of which we acknowledge to have reviewed, we hereby communicate our no-objection to the programme as included in the funding proposal.

By communicating our no-objection, it is implied that:

(a) The government of the Dominican Republic has no-objection to the programme as included in the funding proposal.
(b) The programme as included in the funding proposal is in conformity with the national priorities, strategies, and plans of the Dominican Republic;
(c) In accordance with the GCF's environmental and social safeguards, the programme as included in the funding proposal is in conformity with relevant national laws and regulations.

We also confirm that our national process for ascertaining no-objection to the programme as included in the funding proposal has been duly followed.

We also confirm that our no-objection applies to all projects or activities to be implemented within the scope of the programme.

We acknowledge that this letter will be made publicly available on the GCF website.

Kind regards,

MINISTERIO DE MEDIO AMBIENTE Y RECURSOS NATURALES
VICEMINISTERIO DE CAMBIO CLIMÁTICO Y SOSTENIBILIDAD
MEDIO AMBIENTE

Ms. Milagros De Camps
Deputy Minister of Climate Change and Sustainability
Ministry of Environment and Natural Resources
The Dominican Republic

49 Main & Urquhart Streets,
Georgetown,
Guyana.

Phone: 592-227-3992
Fax: 592-226-4491
Web: www.finance.gov.gy

26 July 2023

Mr. Yannick Glemarec
Executive Director
Secretariat of the Green Climate Fund
175 Art Center-daero
Yeonsu-gu, Incheon 406-840
REPUBLIC OF KOREA

Funding proposal for the GCF by IDB Invest regarding the Caribbean Net-Zero and Resilient Private Sector

Dear Mr. Glemarec,

We refer to the programme titled *Caribbean Net-zero and Resilient Private Sector* in Guyana as included in the funding proposal submitted by IDB Invest to us on 9 February 2023.

The undersigned is the duly authorized representative of the Office of the Vice President, the National Designated Authority of Guyana.

Pursuant to GCF decision B.08/10, the content of which we acknowledge to have reviewed, we hereby communicate our no-objection to the programme as included in the funding proposal.

By communicating our no-objection, it is implied that:

(a) The government of Guyana has no-objection to the programme as included in the funding proposal;
(b) The programme as included in the funding proposal is in conformity with the national priorities, strategies and plans of Guyana;
(c) In accordance with the GCF's environmental and social safeguards, the programme as included in the funding proposal is in conformity with relevant national laws and regulations.

We also confirm that our national process for ascertaining no-objection to the programme as included in the funding proposal has been duly followed.

We also confirm that our no-objection applies to all projects or activities to be implemented within the scope of the programme.

We acknowledge that this letter will be made publicly available on the GCF website.

Kind regards,

Hon. Ashni K. Singh
Senior Minister in the Office of the President
with Responsibility for Finance
Ministry of Finance

ANY REPLY OR SUBSEQUENT REFERENCE SHOULD BE ADDRESSED TO THE PERMANENT SECRETARY AND THE FOLLOWING REFERENCE NUMBER QUOTED:
Tel:Number:876-926-1690-3
926-1590-9 FAX 754-0975

MINISTRY OF ECONOMIC GROWTH AND JOB CREATION
25 DOMINICA DRIVE
KINGSTON 5
JAMAICA

April 3, 2023

Ms Mafalda Duarte
Executive Director
Green Climate Fund
Korea

Dear Ms Duarte,

Re: Caribbean Net-Zero and Resilient Private Sector

We refer to the programme **Caribbean Net-Zero and Resilient Private Sector** *as included in the* funding proposal under the Private Sector Facility (PSF) submitted by The Inter-American Development Bank (IDB) to us on March 17, 2023.

The undersigned is the duly authorized representative of Ministry of Economic Growth and Job Creation, the National Designated Authority of Jamaica.

Pursuant to Green Climate Fund (GCF) decision B.08/10, the content of which we acknowledge to have reviewed, we hereby communicate our no-objection to the programme activities as included in the funding proposal.

By communicating our no-objection, it is implied that:

(a) The government of Jamaica has no-objection to the programme as included in the funding proposal;
(b) The programme as included in the funding proposal is in conformity with Jamaica's *national priorities, strategies and plans;*
(c) In accordance with the GCF's environmental and social safeguards, the programme as included in the funding proposal is in conformity with relevant national laws and regulations.

We also confirm that our national process for ascertaining no-objection to the programme as included in the funding proposal has been duly followed. We also confirm that our no-objection applies to all projects or activities to be implemented within the scope of the programme.

We acknowledge that this letter will be made publicly available on the GCF website.

Sincerely,

Audrey V. Sewell (Mrs), OJ, CD, JP
Permanent Secretary

MINISTRY OF SPATIAL PLANNING AND ENVIRONMENT
Prins Hendrikstraat 22, Paramaribo, Suriname
Tel: +597 522020
Email: secretariaat.minrom@gov.sr

Mr. Yannick Glemarec
Executive Director
Secretariat of the Green Climate Fund
175 Art Center-daero
Yeonsu-gu, Incheon 406-840
REPUBLIC OF KOREA

Our Ref: MinROM/GCF/807/22

Paramaribo, 29 December 2022

Subject: **Funding proposal for the GCF by IDB Invest regarding the Caribbean Net-Zero and Resilient Private Sector**

Dear Mr. Glemarec,

We refer to the programme titled *Caribbean Net-zero and Resilient Private Sector* in Suriname as included in the funding proposal submitted by IDB Invest to us on 16 November 2022.

The undersigned is the duly authorized representative of the Ministry of Spatial Planning and Environment, the National Designated Authority of Suriname.

Pursuant to GCF decision B.08/10, the content of which we acknowledge to have reviewed, we hereby communicate our no-objection to the programme as included in the funding proposal.

By communicating our no-objection, it is implied that:

(a) The government of Suriname has no-objection to the programme as included in the funding proposal;
(b) The programme as included in the funding proposal is in conformity with the national priorities, strategies and plans of Suriname;
(c) In accordance with the GCF's environmental and social safeguards, the programme as included in the funding proposal is in conformity with relevant national laws and regulations.

We also confirm that our national process for ascertaining no-objection to the programme as included in the funding proposal has been duly followed.

We also confirm that our no-objection applies to all projects or activities to be implemented within the scope of the programme

MINISTRY OF SPATIAL PLANNING AND ENVIRONMENT
Prins Hendrikstraat 22 ,Paramaribo, Suriname
Tel: +597 522020
Email: secretariaat.minrom@gov.sr

We acknowledge that this letter will be made publicly available on the GCF website.

Kind regards,

Ministerie van Ruimtelijke Ordening en Milieu

SILVANO TJONG-AHIN
Minister
Ministry of Spatial Planning and Environment
Suriname

MINISTRY OF PLANNING AND DEVELOPMENT
OFFICE OF THE PERMANENT SECRETARY

Level 14, Eric Williams Financial Building, Independence Square, Port-of-Spain, Trinidad and Tobago, WI
Tel: 612-3000 ext. 2016/1329

Ref: 11/4/158

March 15th, 2024

Ms. Mafalda Duarte
Executive Director
Secretariat of the Green Climate Fund
175 Art Center-daero
Yeonsu-gu, Incheon 406-840
REPUBLIC OF KOREA

Dear Ms. Duarte,

Funding Proposal for the Green Climate Fund (GCF) by the Inter-American Development Bank Invest (IDB Invest) regarding the Caribbean Net-Zero and Resilient Private Sector

We refer to the programme titled *Caribbean Net-zero and Resilient Private Sector* in Trinidad and Tobago as included in the funding proposal submitted by IDB Invest to us on 16 November 2022.

The undersigned is the duly authorized representative of the Ministry of Planning and Development, the National Designated Authority of Trinidad and Tobago.

Pursuant to GCF decision B.08/10, the content of which we acknowledge to have reviewed, we hereby communicate our no-objection to the programme as included in the funding proposal.

By communicating our no-objection, it is implied that:

(a) The government of Trinidad and Tobago has no-objection to the programme as included in the funding proposal;
(b) The programme as included in the funding proposal is in conformity with the national priorities, strategies and plans of Trinidad and Tobago;
(c) In accordance with the GCF's environmental and social safeguards, the programme as included in the funding proposal is in conformity with relevant national laws and regulations.

We also confirm that our national process for ascertaining no-objection to the programme as included in the funding proposal has been duly followed.

We also confirm that our no-objection applies to all projects or activities to be implemented within the scope of the programme.

We acknowledge that this letter will be made publicly available on the GCF website.

Sincerely,

ABMaharaj

Permanent Secretary (Ag.)
Ministry of Planning and Development
Trinidad and Tobago

PERMANENT SECRETARY
MINISTRY OF PLANNING
AND DEVELOPMENT

Environmental and social safeguards report form pursuant to para. 17 of the IDP

Basic project or programme information	
Project or programme title	Caribbean Net-Zero and Resilient Private Sector
Existence of subproject(s) to be identified after GCF Board approval	Yes
Sector (public or private)	Private
Accredited entity	IDB Invest
Environmental and social safeguards (ESS) category	Category I-1
Location – specific location(s) of project or target country or location(s) of programme	Bahamas, Barbados, Belize, Dominican Republic, Guyana, Jamaica, Suriname, and Trinidad and Tobago*
Environmental and Social Impact Assessment (ESIA) (if applicable)	
Date of disclosure on accredited entity's website	N/A
Language(s) of disclosure	N/A
Explanation on language	N/A
Link to disclosure	N/A
Other link(s)	N/A
Remarks	N/A
Environmental and Social Management Plan (ESMP) (if applicable)	
Date of disclosure on accredited entity's website	N/A
Language(s) of disclosure	N/A
Explanation on language	N/A
Link to disclosure	N/A
Other link(s)	N/A
Remarks	N/A
Environmental and Social Management System (ESMS) (if applicable)	
Date of disclosure on accredited entity's website	Thursday, March 14, 2024
Language(s) of disclosure	English, Spanish, and Dutch
Explanation on language	These are the official languages of target countries.
Link to disclosure	English: https://idbinvest.org/sites/default/files/2024-03/Caribbean%20Net-Zero%20And%20Resilient%20Private%20Sector%20Annex%206%20-%20Environmental%20And%20Social%20Management%20System%20-%20English%20Version.pdf Spanish: https://idbinvest.org/sites/default/files/2024-03/Caribbean%20Net-Zero%20And%20Resilient%20Private%20Sector%20Annex%206%20-%20Environmental%20And%20Social%20Management%20System%20-%20Spanish%20Version.pdf

	Dutch: https://idbinvest.org/sites/default/files/2024-03/Caribbean%20Net-Zero%20And%20Resilient%20Private%20Sector%20Annex%206%20-%20Environmental%20And%20Social%20Management%20System%20-%20Dutch%20Version%281%29.pdf
Other link(s)	https://idbinvest.org/en/solutions/blended-finance#caribbean-net-zero-and-resilient-private-sector
Remarks	Confirmation that the ESMS is consistent with the requirements for a Category I-1 project is subject to further due diligence on the Funding Proposal.
Any other relevant ESS reports, e.g. Resettlement Action Plan (RAP), Resettlement Policy Framework (RPF), Indigenous Peoples Plan (IPP), Indigenous Peoples Planning Framework (IPPF) (if applicable)	
Description of report/disclosure on accredited entity's website	N/A
Language(s) of disclosure	N/A
Explanation on language	N/A
Link to disclosure	N/A
Other link(s)	N/A
Remarks	N/A
Disclosure in locations convenient to affected peoples (stakeholders)	
Date	Friday, March 15, 2024
Place	• Bahamas: IDBG Office, IDB House, East Bay Street Nassau, Bahamas • Barbados: IDBG Office, "Hythe" Welches Maxwell Main Road BB17068 Christ Church, Barbados • Belize: IDBG Office, 1024 Newtown Barracks 101 1st Floor Marina Towers Building, Belize City, Belize • Dominican Republic: IDBG Office, Calle César Nicolás Penson esquina Calle Leopoldo Navarro Sector Gascue, Santo Domingo, Distrito Nacional, República Dominicana • Guyana: IDBG Office: 47-High Street, Kingston, Georgetown, Guyana • Jamaica: IDBG Office, 6 Montrose Rd, Kingston 6, Jamaica • Suriname: IDBG Office, Peter Bruneslaan 2-4 Paramaribo, Suriname • Trinidad and Tobago: IDBG Office, 17 Alexandra Street, St. Clair, Port of Spain, Trinidad y Tobago
Date of Board meeting in which the FP is intended to be considered	
Date of accredited entity's Board meeting	Wednesday, August 14, 2024
Date of GCF's Board meeting	Monday, July 15, 2024

Note: This form was prepared by the accredited entity stated above.

* Subsequent to the disclosure of the form to the Board and active observers on 15 March 2024, the following updates have been made: Haiti has been removed as the NOL was not provided by the deadline. Consequently, ESMS in French and the Haiti address for convenient access by affected peoples have also been removed.

Moreover, the Secretariat has confirmed that the "Environmental and Social Management System (ESMS)" is consistent with the requirements for a Category I-1 programme.

Independent Technical Advisory Panel's assessment of FP242

Proposal name:	Caribbean Net-Zero and Resilient Private Sector
Accredited entity:	Inter-American Investment Corporation (IDB Invest)
Country/(ies):	Bahamas, Barbados, Belize, Dominican Republic, Guyana, Jamaica, Suriname, Trinidad and Tobago
Project/programme size:	Large

I. Assessment of the independent Technical Advisory Panel

1.1 Overview

1. In its assessment, the independent Technical Advisory Panel (iTAP) is guided by decision B.33/12, which explains the principles for demonstrating the impact potential of GCF-supported activities as well as other appraisal and assessment guidance in considering these investment criteria and as endorsed by the Board.

2. Scientific evidence suggests that climate change poses a significant threat to the Caribbean, a region comprising over 700 islands, islets, reefs and cays that are particularly vulnerable to environmental fluctuations. The region is on the frontline of climate change, enduring significant hazards despite its minimal contribution to the problem: less than 1 per cent of global greenhouse gas emissions (GHG) emanate from the Caribbean islands. The socioeconomic stability and environmental sustainability of the Caribbean region face substantial risks posed by numerous impacts: altered rainfall patterns leading to both increased rainfall intensity and prolonged periods of drought; rising temperatures exacerbating heat stress, increasing the prevalence of vector-borne diseases and reducing agricultural productivity; sea level rise threatening to inundate low-lying coastal areas, erode beaches and increase the salinity of freshwater resources; and ocean warming contributing to the intensification of hurricanes and tropical storms.

3. The region's geographical vulnerability, economic dependence on natural resources (e.g. through tourism, agriculture and fisheries, all of which are sensitive to climate variability and extreme weather conditions), and limited adaptive capacity exacerbate its susceptibility to climate change impacts. This poses an existential threat to many countries in the region. Addressing these challenges requires comprehensive adaptation and mitigation strategies, international cooperation and increased financial and technical support for the countries involved.

4. This proposal requests USD 112.5 million from GCF to facilitate and support private sector climate mitigation and adaptation investments across five sectors in the Caribbean: agriculture, forestry and other land use; infrastructure; electricity (including renewable energy and energy efficiency); transport; and the blue economy (i.e. activities associated with oceans and seas) . The accredited entity (AE) is IDB Invest, the private sector institution of the Inter-American Development Bank (IDB) Group. The AE is seeking to support private sector-driven climate action in efforts to respond to the growing regional challenges emanating from climate change.

5. In terms of financial instruments, the AE is requesting USD 10 million for grants, USD 2.5 million for reimbursable grants, USD 25 million in guarantees and USD 25 million in equity. The AE anticipates that, through the programme, it will facilitate climate mitigation and adaptation investments amounting to a total value of USD 520.7 million, of which roughly USD 100 million will be provided from the AE's own balance sheet, with the remainder (approximately USD 308 million) coming from private sector co-investors at the level of individual projects supported under the programme (GCF leverage ratio of approximately 1:4).

6. Under the terms of the funding proposal, IDB Invest would act as both the AE and as the executing entity (EE). The proceeds from the GCF contribution would be ringfenced in a trust fund administered by the AE that would provide support for climate investments in the target region via two main programme components:

(a) Component 1: An advisory facility that would provide advisory services to clients of the AE and to finance the development of relevant knowledge products in support of private sector climate mitigation and adaptation investments in the target region (grant funding only); and

(b) Component 2: An investment facility through which the AE would utilize GCF resources to unlock private sector investment in low-carbon and climate-resilient investments via deployment of concessional and risk-tolerant financial products (non-grant instruments only).

7. The selection of advisory and investment projects will be on the basis of the criteria set out by the AE in the funding proposal, but otherwise implementation will follow the standard operating model of other AE-managed trust funds, where the AE applies its own procedures and standards to the selection, due diligence, structuring, implementation and monitoring of individual projects.

1.2 Impact potential *Scale: Medium*

8. The funding proposal highlights a wide range of anticipated impacts resulting from the proposed project across various GCF mitigation results areas (MRAs) and adaptation results areas (ARAs), reflecting the broad investment scope of the proposed trust fund. Specifically, the funding proposal references three main project outcomes:

(a) **Outcome 1:** Emission reductions over the lifetime of the programme amounting to 3,867,104 tonnes of carbon dioxide equivalent (t CO_2 eq) via investments in renewable energy generation and access (MRA1, core indicator 1);

(b) **Outcome 2:** Installed renewable energy generation capacity of 140 MW by the end of the programme (MRA1, supplementary 1.3);

(c) **Outcome 3:** Direct beneficiaries living in improved housing with increased resilience against climate change hazards by the end of project life: 20,208 people (with 50 per cent of those being women) (ARA3, supplementary 2.6);

(d) **Outcome 4:** Emission reductions by the end of project lifespan amounting to 1,369,391 t CO_2 eq via emissions reduced, avoided or removed/sequestered (MRA4, core indicator 2);

(e) **Outcome 5:** People benefitting from more resilient environments through climate-smart agriculture, the blue economy, sustainable transport and sustainable infrastructure projects (ARA1, core indicator 2);

(f) **Outcome 6:** Emissions avoided through energy efficiency projects in buildings, estimated at 28,152 t CO_2 eq by the end of technology life;

(g) **Outcome 7:** 228 people (50 per cent of them female) benefitting from more resilient environments through sustainable and resilient infrastructure projects;

(h) **Outcome 8:** 376,589 t CO_2 eq emissions avoided by projects focusing on electric vehicles for public and private transportation (MRA2, core indicator 1);

(i) **Outcome 9:** 1,620,467 t CO_2 eq emissions avoided by projects with coastal ecosystem components and wastewater management projects (MRA4, core indicator 1); and

(j) **Outcome 10:** 549 people benefitting from mangrove projects (ARA4, core indicator 2).

9. In addition, the AE anticipates that the programme will further incentivize the uptake of green technologies in the target region by substantially reducing costs and risks of such investments via successful implementation of precedence transactions and enabling environment support (core indicator 7). The AE also highlights that the programme will contribute to effective knowledge-generation and learning processes (core indicator 8) via the implementation of rigorous learning programmes and compelling knowledge products.

10. The AE/EE expects to accomplish these outcomes via five outputs, namely:

(a) **Output 1:** Support to financial institutions in establishing or advancing their sustainability vision, operations and financing activities (e.g. via training or product development);

(b) **Output 2:** Development of sustainable and resilient corporations and real economy projects (e.g. via feasibility studies or legal advisory services);

(c) **Output 3:** Development of market-level guidelines, standards and tools, and capacity-building;

(d) **Output 4:** Public knowledge products and capacity-building reinforced (e.g. via knowledge products); and

(e) **Output 5:** Improved financing solutions to support private sector-led net zero and climate-resilient sub-projects in the Caribbean region.

11. The logical framework presented in the funding proposal is expansive and based on a multitude of assumptions (specifically regarding the ultimate composition of the portfolio of projects to be funded via the programme) but ultimately straightforward. However, the independent Technical Advisory Panel (iTAP) considers there are various factors that may negatively impact the ability of the proposed project to generate the projected impact results, including the following considerations:

12. **Limited visibility on pipeline.** Like many other Private Sector Facility (PSF) projects presented to the GCF (especially impact investment fund proposals, or concessional lines of credit for on-lending via financial institutions), the AE bases its impact projections on a pipeline of potential opportunities rather than a firm list of projects it will invest in. As in other PSF projects, that makes it difficult to develop a reliable ex ante assessment of programme impacts. The anticipated mitigation and adaptation impacts of this programme, however, are particularly hard to assess because the funding proposal contains only rudimentary information regarding investment projects to potentially be included in the trust fund programme. As part of the question and answer (Q&A) process with the iTAP, the AE submitted additional and more detailed information regarding potential projects to be considered. However, there remains limited information on concrete investment opportunities, specifically those targeting adaptation. That makes it difficult for the iTAP to rationalize the broad and, in parts, ambitious outcome targets that have been set out for the trust fund, and at the very least it is expected that impact estimates will change significantly as programme implementation proceeds.

13. **Crowded space.** As the AE acknowledges in the funding proposal, there are various donors as well as multilateral and regional development banks active in the Caribbean region to

support countries with climate adaptation and mitigation investments. Support to the region has significantly picked up in recent years, with various entities (including the GCF, the Global Environmental Facility, the Climate Investment Funds, the Adaptation Fund, the European Union, the Caribbean Development Bank, United States Agency for International Development, the Government of Canada and the Government of the United Kingdom of Great Britain and Northern Ireland Foreign and Commonwealth Development Office, as well as other bilateral donors) supporting climate investment programmes in the Caribbean. The iTAP is concerned about whether the AE will be able to deploy a programme of the magnitude outlined in the funding proposal, in an environment where increasingly significant resources "hunt" a limited number of relevant and well-prepared investment opportunities. The AE's operations have extensive coverage in the target region, and many (though by no means all) of the potentially competing concessional offerings focus on public rather than private sector projects. However, the iTAP recommends that a mechanism be included in the funded activity agreement (FAA) between the GCF and the AE that allows the GCF to reduce its committed amount to the trust fund programme if the AE is unable to deploy resources with specific timeframes (**recommendation 1 below**).

14. **Use of methods to assess and monitor mitigation impacts.** Although the funding proposal includes a high-level pipeline of possible investments and highlights generic clean development mechanism (CDM) methodologies for quantifying the mitigation impact potential over time, key aspects for demonstrating the mitigation impact potential remain unclear, including:

(a) The process for checking the applicability conditions of the selected CDM methodologies (i.e. who, when, how);

(b) What will happen when there is no applicable method in the CDM booklet for a proposed investment (i.e. who will propose a new method, who will check it); and

(c) What are the requirements of the AE for ensuring that the mitigation impact of an investment is included in the national measurement, reporting and verification system of the participating countries and who will check, when/how this requirement is fulfilled.

15. The iTAP understands that, because this funding proposal uses a programmatic approach, it is impractical to include a final quantification of the mitigation potential or check for alignment with the measurement, reporting and verification system in the participating countries at this point in time. However, for this very reason, the funding proposal should at the very least provide complete information explaining the process the AE will use for securing the fulfilment of the principles for demonstrating mitigation impact potential in accordance with decision 33/12, which is currently not the case. This is a serious shortcoming of the funding proposal, and one the iTAP feels needs to be rectified before the signing of the FAA (funding proposal), should the GCF approve the programme (**condition 1 below**).

16. **Potential for duplication of efforts.** As part of the funding proposal (output 1.3), the AE proposes to include the development of "market-level guidelines, standards, tools and capacity-building". During the Q&A process, the iTAP raised a concern that, considering the number of existing guidelines, standards and tools (including those that focus on the private sector), the value-added elements of the relevant workstreams under the programme may be limited. In the Q&A response, the AE provided some reassurance that this work will not result in duplication of efforts; however, the iTAP considers that it will be important for the AE to coordinate particularly closely with other ongoing donor and multilateral development bank (MDB) programmes in the region to ensure that comparable activities do not result in a duplication of effort.

17. Overall, the iTAP rates the impact potential for the project as **medium**, with potential for improvement if the issues highlighted above are adequately clarified and addressed prior to the start of programme implementation.

1.3 Paradigm shift potential *Scale: Medium to high*

18. Overall, the AE presents a credible pathway for the two main components of the trust fund programme to foster scaling up climate finance in the target region, thus promoting paradigm shift. By supporting private sector investments addressing adaptation and mitigation, the programme has the potential to demonstrate the business case for investing in such assets, thus enabling a shift from a "corporate social responsibility" mindset to a "core business sustainability strategy", as pointed out in the funding proposal. Through its advisory component, the trust fund programme has the potential to support companies in the region in developing new business models that help to maximize decarbonization opportunities while establishing and demonstrating the viability of commercially sustainable operating models. In combination with the advisory component, which contains various outreach and learning elements, this can trigger replication and draw in corporate investment for climate-friendly projects in the target region.

19. One key to achieving paradigm shift in climate finance in the target region (and beyond) is to successfully leverage private sector finance into investments supported by the proposed trust fund, especially from local sources. The funding proposal submitted to iTAP contains limited information about the AE's proposed efforts to leverage such private sector investors. During the Q&A process, the AE clarified that it intends to utilize its existing syndication practice to mobilize co-investment for programme-supported projects from commercial banks, institutional investors and insurance companies. Although the leverage factors highlighted in the funding proposal are significant, the AE did not specify how it will engage specifically with local private sector investors from the Caribbean. As described in the funding proposal, the AE intends to support financial institutions in adopting sustainability standards and practices under component 1; however, it remains unclear to the iTAP what type of local institutions the AE intends to engage with and crowd in. From the iTAP's perspective, inclusion of local institutions in both the advisory and the investment components of the programme would be crucial to promote a paradigm shift in climate finance in the target region.

20. Another key lever for facilitating a paradigm shift in climate finance in the target region is making local currency funding available for mitigation and adaptation investment projects in order to remove related currency risks for clients (and ultimately end beneficiaries). In the funding proposal, and also in the Q&A response document, the AE has underscored its commitment to providing, when investing from its own resources, local currency (via hedges and swaps) when possible and commercially attractive to clients. However, the AE is unable to provide local currency finance with the funds provided by the GCF because there is no mechanism in place for the AE to be compensated in case of costs associated with the potentially necessary unwinding of/changes to swaps and hedges that cannot be passed on to clients. The AE has also proposed to the GCF the option to utilize up to 30 per cent of the GCF resources to provide unhedged local currency offerings, but this is subject to relevant GCF policies being put into place.

21. As noted in previous funding proposal assessment reports, the iTAP believes that the GCF should make an urgent and determined effort to facilitate local currency solutions for climate finance investments through its funded activity programmes. There is ample evidence now that hard currency lending, even if provided on highly concessionary terms, can create significant debt sustainability issues for public and private sector borrowers that rely on local currency income to service their debt.

22. Overall, the iTAP rates the potential for the project to effect paradigm shift as **medium-high**.

1.4 Sustainable development potential *Scale: Medium*

23. The funding proposal highlights the following sustainable development benefits:

(a) **Reduction of fine particle pollution:** The AE expects that the programme will help to reduce fine particulate matter (specifically particles less than 2.5 micrometres in diameter; PM2.5), from anthropogenic sources such as combustion engines, industrial processes, manufacturing, mining and quarrying, fossil fuel power plants, residential heating and cooking, and construction activities. The AE has identified the methodology for measuring the contribution of projects to the reduction of PM2.5 (provided in annex 22a to the funding proposal). However, following its general assessment of the programme's impact potential (discussed above), and while it is not unreasonable to expect the programme to make a positive contribution on reduction of PM2.5, the iTAP considers it difficult to know without more detailed in the programme what the scale of the co-benefit will be; and

(b) **Jobs created and supported, disaggregated by gender:** The AE expects that each project to be supported by the programme will generate economic co-benefits, specifically in terms of job creation and jobs supported. The AE proposes to track this indicator via field visits as well as analysis of a sample of projects supported. Again, without more detailed knowledge on the structure of the trust fund portfolio, it is difficult for the iTAP to assess the projections for jobs created/supported by the AE because the programme covers a broad range of sectors and project types. However, it is not unreasonable to expect that positive benefits will indeed accrue.

24. The AE has included a comprehensive gender assessment and programme-level action plan as part of the funding proposal (annex 8), and various gender-specific actions are being highlighted in the funding proposal (the word "gender" appears 76 times in the funding proposal); however, no specific gender-sensitive development impact targets are highlighted (apart from job targets for women). This may present a lost opportunity to track relevant impacts as part of programme monitoring and should be improved upon.

25. Overall, the iTAP rates the sustainable development impact potential of the project as **medium**.

1.5 Needs of the recipient *Scale: High*

26. The estimated climate finance gap for the Caribbean region is substantial, with adaptation investment needs alone surpassing USD 100 billion.[1] This figure represents about one-third of the region's annual economic output. The current level of climate finance in the Caribbean falls well short. For instance, as of now, Caribbean countries have only been approved for approximately USD 800 million from climate funds such as the GCF, the Global Environment Facility and the Adaptation Fund.

27. Efforts to address this gap include various innovative financial mechanisms, such as blue bonds, debt-for-nature swaps and catastrophe bonds. However, these initiatives are not enough to cover the vast needs for rehabilitation and reconstruction following natural disasters (which are frequent in the region due to its high exposure to climate-related events), over and above the finance required for investments in mitigation and adaptation more generally. To bridge

[1] Source: https://www.imf.org/en/Blogs/Articles/2023/06/27/caribbean-climate-crisis-demands-urgent-action-by-governments-and-investors

this gap, there is a pressing need for increased involvement from the private sector and international financial institutions. Collaboration and enhanced capacity for project preparation and qualification for climate funds are essential to mobilize the necessary capital.

28. Against that backdrop, the proposed trust fund can make an important contribution to closing the remaining financing gap. As noted above, however, in the iTAP's view, the more crucial bottleneck in the region at this stage is probably not a lack of adequate and tailored finance but a limited set of well-prepared investment opportunities that can absorb this finance. From that vantage point, the AE's proposed measures to focus on developing a pipeline and building out an investment-ready set of projects is important.

29. Overall, the iTAP rates the potential for the project to serve the needs of the recipients as **high**.

1.6 Country ownership *Scale: High*

30. **Coherence with existing policies:** The proposed trust fund programme is well aligned with national climate change strategies in the target region. The funding proposal demonstrates a high level of alignment between the nationally determined contribution of target countries and the priority sectors identified for the programme. No-objection letters have been submitted from all participating countries to the programme.

31. **Stakeholder consultations and engagement:** The AE has implemented extensive and well-documented stakeholder consultations in every target country, under the leadership of the respective AE country offices (see annex 7 of the funding proposal).

32. **Capacity of the AE:** The AE is the main MDB active in the region and has local representation in each of the target countries. It also has a long-standing track record of investing in the Caribbean, including in private sector projects. The funding proposal states that the AE it has committed USD 790 million for climate investment projects in the targeted countries between 2017 and 2023, including USD 224 million for energy projects, USD 117 million for investment funds, USD 93 million for manufacturing, USD 73 million for agribusiness, USD 53 million for transport and the balance for financial institutions and tourism.

33. The iTAP considers the alignment of the project with the priorities of the host country governments to be high but assesses the track record of the AE as medium. Overall, the iTAP rates country ownership of the funding proposal as **high**.

1.7 Efficiency and effectiveness *Scale: Medium to low*

34. As previously noted, the lack of evidence of a pipeline of projects makes a reliable assessment of the economic soundness of the trust fund programme somewhat challenging. However, the following can be noted:

(a) Based on historical experience and the synthetic portfolio constructed for the purposes of the funding proposal, the AE expects a significant share of co-financing from its own balance sheet as well as private sector sources (GCF funding represents about 22 per cent of total expected project costs). The overall leverage of 1:4 on GCF resources can be considered substantial, especially in the specific project region;

(b) Based on the synthetic portfolio constructed, the AE estimates an average economic internal rate of return of 25 per cent and an economic net present value of USD 141,559,576. Considering the lack of evidence of the programme pipeline, the iTAP noted that these numbers can only provide a highly indicative assessment of the economic performance of projects that will be eligible under the programme; and

(c) The projected climate benefits (amounting to GHG reductions of around 7.2 million t CO_2 eq over the total project lifetime) and the number of expected beneficiaries appear to be modest relative to the total amount of GCF funding requested for the programme. The projections correspond to USD 72 per t CO_2 eq avoided and USD 24,000 per beneficiary. However, while the price per tonne of GHG emissions avoided is higher than the global average it still falls within the prices observed in various regions, including the Caribbean where cost levels tend to be high due to lack of potential for scale and other factors. The price also needs to be assessed in the context of additional benefits beyond the emission reductions that the trust fund programme may provide, such as technology transfer, capacity-building and significant sustainable development impacts but that are difficult to quantify at this stage.

35. At the time of submission of the funding proposal to the iTAP, the negotiations between the AE and the Secretariat regarding the AE fee (see annex 12 to the funding proposal) were not concluded. In its original submission, the AE requested a fee that amounted to more than 14 per cent of overall GCF funds requested for this programme. As clarified by the Secretariat in the Q&A process, as per the GCF policy on fees for AEs, the fee cap for large-sized projects for public sector grants is 4 per cent. The policy also states that, for private sector projects, fees should be determined on a case-by-case basis. The historical AE fees for large private sector projects range from 1.5 to 4.5 per cent (with an average AE fee of around 3.3 per cent for such proposals and the average AE fee for MDB-related transactions being around 3.5 per cent). In a subsequent email (dated 5 June 2024), the iTAP was informed that the AE reduced its AE fee request to close to 6%. This reduction was achieved largely by eliminating various budget positions that were explained in annex 12 to the funding proposal, including line items for capacity-building activities and administrative oversight. However, the Secretariat also shared an updated programme budget plan (see annex 4 to the funding proposal); this revised budget plan now contains new budget line items, including programme management costs and monitoring and evaluation costs roughly equivalent to the amounts previously included in the AE fee request. The AE fee also remains substantial, and significantly above the levels typically seen for MDB-managed programmes. Overall, the iTAP views the fee request by the AE as high and considers it as a negative factor in its assessment of the effectiveness and efficiency of the programme.

36. The iTAP therefore considers the efficiency and effectiveness of the programme as **low-medium**.

II. Overall remarks from the independent Technical Advisory Panel

37. Overall, the funding proposal is comprehensive, and although there are various risks and weaknesses (as highlighted above) it shows a credible pathway to achieving notable impacts. Having said that, the iTAP is of the view that the trust fund proposed by the AE raises relevant questions of policy for the Secretariat and the Board that are outside the appraisal remit of the iTAP. Specifically, the application raises the question of whether MDB trust fund operations such as the one proposed should be considered by the GCF or whether other instruments in the global climate finance architecture (notably the Climate Investment Funds) would be better positioned to support programmes such as this. In addition, if in future more "open" programmes with a broad architecture (i.e. multiple sectors and countries, fairly broad project selection criteria and so on) come to the GCF for consideration, this may merit a re-thinking of the investment criteria framework currently employed by the iTAP (the "Initial Investment Framework"; decision B.09/05) because the appraisal focus would then have to move from an assessment of project-specific criteria to institutional track record and capabilities of AEs/EEs (beyond the focus of the accreditation to determine programme-specific elements) as well as systems and procedures put in place by AEs to ensure adherence to programme implementation principles and standards. The iTAP is open to engage in a dialogue with the Secretariat and the Board on these matters.

38. The iTAP recommends that the Board approves this funding proposal with the following condition precedent to the execution of the Funded Activity Agreement:

39. Submission to the Fund by the Accredited Entity, in a form and substance satisfactory to the GCF Secretariat, of a report setting out specific guidance explaining the process that the Accredited Entity will use for securing the fulfilment of the principles for demonstrating mitigation impact potential as approved by the GCF Board in its decision B.33/12. The report shall identify person(s) who shall conduct the assessment with regard to any particular investment considered by the Trust Fund, as well as the relevant timeline, and shall include:

(a) the process for selecting methodologies for quantifying mitigation impact potential of the proposed investments as well as for assessing the assumptions, system boundaries and additionality;

(b) the requirements for securing the establishment of measurement, reporting and verification (MRV) system of a proposed investment and the alignment with the national system of the corresponding Host Country;

(c) examples of how (a) and (b) referred to above will be implemented, using sample investments from the pipeline that are sufficiently well advanced; and

(d) clarification of how the assessment of the mitigation impact potential will affect decisions regarding whether or not a sub-project will be included in the Programme.

40. The iTAP makes the following additional recommendation:

(a) That a mechanism be included in the FAA between the GCF and the AE that allows the GCF to reduce its committed amount to the trust fund programme if the AE is unable to deploy resources with specific timeframes. Specifically, that mechanism could allow the GCF to reduce its overall funding commitment to the AE by up to 50 per cent if the AE has not contractually commited at least 25 per cent of GCF funds by the second anniversary of signing the FAA. In addition, the mechanism could allow the GCF to reduce its funding commitment by up to 25 per cent if the AE has contractally commitment more than 25 per cent but less than 50 per cent of GCF funds by the third anniversary of signing the FAA.

Response from the accredited entity to the independent Technical Advisory Panel's assessment (FP242)

Proposal name:	Caribbean Net-Zero and Resilient Private Sector
Accredited entity:	Inter-American Investment Corporation (IDB Invest)
Country/(ies):	Bahamas, Barbados, Belize, Dominican Republic, Guyana, Jamaica, Suriname, and Trinidad and Tobago.
Project/Programme size:	Large

Impact potential

IDB Invest takes note of the comments and provides the following additional details to the Funding Proposal:

IDB Invest has indeed provided an indicative pipeline of projects because it is critical that such a program is demand-driven and based on the needs of the private sector in the Caribbean. However, in order to ensure maximum climate impact, IDB Invest has developed a rigorous eligibility criteria list for climate change mitigation and climate change adaptation projects in each of the program sectors. Additionally, IDB Invest has developed and delivered the methodologies, in-house expertise and processes it will follow to ensure, record and monitor climate change mitigation and climate change adaptation impact. We provide the following details to ensure clarity around the methods to assess and monitor mitigation impacts:

IDB Invest's Department of Strategic Planning (DSP) hosts a Climate Change Team (ADV-CC) as well as a Development Effectiveness Division (DVF), which is the impact measurement division at IDB Invest. These teams identify the applicable methodologies during sub-project screening and due diligence. During due diligence, ex ante estimations are made through IDB Invest's GHG calculation system, while ex-post calculations are conducted annually during the tenor of the transaction. The processes and expertise of the professionals conducting these assessments have been documented in Annex 2. These teams assess the suitability of the CDM methodologies during due diligence. If there is no applicable method in the CDM booklet for a proposed method, the specialized impact measurement and climate change teams will give priority to exploring other internationally recognized and validated methodologies and frameworks. In cases where GHG accounting for the project is particularly complex, the following alternatives will be explored: 1) consultation with the IDB Invest GHG working group, 2) consultation at the Multilateral Development Bank (MDB) GHG working group, 3) external expert assessments. If none of these options are feasible, and the project net positive impact cannot be clearly stablished, the project would not qualify for this program. In any of the above cases where the project does qualify, it would be reviewed by climate change and impact evaluation teams within IDB Invest.

IDB Invest also has systems in place to evaluate project mitigation potential and create evaluation and monitoring plans to track and report project impact directly for the project, which have been demonstrated through the Funding Proposal package.

Finally, IDB Invest also relies on the work that the IDB Group, trough the Inter-American Development Bank, conducts with member countries in integrating project impacts into their national frameworks whenever possible. This involves collaborating closely with national authorities and stakeholders to ensure their climate change strategies and commitments and systems are consistently updated. As such, while IDB Invest and this program can only work with the private sector, IDB Invest will coordinate within the IDB Group to explore how select large material sub-projects could be reflected in country's systems. Overall, IDB Invest remains committed to maximizing the visibility and recognition of project impacts within the NDCs or similar national climate plans, ensuring that the benefits of supported initiatives contribute meaningfully to climate objectives.

Paradigm shift potential

IDB Invest takes note of the comments and provides the following additional details:

Through this program, IDB Invest will provide support to financial institutions in adopting sustainability standards and practices under component 1. These financial institutions include banks, funds, and microfinance institutions. Indeed, per ITAP's comment, local financial institutions will be included in both component 1, under output 1 and output 3, as well as under component 2, in order to successfully promote a paradigm shift in climate finance in the program countries.

IDB Invest has demonstrated in-house capacity of selection of climate change mitigation and climate change adaptation projects that will enable IDB Invest to meet the ambitious outcome targets that been set out in this proposal. The targets have been set after an extensive analysis of past projects in program countries, as well as comprehensive research and consultations with stakeholders and country and sector experts to identify trends for future pipeline. Finally, through its climate commitments, climate change teams and development effectiveness (impact measurement divisions), IDB Invest will track program impact ex-ante and ex-post.

Sustainable development potential

IDB Invest takes note of the comments and provides the following additional details:

IDB Invest tracks the reduction of fine particle pollution in the case of project of clean transportation. The estimation is based on project specific characteristics (e.g., type of technology being deployed, and type of fleet being replaced). Project specific information is typically available during project structuring, through market studies, project documentation and independent engineer assessments. As the details of all of the sub-projects are not available at the time of the proposal development, IDB Invest has based its projections in conservative assumption informed by current projects in our portfolio.

IDB Invest monitors the number of jobs supported disaggregated by gender for each project in our portfolio. Current projections in the proposal are based on conservative assumptions, weighting the past performance of existing projects in our portfolio. Nonetheless, given IDB Invest's new 100% gender mainstreaming commitment, IDB Invest expects to be able to identify, track and monitor more gender-sensitive indicators through the execution of the program.

Needs of the recipient

IDB Invest takes note of the ITAP assessment and provides the following additional details:

Through Component 1, the Program will seek to support the private sector and international financial institutions and make IDB Invest projects ready for climate investment. This component focuses on developing a pipeline to boost the private sector's ability to prepare projects and qualify for climate funds, thus enabling the mobilization of essential capital.
Country ownership
IDB Invest takes note of the ITAP assessment.
Efficiency and effectiveness
IDB Invest takes note of the ITAP rating for efficiency and effectiveness and is also providing additional details: **Updated fee structure** Please note that IDB Invest has updated the presentation of the structure of the requested Accredited Entity fee in the Funding Proposal package. The initial estimate for the ITAP assessment was presented as a single percentage that combined the Accredited Entity fee estimate, project management costs (PMC), and monitoring and evaluation budgets. After correctly allocating these items, the Accredited Entity fee is currently 4.2% of GCF financing. Please also note that the market and feasibility study and stakeholder engagement found that there are very limited private sector climate projects in most of the program countries. As such, this program intends to create the climate finance ecosystem for private sector climate projects by engaging at the market level and building capacity through component 1, as well as execute first-of-its-kind private sector climate projects in each of the five program areas through component 1 and 2. As a result, the cost of implementing these projects for the first time as well as the need to create a climate finance ecosystem may be perceived as resulting in high costs but will set a pathway for the countries to have a track record and knowhow so they can replicate private sector climate projects beyond the program tenor. Finally, our estimates for projected climate benefits were derived using conservative assumptions. Nevertheless, based on IDB Invest's Development Impact Framework, Climate Impact Methodologies and this program's eligibility criteria, we anticipate that the program will result in a significant number of indirect beneficiaries.
Overall remarks from the independent Technical Advisory Panel: IDB Invest takes note of the overall remarks, agrees with the conditions and would like to provide the following details below: Per the recommendation, IDB Invest can further discuss creation of a report explaining the process IDB Invest will use for demonstrating mitigation impact potential. Additionally, IDB Invest has proposed as part of the Funding Proposal package, selection of the methodology outlined in the "impact potential" section of this document. Once a methodology is identified, detailed assumptions related to emission reductions or removals are assessed. This includes evaluating factors such as baseline emissions, project boundaries, and any assumptions made about additionality. Regarding System Boundaries:

CDM methodologies may not encompass all project types. If this is the case, other options, as mentioned previously in impact potential section of this document will be considered.

Regarding the requirements for securing the establishment of MRV system of a proposed investment and the alignment with the national system of the Host Country: While IDB Invest works directly with the private sector, it sits within the IDB Group. As such, IDB Invest will coordinate within the IDB Group to explore how select large material sub-projects could be reflected in country's systems. Overall, IDB Invest remains committed to maximizing the visibility and recognition of this program's project impacts within the NDCs or similar national climate plans, ensuring that the benefits of supported initiatives contribute meaningfully to climate objectives. Documentation or a report of how this may work with program pipeline examples can be provided.

The projects must qualify for climate mitigation (and/or climate adaptation finance), as defined in the 'Common Principles for Climate Mitigation Finance Tracking' and "Joint Methodology for Tracking Climate Change Adaptation Finance" and as highlighted throughout the Funding Proposal package, and have a net positive impact. If a project qualifies for climate mitigation, the associated mitigation impact will be calculated. Only sub-projects with measurable and trackable indicators (i.e., core and supplementary), and positive net benefits will be considered eligible for funding under GCF resources.

Gender documentation for FP242

Annex 8
IDB Invest Gender Action Plan

Caribbean Net-Zero and Resilient Private Sector

June 21, 2024

Part I: Gender Analysis/Assessment:

Introduction

To robustly assess the level of gender inequality which persists in the Caribbean, gender-disaggregated data is key. This, however, is limited as less than half of the indicators needed to monitor progress on the Sustainable Development Goals (SDGs) are produced by actors in the regional statistical system. This includes data gaps on gender-differentiated wage earnings, financial inclusion, time use and unpaid care. Despite these limitations, the intersectionality of gender-disproportionate vulnerabilities in the Caribbean cannot be ignored. While women and girls in the Caribbean experience favorable outcomes in health and education, opportunities exist to improve and support gender-equal outcomes and the socioeconomic wellbeing of women.[1]

While women have a consistently higher life expectancy at birth than Caribbean men, and one that is comparable to their female counterparts throughout the region, this is not always indicative of the quality of life they lead. Maternal mortality is significantly high in some states and the prevalence of sexually transmitted diseases is often higher among women. Access to healthcare is publicly provided in several countries, but women have a higher likelihood of mortality due to non-communicable diseases such as diabetes and cancer.

Improved educational outcomes among girls in the Caribbean have not always translated into improved gender equality in the labor market. While data shows Latin America and the Caribbean to be the only region to show progress toward parity in educational attainment (WEO, 2022),[2] other studies specific to Caribbean states find evidence of reverse gender inequality in educational performance (ECLAC, 2022).[3] Girls outperform boys at the primary and secondary schooling levels, even in subjects which were traditionally considered male dominated. At the tertiary level, women and girls have a higher representation in enrolment and graduation shares compared to men and boys.

In contrast, and as outlined in the country profiles below, women constitute a smaller proportion of the labor force, and face significantly higher rates of unemployment at the national and youth levels. Many of those employed are engaged in the informal sector or vulnerable employment arrangements.[4] Occupational gender-disaggregation exists in some sectors such as tourism and agriculture and women are involved in low-earning positions in the value chain. Low levels of female participation in business ownership, leadership and governance stymy opportunities for policymaking to bring more women into the value chain either through targeted recruitment or service delivery through which women may empower themselves. Barriers to women's economic inclusion, despite their high levels of qualification, will widen the income and wealth gaps between women and men in the Caribbean and reduce opportunities for productivity and growth in the workplace.

The intersectional nature of gender-disproportionate vulnerability is worsened by global crises such as the COVID-19 pandemic. Higher levels of mortality due to COVID-19 among men increased the already high proportions of female-headed households in the Caribbean. The Association of Caribbean States (ACS) suggests that an average of 35% of Caribbean households are headed by women –as high as 44% in Barbados.[5] This was compounded by gender-disproportionate job loss due to the closure of several economic sectors such as tourism, hospitality and personal services where women comprise

[1] World Bank Gender Data Portal: https://genderdata.worldbank.org/
[2] World Economic Outlook, 2022. Global Gender Gap Report
[3] ECLAC, 2022. Addressing gender disparities in education and employment
[4] This refers to self-employed persons without employees or contributing family workers who are unpaid. This is different from informal workers who are often without social protection, health benefits, legal status or freedom of association. See: https://databank.worldbank.org/metadataglossary/world-development-indicators/series/SL.EMP.VULN.ZS; https://databank.worldbank.org/metadataglossary/world-development-indicators/series/SL.ISV.IFRM.FE.ZS
[5] See blog: Inequality and its impact on societies

a significant share of the labor force. These economic closures put downward pressure on women's income earning capabilities. School closures in Latin America and the Caribbean were prolonged and the burden of unpaid care and domestic work was unprecedented. These additional responsibilities were shouldered mainly by women and reduced their time availability for paid employment. Due to social and cultural norms, some of these additional responsibilities fell on the eldest female children within the household and impacted their educational continuation. Reports of gender-based violence also increased as did women's food insecurity compared to men.

The geographic location of the Caribbean leaves the region extremely susceptible to climate shocks which are becoming more severe and frequent. Planning and design of disaster management and response protocols often do not cater to gender-differentiated vulnerability. Though limited, data show a digital divide in favor of men. This leaves women comparatively ill-prepared given greater use of ICT in the dissemination of early warning messages. Natural disasters such as hurricanes, tropical storms and flash flooding often disrupt access to health services, particularly for rural communities. This creates additional health risk for rural women and girls in need of antenatal care, sexual and reproductive services or vital medications given the high prevalence of NCDs. Loss of livelihoods threaten to increase poverty among FHHs as women tend to earn and save less and have lower economic resilience. Negative attitudes around men's need for psychosocial support following trauma lead to increases in violence within the home. In addition, the use of schools as shelters does not provide adequate privacy in water, sanitation and hygiene (WASH) facilities for women. In the aftermath of natural disasters, it is not uncommon to observe increases in domestic and intimate partner violence as well as sexual assault.

Conclusively, a number of opportunities exist to empower women in the Caribbean and improve gender equal access to opportunities. These include increasing women's participation in decision-making, promoting incentives to integrate women into higher-earning and sustainable positions in value chains, supporting women's resilience capabilities, increasing their access to training, mentorship and business skills and removing barriers to credit for sustainable business practices.

Country Profiles

The Bahamas

Health Outcomes. In most instances, health outcomes for women and girls in The Bahamas are comparable or just slightly lower than the regional average for women and girls throughout Latin America and the Caribbean (LAC). According to available data from the World Bank Gender Portal, female children born in The Bahamas have a life expectancy at birth of approximately 75.1 years, with 99% of total births attended by skilled health staff. This is higher than the 68.1 years expected of male children but slightly lower than the average of 75.6 years expected of female children born throughout LAC. As outlined in the table below, levels of maternal mortality (77 per 100,000 live births) and adolescent fertility (25.8 births per 1,000 women aged 15-19) are also lower than the average maternal mortality (88) and adolescent fertility (54.8) in LAC. Despite equal prevalence of sexually transmitted diseases such as HIV among young people[6] in The Bahamas, more women seek healthcare services and treatment through anti-retroviral drugs than men. Lower levels of mortality due to non-communicable diseases (NCDs) are observed among women.

Economic Opportunities. Labor market outcomes are not as favorable for women than for men. Women account for 48.4% of the total labor force, which is slightly higher than the regional average. Of the female population aged 15 years or older, women have a labor force participation rate of 66.1% - compared to 79.1% labor force participation among their male counterparts. Still, unemployment is

[6] Defined as people aged 15-24 inclusive.

higher among women. Female unemployment at both the national and youth levels (10.2% and 27.8% respectively) are higher than male unemployment (9.9% and 21.4%). Of those women who are employed in The Bahamas, 6.9% are engaged in vulnerable employment compared to 17.0% of Bahamian men. While data is not available on the share of women in senior and/or middle management, only 17.9% of the seats in the national parliament are held by women. This is almost half of the regional average of 35.7% across LAC, and will likely have negative impacts on decision-making on issues which impact women disproportionately such as GBV and time-use.

Agency and Legal Protections. The legislature in The Bahamas allows for gender equality, allowing women to enjoy many of the same freedoms as men as shown below in Table X. Women can apply for a passport, open a bank account, be the head of their households or remarry in the same way as Bahamian men. Legislation also exists on the issue of sexual harassment in employment as well as specifically addressing domestic violence.

Barbados

Health Outcomes. Indicators show positive health outcomes for women in Barbados which are comparable to women throughout LAC. Female children born in Barbados have a life expectancy at birth of 79.4 years, compared to 75.6 years among male children. These health indicators are both higher than the regional average of 75.7 and 69.8 years for girls and boys respectively. 98.4% of all births in Barbados are attended by skilled health staff and maternal mortality is low at 39 per 100,000 live births (compared to an average maternal mortality of 88 per 100,000 live births in LAC). With an adolescent fertility rate of 42.4 per 1,000 births among women aged 15-19, the majority of adult women of reproductive age in Barbados have access to modern family planning methods. The prevalence of HIV among girls and young women in Barbados is 0.1% - the lowest on record within the region - and lower than the prevalence of 0.3% among young men in Barbados in the same cohort group. Higher proportions of women seek access to anti-retroviral treatment than men, which improves their quality of life and wellbeing.

Economic Opportunities. While Barbadian women are a minority in senior positions in business or national leadership, there are fewer women than men facing negative labor market conditions such as unemployment and insecure working conditions. In Barbados, women make up just about half (50.1%) of the total labor force, with a labor force participation rate of 58.0% among the female population 15 years and older. This is lower than male labor force participation of 64.2% among Barbadian men of the same age. In contrast, the proportion of women engaged in vulnerable employment is roughly half the proportion of men engaged in vulnerable employment – 12.7% and 24.6% respectively. As a proportion of the female labor force, women experience lower levels of joblessness at the national and youth levels, compared to their male counterparts. Still, there are areas of concern. Additionally, the proportion of female-headed households (FHHs) is higher in Barbados (44%) compared to the regional average (ACS). This has implications for women's availability for work and the socioeconomic well-being of their families, as well as the burden of care on those women or the eldest children within the home.

Agency and Legal Protections. Legal frameworks exist in Barbados to promote and support gender equality in Barbados. These allow the right to apply for a passport, be the head of the household or access credit in the same way their male counterparts can. While data on intimate partner or physical violence is not available, legislation exists which explicitly addresses sexual harassment and domestic violence. Despite these, almost a third of Barbadian women for married or in a union before 18 years of age. Demands for unpaid care within the household and cultural norms around marriage may impact these girls' ability to continue schooling and other opportunities for increasing their employability and independence.

Belize

Health Outcomes. According to gender disaggregated data published by the World Bank, women and girls in Belize have better health outcomes than their male cohorts as observed in several indicators. Female children have a life expectancy at birth of 74.3 years, which is higher than the life expectancy of male children (67.1 years) born in Belize. It is also only slightly lower than the regional average of life expectancy for women born in LAC (75.7 years). However, maternal mortality and adolescent fertility are higher in Belize than the average across the region. For every 100,000 live births, there were 130 maternal deaths in 2021 compared to the regional average of 88 maternal deaths. Adolescent fertility, measured as births per 1,000 women aged 15-19, there were 56.7 births compared to the regional average of 54.77. Among young women aged 15-24 in Belize, the prevalence of HIV is 0.4% compared to 0.3% among men of the same age. Women however have higher access to anti-retroviral drugs than do men. Women are more prone to NCDs - it is estimated that more than 70% of Belizean women are either obese or have hypertension (World Bank, 2022a)

Economic Opportunities. Labor market conditions in Belize are generally more favorable for men than for women. Women's employability is limited as they constitute more than two times the share of young men who are neither in education, employment or training (NEET). Of those who are employed, Belizean women comprise 38.5% of the total labor force and hold only 12.5% of seats in the national parliament. This lags behind the regional average (35.7%) of women in parliamentary office across Latin America and the Caribbean and limit opportunities for female engagement in representation and policy-making to support female socioeconomic advancement. Unemployment is considerably higher among Belizean women than among Belizean men. At the national level, 15.1% of the female labor force is without work compared to only 6.8% of the male labor force. Among Belizean youth, aged 15-24, female unemployment is more than twice as high as unemployment among young Belizean males. Many women in Belize are involved in the informal sector and so less women are in receipt of or have access to a pension compared to men. These outcomes are significant since approximately 26.7% of households in Belize are headed by a woman (World Bank, 2022).

Agency and Legal Protections. Women in Belize have access to the same agency and freedoms supported by law. Women and men in Belize have equal agency to decision-making (leading households or deciding to remarry), to financial inclusion (opening a bank account), freedom of movement (applying for an owning a passport). Legislation also exists to protect women from workplace sexual harassment and domestic or intimate partner violence.

Dominican Republic

Health Outcomes. Female children born in the Dominican Republic have a life expectancy 10 years higher (76.3 years) compared to 69.3 years expected of male children. While 99.2% of births in the Dominican Republic are attended by skilled health staff, the maternal mortality ratio is 107 per 100,000 live births, while the latest available data shows adolescent fertility rates of 68.3 per 1,000 births among young women 15-19 years old. Among young people 15-24 years old, there is a slightly higher prevalence of HIV among women (0.2%) than among men (0.1%), but women reportedly have higher access to anti-retroviral drugs for treatment than men.

Economic Opportunities. Less than half (40.8%) of the labor force in the Dominican Republic are made up of women, who go on to hold 27.9% of the seats in the national parliament but comprise the majority share (56.1%) of jobs in senior and middle management. Among women and men 15 years and older, labor force participation rates are lower among women (40.8%) compared to men (51.3%) in the Dominican Republic but are comparable with the regional average. Notwithstanding this, conditions within the labor market may be a cause for concern among women in the Dominican Republic. Almost a third (27.5%) of female employment is considered vulnerable and more than half of those engaged in non-agriculture activity are women in informal employment arrangements (52.1%). This has implications for the women's economic empowerment and financial independence. Though no data is available, the consequences of this insecurity may be more grave in female-headed households (FHHs).

Agency and Legal Protections. Like in several other Caribbean countries, women in the Dominican Republic have access to equal rights under the law with respect to their movement, financial inclusion and access to credit and choice of partner. Although legislation exists to protect women against domestic violence and workplace sexual harassment, the latest available data shows that 17.9% of Dominican women have at least experienced some form of intimate partner violence. As at 2018, 7.8% of women had reported incidents of physical and or sexual violence in the previous 12 months.

Guyana

Health Outcomes. Available data show mixed health outcomes for women in comparison to their male counterparts domestically, as well as in comparison with women throughout the LAC region. While female children born in Guyana have a life expectancy almost 7 years longer than male children, maternal mortality and adolescent fertility are significantly higher than the average throughout the LAC region. Like in other Caribbean states, women enjoy greater access to anti-retroviral drugs but the prevalence of HIV is twice as high among women (0.4%) than among men (0.2%) which is still cause for concern.

Economic Opportunities. Labor market conditions present an opportunity for improvements in gender equality in Guyana. While women comprise 35.4% of seats in the national parliament and hold 45.9% of the jobs in senior and middle management, labor force participation among women significantly lags behind labor force participation among men, as well as compared to participation among women across LAC, shown in the Table below. Joblessness is higher among women both as a percentage of the female labor force as well as at the youth level. To ensure young women do not miss out on opportunity due to early parenthood, Guyana has established a national policy on the reintegration of adolescent mothers into the formal education system (UNICEF, 2017). This is critical since almost one third of households in Guyana are headed by a woman. Of all jobs held by Guyanese women, 28% of them are considered vulnerable while, outside of the agriculture sector, almost 60% of women are considered to be working informal jobs. In comparison, only 47& of men are in informal sector jobs. This has implications for job security, financial independence and higher poverty rates among women than among men.

Jamaica

Health Outcomes. Jamaican women and girls enjoy high quality health outcomes, which in most cases exceed the outcomes for men and are comparable with their female counterparts throughout the region. At birth, Jamaican girls have a longer life expectancy than Jamaican men. While almost all births are attended by skilled health personnel, the maternal mortality exceeds the regional average. Among young women aged 15-19 years of age, there are roughly 33 births for every 1,000 women. As is common in other island states, women tend to access anti-retroviral treatment more than men. In contrast, while there is no gender disparity in the prevalence of HIV among young people, infection rates are among the highest in the Caribbean.

Economic Opportunities. In the labor market, women's economic participation and performance underperforms in comparison to men. Jamaican women comprise just over half of the national population but less than half of the labor force, hold only 28.6% of seats in the national parliament and just about one third of entrepreneurs (31.5%) are women. Many of those who ae employed, find work in the informal sectors or in vulnerable working conditions. In fact, 66% of employed women hold jobs in which they struggle to earn minimum wage (World Bank, 2022b). It is therefore not surprising to find that Jamaican women are overrepresented among the poor within the country, and 70% of them are below the poverty line. This has significant intergenerational effects because more than 40% of Jamaican households are headed by women. Joblessness remains higher among women at different levels in the working population.

Agency and Legal Protections. While gender equality is supported in some laws, women's physical and mental safety still remains at risk. The lack of legislative protection against violence in Jamaica is likely a contributory factor to the prevalence of gender-based violence. At present, laws do not exist to specifically protect women from sexual harassment or from domestic violence. Thus, it is not unusual that as at 2018, the WB gender data portal reported 23.2% of Jamaican have experienced intimate partner violence and just under 6% had been victims of physical and or sexual violence within the last 12 months.

Suriname

Health Outcomes. As can be found elsewhere in the Caribbean, data show positive health outcomes for Surinamese women in the context of life expectancy and levels of health care for expectant mothers. Available data show that 98.4% of all births in Suriname are attended by skilled health staff, just higher than the 94.9% observed throughout LAC. Despite these positives, maternal mortality and adolescent fertility are higher among women in Suriname compared to women throughout LAC. Access to health services for sexually transmitted infections is higher among women, which may perhaps be linked to the higher prevalence of HIV among young Guyanese women.

Economic Opportunities. Labor market prospects are narrower for women compared to men in Suriname. Gender imbalance, in favor of men, is observed in labor force shares between the genders. While women are represented in civic decision-making at the parliamentary level, it has not translated into greater opportunities for women's economic participation. Women experience higher levels of unemployment (as a proportion of the female labor force as well as among youth), with 17.0% of women reportedly engaged in vulnerable employment conditions. More is needed to reduce gender-disproportionate economic engagement in Suriname by way of bringing women into the value chain.

Agency and Legal Protections. Compared to regional peers, Suriname ranks lowly on gender-equal legal protections. Women's financial inclusion and independence is limited by barriers which prevent ease of access in opening bank accounts compared to men. Legal barriers also exist which hinder women's agency over their futures, households and safety.

Trinidad and Tobago

Health Outcomes. Health outcomes for women in Trinidad and Tobago are above those for men, but they also outperform those of women in the rest of LAC. In the first instance, female life expectancy is higher than male life expectancy in the domestic context but also higher than the average life expectancy for women across the region. All births in Trinidad and Tobago are attended by skilled health staff, with maternal mortality and adolescent fertility among the lowest in the Caribbean. Similar to other islands, women in Trinidad and Tobago continue to seek HIV treatment in higher proportions than men, albeit the prevalence of HIV among persons aged 15-24 in the country is higher among young women than among young men.

Economic Opportunities. Despite encouraging performance, more can be done to improve economic empowerment and reduce gender inequality for women in the labor market. While more women are engaged in the labor force in Trinidad and Tobago than the regional average across LAC, labor force participation among women continues to be significantly lower than participation among men. Although women hold more than 40.0% of senior and middle level leadership roles, less than a third of parliamentary seats are held by women – lower than elsewhere in the region. Such low levels of female participation in decision-making may prove insufficient to remove barriers to gender equality and women's agency in Trinidad and Tobago. Additionally, more men are observed to be in vulnerable employment, but unemployment is higher among women of all ages, particularly between the ages of 15-24.

Agency and Legal Protections. As found regionally, women and men enjoy the same legally enshrined provisions in their freedom of movement, financial inclusion and household autonomy. Interestingly however, although legislation exists to specifically address domestic violence, almost a third of women in Trinidad and Tobago have been victims of intimate partner violence in 2018. Additionally, there is no protection for women against workplace sexual harassment. Greater shares of women in the workplace may have significant impacts on productivity and profitability, but these are undermined if women cannot feel safe or protected from harm in their places of employment.

	Year	The Bahamas	Year	Barbados	Year	Belize	Year	Dominican Republic	Year	Guyana	Year	Jamaica	Year	Suriname	Year	Trinidad and Tobago
Health and education outcomes																
Life expectancy at birth, female (years)	2021	75.1	2021	79.4	2021	74.3	2021	76.3	2021	69.1	2021	72.5	2021	73.6	2021	76.4
Life expectancy at birth, male (years)	2021	68.1	2021	75.6	2021	67.1	2021	69.3	2021	62.5	2021	68.5	2021	67.2	2021	69.7
Maternal mortality ratio (modeled estimate, per 100,000 live births)	2020	77.0	2020	39.0	2020	130.0	2020	107.0	2020	112.0	2020	99.0	2020	96.0	2020	27.0
Adolescent fertility rate (births per 1,000 women ages 15-19)	2020	25.8	2020	42.4	2020	56.7	2020	68.3	2020	801.0	2020	33.3	2020	56.0	2020	38.6
Infant mortality																
Prevalence of HIV, female (% ages 15-24)	2021	0.3	2021	0.1	2021	0.4	2021	0.2	2021	0.4	2021	0.6	2021	0.3	2021	0.3
Prevalence of HIV, male (% ages 15-24)	2021	0.3	2021	0.3	2021	0.3	2021	0.1	2021	0.2	2021	0.6	2021	0.2	2021	0.2
Access to anti-retroviral drugs, female (%)	2021	67.0	2021	66.0	2021	51.0	2021	63.0	2021	71.0	2021	52.0	2018	59.0	2020	67.0
Access to anti-retroviral drugs, male (%)	2022	70.0	2022	58.0	2021	46.0	2021	49.0	2021	60.0	2021	43.0	2018	42.0	2020	76.0
Births attended by skilled health staff (% of total)	2019	99.0	2019	98.4	2020	94.6	2019	99.2	202	97.6	2018	99.7	2018	98.4	2017	100.0
Proportion of women who have ever experienced intimate partner violence (modeled estimate, % of ever partnered women ages 15+)		n/a		n/a	2018	23.9	2018	17.9	2018	32.3	2018	23.2	2018	27.4	2018	28.5
Proportion of women subjected to physical and/or sexual violence in the last 12 months (modeled estimate, % of ever partnered women ages 15+)		n/a		n/a	2018	6.6	2018	7.8	2018	8.5	2018	5.7	2018	5.9	2018	5.6
Economic Outcomes																
Share of youth not in education, employment or training, female (% of female youth population)		n/a	2016	25.9	2021	41.3	2021	41.31	2019	53.58	2020	31.53	2016	21.85	2021	17.45
Share of youth not in education, employment or training, male (% of male youth population)		n/a	2016	32.2	2021	19.0	2021	21.12	2019	38.89	2020	27.86	2016	14.73	2021	13.45
Female share of employment in senior and middle management (%)		n/a	2019	47.7		n/a	2021	56.1	2019	45.9		n/a		n/a	2021	43.6
Proportion of seats held by women in national parliament	2022	17.9	2022	26.7	2021	12.5	2022	27.9	2022	35.4	2022	28.6	2022	29.4	2022	26.2
Labor force, female (% of total labor force)	2022	48.4	2022	50.1	2022	38.5	2022	40.8	2022	41.0	2022	46.0	2022	41.6	2022	43.7
Labor force participation rate, female (% of female population ages 15+) (modeled ILO estimate)	2022	66.1	2022	58.0	2021	48.6	2021	51.3	2022	39.6	2021	57.0	2022	45.4	2021	46.3
Labor force participation rate, male (% of male population ages 15+) (modeled ILO estimate)	2022	79.1	2021	64.2	2021	75.6	2021	76.0	2022	61.3	2022	69.7	2022	65.2	2021	62.5
Share of women-owned MSMEs		n/a		n/a		n/a		n/a		n/a		n/a		n/a		n/a
Firms with female participation in ownership (% of firms)		n/a		n/a		n/a		n/a		n/a		n/a	2021	32.7		n/a
Share of female business owners (% of total business owners)		n/a		n/a		n/a		n/a		n/a	2018	31.5		n/a		n/a
Share of male business owners (% of total business owners)		n/a		n/a		n/a		n/a		n/a		68.5		n/a		n/a
Unemployment, female (% of female labor force) (modeled ILO estimate)	2021	10.2	2022	7.3	2021	15.1	2021	12.3	2022	14.4	2021	10.3	2022	12.0	2021	5.3
Unemployment, male (% of male labor force) (modeled ILO estimate)	2021	9.9	2022	9.2	2021	6.8	2021	4.4	2022	11.0	2021	6.7	2022	6.2	2021	3.8
Unemployment, youth female (% of female labor force ages 15-24) (modeled ILO estimate)	2021	27.8	2022	20.8	2021	29.2	2021	25.6	2022	32.8	2021	26.7	2022	39.2	2021	14.2
Unemployment, youth male (% of male labor force ages 15-24) (modeled ILO estimate)	2021	21.4	2022	27.7	2021	13.9	2021	11.5	2022	20.4	2021	19.0	2022	18.4	2021	12.0
Informal employment, female (% of total non-agricultural employment)		n/a		n/a		n/a	2019	52.1	2018	58.7		n/a		n/a		n/a
Informal employment, male (% of total non-agricultural employment)							2019	49.9	2019	47.5		n/a		n/a		n/a
Vulnerable employment, female (% of female employment) (modeled ILO estimate)	2021	6.9	2021	12.7	2021	34.7	2021	27.5	2021	28.2	2021	31.2	2021	17.0	2021	13.1
Vulnerable employment, male (% of male employment) (modeled ILO estimate)	2021	17.0	2021	24.6	2021	28.8	2021	46.0	2021	24.6	2021	40.6	2021	19.5	2021	22.4
Share of female headed households					2010	26.7[α]										
Agency and legal protections																
A woman can apply for a passport in the same way as a man (1=yes; 0=no)	2022	1	2022	1	2022	1	2022	1	2022	1	2022	1	2022	1	2022	1
A woman can be head of household in the same way as a man (1=yes; 0=no)	2022	1	2022	1	2022	1	2022	1	2022	1	2022	1	2022	1	2022	1
A woman can open a bank account in the same way as a man (1=yes; 0=no)	2022	1	2022	1	2022	1	2022	1	2022	1	2022	1	2022	0	2022	1
A woman has the same rights to remarry as a man (1=yes; 0=no)	2022	1	2022	1	2022	1	2022	1	2022	1	2022	1	2022	0	2022	1
The law prohibits discrimination in access to credit based on gender (1=yes; 0=no)	2022	1	2022	1	2022	1	2022	1	2022	1	2022	1	2022	1	2022	1
There is legislation on sexual harassment in employment (1=yes; 0=no)	2022	1	2022	1	2022	1	2022	1	2022	1	2022	0	2022	0	2022	0
There is legislation specifically addressing domestic violence (1=yes; 0=no)	2022	1	2022	1	2022	1	2022	1	2022	1	2022	0	2022	0	2022	1
Financial inclusion																
Financial institution account, female (% age 15+)		n/a		n/a		n/a	2021	47.6		n/a	2021	71.6		n/a	2017	73.6
Financial institution account, male (% age 15+)		n/a		n/a		n/a	2021	51.6		n/a	2021	73.8		n/a	2017	88.2
Mobile money account, female (% age 15+)		n/a		n/a		n/a	2021	6.1		n/a	2021	12.7		n/a		n/a
Mobile money account, male (% age 15+)		n/a		n/a		n/a	2021	9.1		n/a	2021	12.7		n/a		n/a
Owns a debit or credit card, female (% age 15+)		n/a		n/a		n/a	2021	27.3		n/a	2021	44.5		n/a	2017	53.2
Owns a debit or credit card, male (% age 15+)		n/a		n/a		n/a	2021	33.8		n/a	2021	53.0		n/a	2017	71.6

Sources: α - Belize Country Profile, Gender and Disaster Risk Management (World Bank, 2022), Unless otherwise stated: World Bank Gender Data Portal

Gender-Sensitive Sector Assessments

Agriculture, Forestry, Fisheries and Other Land Use (AFFOLU)[7]. Despite Caribbean countries' position in global food trade as net importers, agriculture continues to be one of the main drivers of economic growth for several countries in the region. The sector is also critical for employment and food security. However, a high level of gender-based occupational disaggregation persists throughout the region whereby agriculture is primarily seen as a man's activity and gender-based constraints limit equitable access to land, credit and other productive resources (CDB, 2016a; CDB, 2016c).[8] Men dominate agricultural land ownership, benefit most from employment schemes and comprise the majority of skilled labor and formal jobs in the sector. Among registered farms in the region, more than 77% are owned by men compared to approximately 20% owned by women (CDB, 2016c). Country-level data reflects these patterns. In Jamaica, only 8% of agricultural land is owned by women, compared to 30% in Jamaica (World Bank, 2022b). In Barbados, almost 80% of registered farms are owned by men. In Barbados alone, data suggests that men account for 60% of skilled labor and 62.9% of total employment in agriculture, forestry and fisheries (AFF). Comparatively, women are heavily involved in informal agriculture roles such as subsistence and backyard farming and doing unpaid work on family farms, which is often not reflected in official employment statistics. In fact, women's participation in agriculture is too small to be registered in official statistics in some countries, while gender-disaggregated data is not collected in other islands. Still, it is important to note that women's involvement in subsistence farming and sale of fruits and vegetables from their backyard gardens were key to continued food security during economic downturns.

Gender-based segregation also applies to positions in agriculture value chains. Men are predominantly engaged in hunting, forestry, fisheries and livestock farming, while women are more represented in market vending and retail activities, as well as sorting and packing of crops like nutmeg and cocoa in factories. However, women have become increasingly involved in agro-processing of alternatives to wheat flour such as cassava flour and seasonings, and small scale agribusiness. While this has been made possible through funding initiatives and women's cooperative groups, women still face significant barriers in scaling up their businesses due to domestic responsibilities and lack of credit, training and expertise, marketing and access to intra- and extra-regional markets. This level of disaggregation in the value chains undoubtedly impacts women's earning capacity and resilience compared to their male counterparts. Climate change has impacted the sector by way of crop loss due to more frequent hurricanes and flooding and droughts which limit irrigation. Gender inequality in access to credit limits opportunities for women in farming or agribusiness to pursue climate-smart practices to adapt to climate change.

Sustainable and resilient infrastructure. Like the agriculture sector, the construction sector in the Caribbean is also heavily gender disaggregated. In some islands, construction has become one of the two main industries driving growth and providing employment but women's economic participation pales in comparison to men. Women also predominantly occupy administrative and technical roles such as storekeeping or meter readers in water enhancement projects where they comprise less than 20% of employees. Gender disaggregation with respect to infrastructure in the Caribbean also extends beyond the labor market. A lack of potable water and adequate wash facilities stymies girls' equal participation at school. Access to potable water within the home is sometimes limited, and this increases the time spent on domestic chores for women and female children. This is on account of social and gender norms which see women as responsible for collecting and storing water during periods of drought or boiling water during floods. Energy infrastructure such as adequate street lights is a problem in several Caribbean areas. This poses risks to the physical and sexual safety of women

[7] While the fisheries subsector is often considered an activity within the Blue Economy, fisheries data is customarily reported together with agriculture in official statistical reporting in the Caribbean.

[8] CDBa, 2016 Country Gender Assessment: Barbados; CDBb, 2016b Country Gender Assessment: Belize; CDBc, 2016 Country Gender Assessment Synthesis Report.

and girls – among whom gender-based and sexual violence is high. Because women experience a lack of resources differently to men, it is important to increase their involvement in decision-making in the infrastructure sector. Women are best suited to provide feedback and perspectives on their own needs, and how infrastructure and spatial planning do not take these into account. Increasing their involvement can provide gender responsive solutions to climate change and allow for more sustainable development.

Electricity including renewable energy and energy infrastructure. Existing gaps in the energy sector range from gender-differentiated energy use, financial circumstances and access to opportunities. Lack of data on energy use is a constraint. Still, some communities within the Caribbean are still have limited access to electricity supply, particularly in the rural areas of Belize, Guyana, Jamaica and Suriname (CDB, 2018).[9] High electricity costs and connection fees pose additional barriers to access and this reduces the quality of life in these homes. Women, and where applicable the eldest female child in the household, take on an uneven burden of domestic and unpaid care work such as cooking, caring for young children or the elderly, or other domestic chores. Energy poverty makes these activities more time consuming and reduces their availability for income-earning employment or continuing their schooling. This may also pose multidimensional risk as the use of coal or burning fire as fuel sources for cooking has negative health implications on women who most often take up this task. Data suggests that FHHs are highly represented among the poorest households in the Caribbean, which puts these women and their families at a greater disadvantage (CDB, 2018), since these women carry the sole burdens of care and socioeconomic provision. Broadened access to energy services will not only increase women's time availability, but it will improve access to information, online education, and e-commerce opportunities for women who run at-home businesses like personal services or food preparation. Improved access to energy will also improve GBV outcomes as women in rural areas are more prone to sexual and or physical threat in dimly lit areas. Women-owned SMEs who already face difficulty in accessing credit will find it difficult to invest in energy-efficient technology or the energy transition of their businesses. Improvements in gender-disaggregated data on energy use is needed to support gender-sensitive policy and realize more inclusive service delivery.

In terms of economic engagement, women form only a small proportion of the energy-related labor force. Although the region has made progress toward gender parity in education, existing stereotypes about subject choices see less women than men enrolled in science, technology, engineering and mathematics (STEM) programs. This has domino effects as a limited number of women in these roles is not sufficient representation or mentorship to encourage young girls wanting to get into these fields. Increasing the proportion of women in the energy sector can be supported by targeted recruitment schemes by universities as well as employers to build awareness of the variety of opportunities in the sector.

The energy transition and the variety of renewable energy sources provided by the climatic characteristics of the Caribbean present opportunities to close existing gaps. Various islands including Trinidad and Tobago are pursuing renewable energy and low carbon initiatives. Globally, it is anticipated that job expansion in the energy sector will contribute 122 million jobs by the yar 2050, of which 43 million is expected to be in renewables[10]. Women tend to hold a greater share of renewable energy jobs compared to fossil fuels – in Trinidad and Tobago, the region's oldest energy-based economy women only account for 27% of the labor force. The region could leverage these opportunities to increase women's participation in the energy sector value chain and benefit from improved productivity, profitability and decision-making which often result from more gender-diverse workforces.

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[9] CDB, 2018 Integrating Gender Equality into the Energy Sector

[10] See blog post The Gender and Energy Nexus: A call for T&T's green hydrogen industry.

Sustainable Transport. Women's experience in the transport sector, and/or with transport infrastructure, differs from that of men both at the level of consumer and staff and the integration of gender-sensitive perspectives is key.[11] Gender norms involve a higher appetite for risky behavior among men which often manifests in reckless driving. As a result, a higher proportion of men are involved in vehicular and road accidents in the Caribbean, compared to women. This has the potential to increase the already high proportion of FHHs in the region and increase financial strain on these women to provide for their families. The design of transport facilities often does not account for gender differentials. Women's higher burden of domestic responsibilities mean that they run more errands and have less access to private means of transport. Due to a lack of safety measures, and lighting infrastructure, sexual and physical violence is common on buses and taxis and dimly lit terminals and waiting areas. Lack of security at air and seaports have also resulted in the Caribbean becoming both a hub and destination for trafficking of women and girls.

The transport sector has also been impacted by climate change. Increased sea level rise, flooding, hurricanes, storm surges and landslides affect disrupts air and sea transport and access to roads – all of which have implications for continued livelihood. Additionally, at the level of staff and/or contractors, research shows that women rarely consider careers in the transport field which reduces opportunities for gender-inclusive solutions in planning, design and development of the sector. As such, there have been increased calls to collect gender-disaggregated data to identify differentiated needs and vulnerabilities at levels in transport projects as well as policies to promote gender-equal employment.[12]

Tourism. Tourism, and by extension hospitality services, is a main source of economic activity and employment in several Caribbean islands. For instance, tourism accounts for almost a quarter of national income in Belize - employing 1 in 7 people and engaging 1 in 3 households in some way (CDB, 2016b). In other island states, tourism provides almost a third of employment. However, the integration of women and men in the sector varies at the country level. In Belize, the proportion of women and men employed in the sector is somewhat equitable (55% among men, 45% among women), but their specific jobs are affected by gender disaggregation. In other islands, the sector provides almost a third of all jobs, but more than 80% are filled by men (CDB, 2016d).[13] Women's economic participation in senior management is perhaps highest in Barbados – except for hotel and guesthouse ownership.

A synthesized gender report on the Caribbean (CDB, 2016c) finds that although policies to develop the tourism sector are said to be gender neutral, a lack of gender responsive planning exacerbates existing inequalities in the value chain. Men make up the majority of owners and managers of hotels, guesthouses and restaurants as well as tour and taxi operators. Gender-segregated employment in the hotel and guesthouses subsector also reflects the division of labor within the home. Men are primarily involved in groundwork and building maintenance while women are predominantly employed in administration, cleaning and/or housekeeping, and hair-braiding. Many of these women are single mothers and access to childcare services remain an issue given the working hours of hotel and hospitality activities. More effort is needed to integrate women into higher-earning positions in the sector. Sex-tourism is now a growing subsector within the region, which mainly employs women but the activities are managed by men.

Waste Management. Approximately 70% of the region lacks access to sanitation services which poses many environmental and health risks. Additionally, some countries within the LAC region have some of the fastest-growing cities which rapidly generate waste. Improper practices for waste management contributes to the region's growing flooding problem and greenhouse gas emissions. Plastic pollution

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[11] CDB, 2018b. Integrating Gender Equality into the Transport Sector Operations
[12] See blog: Data: The Key to Gendered Transport in Guyana
[13] CDB, 2016d. Country Gender Assessment: Saint Lucia

is commonly found in internal waterways and on shorelines. In the Dominican Republic for instance, approximately 10,000 tonnes of plastic are used each year, of which only 24% is recycled.[14] The expansion of manufacturing sectors, without proper waste or circular economy activity, will compound these issues.

Data on the sector is limited in its disaggregation and women's involvement is not properly reported. Still, women have significant potential to be agents of change in waste management and climate action given the tasks they hold within the household and community. Many women work in the sector as recyclers, waste pickers, sorters, intermediaries, business owners, and within state disposal services. Among an estimated 4 million people in the region who do waste picking as their main source of income, many of these are women who find this activity to be conducive with their childcare and domestic responsibilities. Gender pay gaps also exist within the sector and women often have less access to valuable recyclables. Sexual violence is also common in urban dumpsites. Women have also become increasingly involved in starting initiatives to raise awareness of the importance of recycling, composting and climate-smart community gardens as well as setting up infrastructure for these activities to encourage the practice in their communities.[15] Some of these groups are run by women, with limited access to credit. While countries in the region establish their commitments to address waste management, existing policies are not gender sensitive. Gender roles limit the involvement of in the sector with respect to recruitment and their lack of access to credit, transport and networks limit female involvement in leadership and ownership roles. Still, the region presents many opportunities for engagement to increase women's involvement in waste management at formal and informal levels.

Other areas of gender-differentiated vulnerability

Financial Inclusion

Sex-disaggregated data on financial inclusion is limited throughout the Caribbean. In the Dominican Republic, legislation prevents gender-based discrimination in access to credit for women but there still exists some degree of gender imbalance in participation in the financial system. Among Dominican people at least 15 years of age, 47.6% of women have an account at a financial institution, of which 27.3% have access to a debit or credit card and another 6.1% use some form of mobile banking account. These are all lower than the level of financial inclusion among Dominican men – 51.6% of men have a bank account, 33.6% own at least a debit or credit card and 9.1% use mobile banking. In Jamaica, more than 70% of persons 15 years and older hold at least one account at a financial institution - more than within the rest of the LAC region. While men are only slightly more included in the modern banking system and more men own debit or credit cards, there is gender-parity in the proportion of Jamaican women and men who have access to mobile money accounts. Although there is room for improvement, this data is still favorable. It signals high levels of women's financial inclusion which is likely to lead to greater financial independence and socioeconomic circumstances for Jamaican women. Levels of female financial inclusion are highest in Trinidad and Tobago, despite some data limitations. A significant proportion of the female population 15 years and older own an account at a financial institution and more than half of that population own at least a debit or credit card.

[14] See USAID Fact Sheet: Women's Economic Empowerment and Equality in Solid Waste Management and Recylcing – Latin American and Caribbean Landscape
[15] See UN Women blog: https://caribbean.unwomen.org/en/stories/from-where-i-stand/2022/03/from-where-i-stand-of-course-we-had-no-money-but-the-problem-was-big-enough-for-us-to-tackle-even-without-financial-resources

Climate change and disaster risk. Climate change and gender equality are among the world's most pressing and complex development challenges. The location and tropical climate of the Caribbean region make the islands extremely vulnerable to climate change. In just the last ten years, the effects of human-induced climate crisis have become more profound.[16] Where most islands previously experienced a somewhat predictable dry season (January to June) and rainy season (July to December) each year, departures from climate-normals have seen record-breaking warm weather, long periods of drought and extreme flash flooding. Activity during the Atlantic Hurricane Season, which runs from June 1 to November 30 annually, has also become more violent in recent years. While climate change and gender equality are independently dangerous and consequential, their intersection exacerbates pre-existing vulnerabilities arising from socio-economic structures, gender biases, institutionalised discrimination, and social norms and expectations. As a result, exposure to vulnerability, socioeconomic fallout and coping in the post-disaster context are gender differentiated.

Preparedness and vulnerability. Although limited data exists to assess the extent of a digital divide and ICT use, it is thought that women and men respond differently to early warning system (EWS) messages given gender differences in their time use and bargaining power within their households and socioeconomic circumstances (World Bank, 2022a; World Bank, 2022b; World Bank, 2022c).[17] Indigenous and rural communities of women will be placed at a further disadvantage compares to their female counterparts in urban areas who have access to greater ICT coverage and means. Women are heavily represented among the poor in the Caribbean, especially FHHs and women make up a large share of those in informal employment. Less financial security make women more vulnerable than men to climate change and natural disaster and limits their capacity for resilience.

Care work. Flooding is known to increase the likelihood of waterborne diseases, which puts women and girls at greater risk than men given their unequal share of unpaid domestic work which often involves collecting water and cleaning. In rural areas, the collection of water is usually done by women. As water scarcity is becoming more common in the dry season (January to June in most Caribbean countries) due to climate change, women may have to travel longer distances to find water for their domestic work. On the contrary, following floods, women spend significant portions of their time purifying and storing water (World Bank, 2022c).

Resource planning. A lack of gender sensitivity and women's involvement in resource planning puts women and girls at a greater disadvantage than men. Women are also underrepresented in decision-making positions in disaster management. In Belize for instance, of 10 emergency district coordinators, only 1 is a woman and all 3 regional coordinators are men. In the post-disaster context, shelter layouts lack sufficient privacy and women and girls are often subjected to physical or sexual violence in shelters. it is often the case that incidents of GBV increase following women and girls' stays at shelters. Additionally, breastfeeding mothers do not have sufficient privacy or storage facilities. Women and girls are often among those most in need of psychosocial support.

Social services. Access to health services is unequal between men and women in several Caribbean states (World Bank, 2022). Climate disasters effect significant damage to roads and other infrastructure such as health centers. This has gender-imbalanced impacts as there is a higher prevalence of NCDs among women in several Caribbean countries who may not be able to access vital medication or those who need perinatal care. For instance, an assessment following Hurricane Ivan in 2004 showed that more than 12,000 children were deficient in folic acid due to nutrient shortages in pregnant women. Women in rural and Indigenous communities, for example Mayan women in Belize or Indigenous women in the Guyanese hinterlands, have even lower access to perinatal care than their

[16] IPCC, 2021. Synthesis Report of the Sixth Assessment Report, A Report of the Intergovernmental Panel on Climate Change

[17] World Bank, 2022a. Belize Country Profile: Gender and Disaster Risk Management; World Bank, 2022b: Guyana Country Profile: Gender and Disaster Risk Management; World Bank, 2022b: Jamaica Country Profile: Gender and Disaster Risk Management.

urban counterparts. For these women, damage done by climate disaster threatens to cut off their access to vital resources entirely.

Labor market segregation. Climate change and natural disasters also have gender-differentiated labor market effects given women and men's differing involvement in the value chain. For instance, women tend to be heavily involved in small-scale and backyard farming of fruits but lost these opportunities following crop loss due to the passage of hurricanes in recent years (World Bank, 2022a; World Bank, 2022b). Climate change has affected marine life and activity. Female farmers also have less access to credit and thus cannot pursue climate-smart farming practices. Following natural disasters, it is easier for men to find work in manual activities such as road clearing and construction. Men are also able to migrate to other communities in search of work while women's movement is limited by their obligations for looking after the home. Women, instead, are engaged in domestic assistance.

Part II: Gender and Social Inclusion Action Plan

The Latin American and Caribbean ("LAC") region's socioeconomic context makes it highly vulnerable to the effects of climate change. Poverty accentuates vulnerability to climate change impacts, and extreme weather events linked to climate change push more people into poverty. These effects are more severe for vulnerable groups[18], as people who are socially, economically, culturally, politically, institutionally, or otherwise marginalized have limited adaptive capacity.[19] For instance, gender inequality increases women's vulnerability to climate change, while Indigenous peoples are among the first to face the direct consequences of climate change, due to their dependence upon and close relationship with the environment and its resources. In fact, women are over-concentrated in climate-vulnerable sectors (for example agriculture) and under-represented in emerging, high potential climate-friendly sectors (e.g. low-carbon transport and green construction).[20]

The effects of climate change are more severe for women and vulnerable groups, compared to men. For instance, gender inequality increases women's vulnerability to climate change. A large portion of women's livelihoods is dependent on natural resources, and yet women have unequal access to, and control of, land, water, and other natural resources affected by climate change. Indigenous peoples and traditional communities are among the first to face the direct consequences of climate change, due to their dependence upon, and close relationship with, the environment and its resources. Climate change exacerbates the difficulties already faced by indigenous communities including political and economic marginalization, loss of land and resources, human rights violations, discrimination, and unemployment.[21] Although women and vulnerable groups are at the forefront of the impacts of climate change, their voice and participation in climate solutions is limited. As an example, women comprise just 21% of the workforce and 8% of the members of board of directors in the wind and energy industry.[22] In the Caribbean only, two-thirds of women-owned firms reported access to finance as a major obstacle to business.[23]

Be that as it may, businesses that adopt competitive low carbon or climate resilient practices become themselves more competitive, leading competition to implement similar actions, while contributing to the overall resilience of the value chain. In addition, firms that cater directly to underserved populations (e.g. through the provision of goods and services, or employment) contribute to increased equality and inclusion. Research has shown that the higher presence of women on corporate boards is positively correlated with disclosures of carbon emissions.[24] Hence stimulating innovation in climate technologies, business models and social practices can drive inclusive growth, emissions reduction, and climate resiliency concomitantly.

1. IDB Invest Gender Strategy

The first group-level Gender and Diversity Action Plan (GDAP) for 2022-2025 was approved in 2022. It is the key instrument for translating the IDB Group's commitments to gender equality and diversity into concrete actions. These frameworks guide the IDB Group's work on policies to promote gender and diversity (G&D) equity in the region by addressing structural inequities, unequal treatment, and weak institutional capacity to design and implement G&D policies.

The Gender, Diversity, and Inclusion (GDI) team is a fundamental component of IDB Invest's Advisory Services Team. Advisory Services has been one of the core instruments of IDB Invest since its founding, working with companies to enhance their performance, competitiveness, and sustainability,

[18] United Nations, 2008.
[19] UNFCCC, 2018.
[20] "Green jobs for women can combat the climate crisis and boost equality", World Bank 2022.
[21] United Nations, 2008.
[22] IRENA, 2020.
[23] Reigniting Women-led Businesses in the Caribbean with Better Access to Finance. IDB Invest, 2022.
[24] Why women need to be at the heart of climate action. UN, 2022

ultimately ensuring that their success contributes positively to lasting development impact. Its portfolio includes advisory services (AS), technical cooperation (TC), and technical assistance (TA), encompassing the transfer, adaptation, mobilization, and application of services, skills, knowledge, technology, and engineering. These processes build capacity continuously and support the structuring of investment transactions. The ability to develop and combine a comprehensive suite of financial and non-financial products and services is a value-added characteristic of IDB Invest, distinguishing it from commercial and agency actors, allowing IDB Invest to reach segments on a scale not available in the LAC region.

At IDB Invest, we have made a simple and clear promise: we are 100% committed to gender equality as well as diversity and inclusion. Our aim is to close the gender and diversity gaps[25], contributing toward a more diverse, equitable, and inclusive economy. We use a holistic approach, that seeks to support business across their sphere of interest on how they engage with women and diverse groups – be it as buyers, sellers, users of their products and services; as their employees or leaders; or how the engage women-owned SMEs across their value chains and their surrounding communities where they operate. To do so, we offer a combination of financial and non-financial solutions such as advisory services, resource mobilization and blended finance. All this accompanied by a strong pillar of knowledge and collaboration with other partners and networks with similar objectives to reach scale and further influence business action in the region.

In parallel, IDB Invest's ESG Compliance on gender ensures that any client seeking funding and support from IDB Invest commits to the identification of potential gender-based risks and to implement effective measures to avoid, prevent or mitigate such risks. In this regard, the Program will integrate gender considerations through the following plan.

2. Gender Action Plan

The integration of gender, diversity and inclusion in the projects supported by this program will be conducted at two levels set on a spectrum from risk to opportunity: the first one, as a baseline, is the application of IDB Invest's policies and procedures which all projects in IDB Invest's portfolio are subject to. The second level, in selected transactions, is by offering non-financial additionality to actively promote gender, diversity and inclusion in the opportunities identified by the private sector clients and projects under this program which have a high potential for impact.

The Gender Action Plan below covers all activities to be undertaken at the program level and is applicable to all the countries and participating entities. Once the projects have been identified, gender, diversity and inclusion will be mainstreamed in accordance with IDB Invest's gender analysis framework and other policies and procedures, as applicable, and to which all projects in IDB Invest's portfolio are subjected. IDB Invest's gender analysis framework looks at both the gender related risks and opportunities of 100% of projects and categorizes them into tiers. Where gender, diversity and inclusion gaps are identified and are material, action plans will be developed with specific gender activities and targets will be identified and executed as required with relevant timelines – of the 100% screened projects, 40% will have a gender, diversity and inclusion component IDB Invest has also found that gender disaggregated data and diversity data are key to closing gender and diversity gaps in the private sector.

As such, we have set a target of disaggregating data in 99% of our projects even those categorized under Tier 1 (lowest tier with no gender considerations). For a transaction to qualify under Tier 2 some gender elements, it must have a diagnostic, an identified gender gap or gaps, and an action to close

[25] Diversity: At IDB Invest we work with Afro-descendants, Indigenous and Traditional Peoples, LGBTQ+ Individuals, and People with Disabilities. These groups make up most of LAC population, but still face **barriers in access to labor markets, basic services, and financial services that hinder their ability to fully contribute in the economy and society.**

the gender gap. The three elements should form part of the project's central vertical logic, such as in the case of the WB or EBRD, or can also be part of a parallel vertical logic to address a gap or issues identified that are relevant to the project but not part of the core development objectives of the operation. For a transaction to qualify as Tier 3, it must have outcome level indicators, and for Tier 4 at least 50% of the funds must go towards gender.

All projects that IDB Invest finances or invests in, with its own or third-party resources, is subject to the IFC performance standards[26] and the recently approved IDB Invest's Environmental and Social Sustainability Policy[27]. The former includes prohibitions on discrimination based on gender, such as assessing gender inclusivity in consultations. The latter mandates social and environmental appraisals for all projects, consistent with IFC standards, and recognizes areas of focus in the social space, particularly gender and vulnerable groups (e.g. Indigenous peoples, people with disabilities). It also states that IDB Invest will promote the responsibility of business to respect human rights, requiring its clients to have in place an approach to assess potential human rights risks and impacts, respect human rights, avoid infringement on the human rights of others, and address adverse human rights risks and impacts in IDB Invest-supported project. These policies are also in alignment with the GCF's Gender Policy which gives equitable consideration to the contributions of women and men and empower women through the allocation of funds and operations. Like all IDB Invest transactions, projects will mainstream gender and minimize gender-related risks while supporting climate change mitigation and adaptation actions.

Gender- related Risk Assessment

Following IDB Invest's Sustainability Policy, IDB Invest is also committed to the identification of potential gender-based risks and impacts and requires clients to implement effective measures to avoid, prevent or mitigate such risks and impacts. IDB Invest carries out a gender risk assessment as part of the environmental and social due diligence and will require the client to address these risks and impacts.

IDB Invest has an internal tool, the Gender Risk Assessment Tool (GRAT) - that guides social and environmental specialists to: i) identify gender-related risk factors of the transaction, ii) evaluate prevention and mitigation measures of the client, iii) recommend specific actions for each of the risks and gaps identified. The gender-risk assessment also takes into consideration sector-and country-based factors, as well as contextual-risks factors, that are analyzed both at national and regional level, with the support of IDB Invest Contextual Risk Tool; and, at project level, during due diligence site visits, with consultations with beneficiaries, affected communities, and other stakeholders. The result of the environmental and social due diligence is registered in the Environmental and Social Review Summary (ESRS). The ESRS includes a section on Gender, that summaries the gender-risk assessment results, including the main gender-related risks and impacts of the project, as well as current gender-related risk management programs and gender policies of the client.

When gender-related risk factors and impacts are identified, IDB Invest requires clients to implement gender-related risk management actions. These actions are formalized in an Environmental and Social Action Plan (ESAP)[28] that is included in the legal documentation of the transaction and is a contractual obligation that clients must comply with. The ESAP includes: a description of each required action; the deliverables and evidence required; and deadlines.

Previously to Board approval, transactions must comply with disclosure requirements. For all projects, the ESRS and ESAP must be disclosed at least thirty (30) days prior to the Board approval of a transaction.

Once approved, expected outputs of the transaction are included in the Results Matrix (RM) of the project. The environmental and social specialist are responsible for supervising project's

[26] IFC Performance Standards on Environmental and Social Sustainability, 2012.
[27] IDB Invest, Environmental and Sustainability Policy, 2020
[28] For more information about the application of IDB Invest's Sustainability Policy, please refer to section M.

environmental and social performance and client's implementation of the ESAP. The supervision is conducted through project's documentation and evidence review; regular site visits (trimestral, semestral, annual or biannual, depending on the project's E&S risk categorization). Clients are also contractually obliged to present an Environmental and Social Compliance Report (annual or semestral) for IDB Invest environmental and social specialist review; where, in addition to present evidence of the advances in ESAP activities, they must provide updates in all environmental and social matters of the project.

Project-specific Gender, Diversity and Inclusion Opportunities

The projects identified through the implementation of this program will seek to promote gender equality, diversity and inclusion in the opportunities created by climate change mitigation and adaptation activities by focusing on addressing the existing gaps highlighted in Part I above, but with emphasis on (i) access to financing for women and diverse populations, WMSMEs and financial solutions; (ii) access to leadership positions; (iii) access to quality employment, including in male-dominated fields such as construction and energy sectors and in the growing green economy; (iv) access to markets for women and diverse populations. By including these considerations, the projects are expected to contribute to increasing the participation of women and vulnerable groups in opportunities created by low-carbon and resilient economies as well as increasing benefit sharing of the green transition. Through advisory services and performance-based incentives, IDB Invest will allocate resources to advance gender equality, diversity and inclusion in the selected projects in sectors such as AFOLU where women, Indigenous Peoples and traditional communities, as well as other diverse groups, are the most exposed to climate change or are underrepresented in the growing economy

The IDB Invest team's scans the project pipeline, looking at projects by segment to identify gender opportunities. Based on the results of this analysis, the potential for impact, and the client's sustainability priorities or materiality, specific GDI advisory interventions are proposed.[29]

The overall projects will be subject to an annual supervision report (ASRs), as well as a final supervision report (XSR). The ASR is led by the Portfolio Management Division, where the PTM officer contacts the client either virtually or via supervision meeting to collect the data needed. The XSR is IDB Invest's version of A Project Completion Report and is led by the Development Effectiveness Division and additional information that may be outstanding to assess the success of the project can be requested from the client.

Activities	Indicators and Targets	Timelines	Responsibilities	Cost
Impact statement: Empower women in the Caribbean and ensure equal access to opportunities for women and men in the just transition to net zero economies.				
Outcome statement: Women and girls, in any role as stakeholders of a client's transaction, will not be discriminated or at risk, and are equally able access to the benefits of the project.				
Output 1: Gender-specific risk assessments				
Project-level gender risk assessments will be conducted to understand	100% of projects under this program will comply with IDB Invest's	5 years	IDB Invest GDI team, supported by consultants. Gender-specific	USD 312,130

[29] IDB Group. 2020. IDB Group Corporate Results Framework 2020-2023. Technical Guidance Note

any gender-differentiated risks/impacts of identified projects. Significant risks will be addressed through the projects' Environmental and Social Action Plans (ESAPs).	Sustainability Framework. Gender-disaggregated assessments and management of risks and impacts are required of all projects as an integrated part of the Sustainability Framework. 100% of projects will undertake a gender-specific risk and opportunity assessment. Potential adverse gender-differentiated impacts will apply the mitigation hierarchy in the Sustainability Framework, where risks are avoided where possible, minimized, and mitigated or compensated where unavoidable.	As projects are identified, as part of IDB Invest's due diligence process and clients' environmental and social assessment process.	risks will be assessed and overseen by IDB Invest's Social, Environment, and Governance team (SEG), coordination with the GDI team.	
Output 2: Gender Mainstreaming and Performance Based Incentives[30]				
Dedicate the required human and financial resources to leverage IDB Invest's gender mainstreaming process and screen projects to understand the gender-differentiated impacts of climate investment and the most material gaps for private sector clients. (i) Projects will be screened in accordance with IDB Invest's gender mainstreaming process (ii) Screened projects will be assigned a tier,	100% of investment projects (under Component 2) of this program will be subject to IDB Invest's gender analysis to screen for gender-specific opportunities and actionable plans to close identified gaps. (i) At least 40% of investment projects (under Component 2) of this program will have Performance-Based Incentives to recipients for successfully closing their	5 years As projects are identified	IDB Invest Blended Finance and GDI team, client-appointed GDI point of contact, with support of consultants; IDB Invest Development Effectiveness (DVF) team (monitoring and evaluation)	USD 624,259

[30] Note that as individual projects are not yet in the pipeline and identified, gender action plans and KPIs listed among the indicators and targets in this table will be clearly outlined in the implementation phase and not in this document.

from 1 to 4, according to the client's level of materiality and gender-specific actions identified (iii) Support clients in creating and identifying gender-specific action plans, as applicable to projects (iv) Promote the use of sex-disaggregated data	gender gaps, which could include creating action plan with activities specific to closing gender, diversity and inclusion gaps identified such as upskilling women with regard to resilient agriculture or developing criteria for investing in women-led enterprises. Where applicable, project-level KPIs will be developed to track progress in closing the identified gender gap and other outcome-level gender targets will be identified. For example a minimum threshold of women employed/recruited in projects related to sustainable transport..			